

The Colombo Fort Land & Building PLC

Annual Report 2017/18



Industrial Products



Consumer Products



Leisure



Plantations



Property Rental



Motors



Services



Investments



Manufacturing

The Colombo Fort Land & Building PLC

Annual Report 2017/18

Content

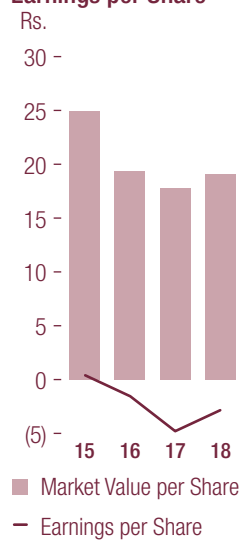
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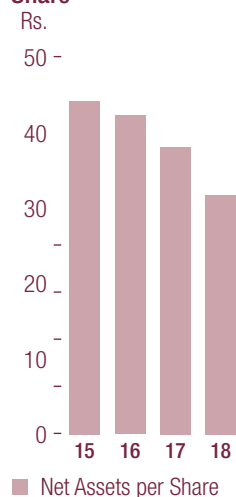
Group Financial Highlights

Financial Performance - For the year ended 31st March,		2018	2017	Change %
Revenue - Consolidated	Rs. million	43,293	41,016	6
Gross Profit	Rs. million	8,763	7,841	12
Share of Results of Equity Accounted Inv.	Rs. million	(14.0)	4.8	(391)
Profit before Interest & Tax (EBIT)	Rs. million	2,497	1,196	109
Profit / (Loss) before Tax	Rs. million	(156)	(916)	83
Profit / (Loss) for the Year	Rs. million	(308)	(1,078)	71
Profit / (Loss) Attributable to-				
Owners of the Company	Rs. million	(500)	(879)	43
Non Controlling Interest	Rs. million	192	(199)	196
Financial Position - As at 31st March,		2018	2017	Change %
Total Assets	Rs. million	44,603	41,904	6
Total Shareholders' Funds	Rs. million	5,127	6,887	(26)
Non Controlling Interest	Rs. million	3,159	4,004	(27)
Total Equity	Rs. million	8,286	10,891	(24)
Total Debt	Rs. million	19,597	16,491	19
Total Capital Employed	Rs. million	27,884	27,382	2
Net Assets per Share	Rs.	28.48	38.26	(26)
Market/Shareholder Information - As at 31st March,		2018	2017	Change %
Number of Shares in Issue	million	180	180	-
Market Price of Share	Rs.	19.20	18.10	6
Market Capitalisation	Rs. million	3,456	3,258	6
Price Earnings Ratio (PER)	No. of times	(7)	(4)	(87)
Key Financial Ratios - As at 31st March,		2018	2017	Change %
Gross Profit Margin	%	20.24	19.12	6
EBIT Margin	%	5.77	2.92	98
Interest Cover	No. of times	0.94	0.57	66
Net Profit Margin	%	(0.71)	(2.63)	73
Earnings per Share	Rs.	(2.78)	(4.89)	(43)
Return on Capital Employed	%	8.95	4.37	105
Return on Equity	%	(3.72)	(9.90)	62
Debt Ratio	%	81.42	74.01	10
Total Assets Turnover	No. of times	1.03	1.02	1
Current Ratio	No. of times	0.49	0.51	(5)
Dividend payout Ratio	No. of times	(0.11)	(0.06)	76

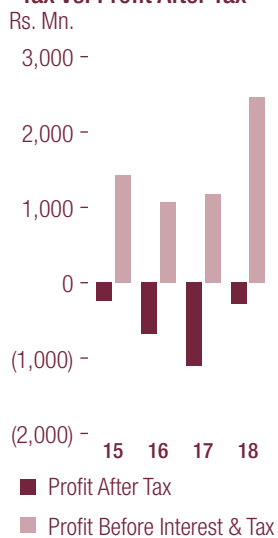
Market Value Vs. Earnings per Share



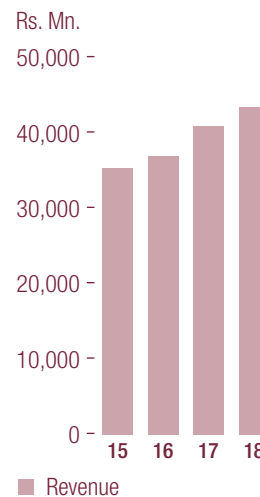
Net Assets per Share



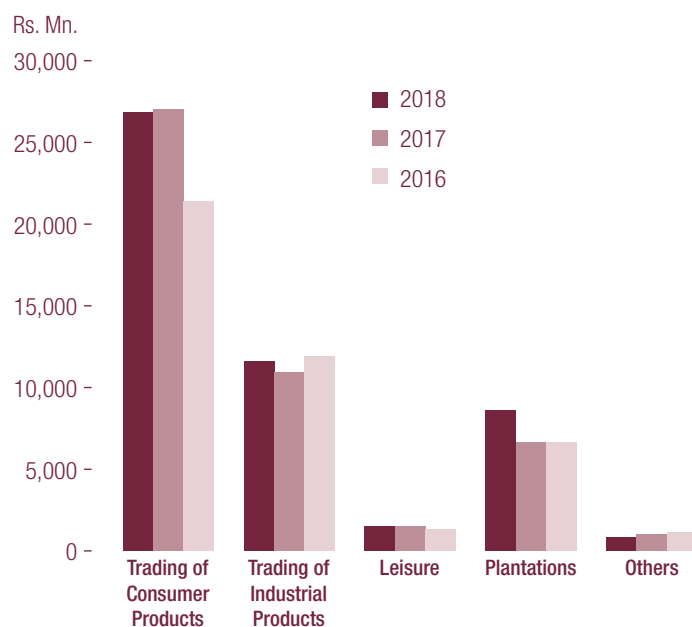
Profit Before Interest & Tax Vs. Profit After Tax



Revenue



Segment Contribution in the Group Revenue - (Gross)



Chairman's Review

On behalf of the Board of Directors it gives me great pleasure to present to you the Annual Report and the Audited Financial Statements for the year ended 31st March, 2018.

For the year under review the Group recorded a turnover of Rs.43.3 billion compared to a turnover of Rs. 41 billion in the previous year. At Company level, the profit declined from Rs.122.5 million to Rs. 110.6 million while at Group level the loss narrowed significantly from a loss of Rs.1.078 billion in the previous year to a loss of Rs.308.3 million for the year under review.

Whilst it is heartening to note that the loss incurred by the Group has decreased significantly, this performance would have improved much further if not for the very high finance costs incurred by the Group during the year. Net finance cost incurred by the Group increased from Rs. 2.1 billion to Rs. 2.7 billion in the year under review. This cost is attributable to the increase in interest rates experienced during the year. We will continue to focus on ways in which we can reduce interest costs in the years ahead.

After many years of incurring losses, the Groups' investments in the Plantation Sector has in the year under review made significant progress in returning to profitability. In spite of inclement weather having a negative impact on crops, higher than average commodity prices have ensured that both Agarapatana Plantations Limited and Kotagala Plantations PLC have returned to positive performances.

The Government's duty structure on motor vehicles has had a detrimental impact on the performance of CM Holdings PLC. The franchises of the Subsidiaries of CM Holdings PLC for Mazda and KIA motor vehicles continue to struggle as they are considerably more expensive than their European counterparts. Unless there is a change in the duty structure these Companies will continue to struggle with their sales.

The Group Companies involved in the FMCG industry have had a very quiet year. The increase in Value Added Tax has seen CW Mackie PLC, E.B. Creasy & Company PLC and Lankem Ceylon PLC all face very weak markets with negative consumer confidence. This consumer sentiment, along with rising costs have meant that these Companies are facing the toughest trading conditions experienced in many years.

All the Group Companies involved in the Hospitality Sector have performed well. With increasing tourist arrivals and with a tight control on costs we are confident that this sector will continue to perform well.

In spite of the rising costs in the economy, the Group has, to a large extent kept a tight control on all expenses except interest costs. Until we return to profitability, we will continue to focus on keeping these costs at a lower level as possible.

In spite of the adverse conditions experienced by the Company during the financial year under review, the Board of Directors is pleased to propose a First and Final Dividend of Rs. 0.15 per share.

I would like to take this opportunity to thank the many stakeholders who help in the operations of the Group. My thanks also go out to my colleagues on the Board for their counsel and support as the Group grows out of the current troubled period.

A Rajaratnam
Chairman

23rd August, 2018

Directors' Profiles

A. Rajaratnam - Chairman

FCA

Mr. A. Rajaratnam having joined the Board in 1994, was appointed Chairman of the Company in November 2011. He also serves as Chairman on the Boards of certain subsidiaries of The Colombo Fort Land & Building PLC Group and holds other Directorships within the Group.

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Mr. S.D.R. Arudpragasam joined the Board in the year 2000 and was appointed Deputy Chairman in November 2011. He serves as Chairman of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. Arudpragasam also holds the position of Chairman, Lankem Ceylon PLC and functions as Chairman / Managing Director of E.B. Creasy & Company PLC, in addition to serving on the Boards of other companies in The Colombo Fort Land & Building PLC Group.

Anushman Rajaratnam - Group Managing Director

B.Sc (Hons.), CPA, MBA

Mr. Anushman Rajaratnam joined the Board in November 2011. He has spent several years working overseas as a Consultant for a leading Accountancy Firm. He currently holds the position of Group Managing Director of The Colombo Fort Land & Building PLC and also serves on the Boards of several subsidiaries of the CFLB Group.

A.M. de S. Jayaratne - Director

B.Sc. (Econ.), FCA (Eng. and Wales), FCA (ICASL)

Mr. A.M. de S. Jayaratne joined the Board in 2005. He was a former Chairman of Forbes & Walker Limited, Colombo Stock Exchange, Ceylon Chamber of Commerce and The Finance Commission. He also served as Sri Lanka's High Commissioner in Singapore. Mr. Jayaratne is a Director of several listed and unlisted Companies.

R. Seevaratnam - Director

B.Sc. (Lond.), FCA (Eng. and Wales), FCA (ICASL)

Mr. R. Seevaratnam was appointed to the Board in 2009. He is a fellow member of The Institute of Chartered Accountants of England and Wales and Sri Lanka and holder of a General Science Degree from the University of London. He was a former senior partner of KPMG. Mr. Seevaratnam is a Director of several listed and unlisted companies.

Ms. Anandhiy K. Gunawardhana - Director

*LL.B (Hons.) (Colombo), LL.M (Distinction) (Georgetown)
Attorney-at-Law*

Ms. Anandhiy K. Gunawardhana joined the Board in November 2011. Ms. Gunawardhana is an Attorney-at-Law and a partner of Julius & Creasy, Attorneys-at-Law and Notaries Public. She graduated from the University of Colombo's Faculty of Law in 1995 with Second Class (Upper Division) Honours and also secured First Class Honours at the Attorneys-at-Law (Final) Examination in 1996, conducted by the Sri Lanka Law College. She is a Fulbright Scholar and was awarded the Master of Laws (LL.M with Distinction) by Georgetown University, Washington DC, in May 2000 and thereafter, served a 7 month internship with the International Monetary Fund's Legal Department in Washington DC. She was called to the Bar in June 1997 and was duly enrolled as an Attorney-at-Law of the Supreme Court of Sri Lanka. Having joined Julius & Creasy in August 1996, as an apprentice, she was made a professional associate in July 1997 and admitted as a Partner in 2005. Her areas of specialization are Capital Markets, Corporate and Commercial Law, Insurance Law, Mergers & Acquisitions. She is a Life Member of the Bar Association of Sri Lanka, the Colombo Law Society, the University Women's Federation, Sri Lanka and the Alumni Association of the Faculty of Law, University of Colombo. She is a Director of Messrs. Jacey and Company, Jacey Trust Services (Private) Limited, Jacey Advisory Services (Private) Limited, Jacey Secretarial Services (Private) Limited and Brand Protection Services (Private) Limited, affiliate companies of the Firm engaged in providing ancillary services, and of G S Investments (Private) Limited, S V Investments (Private) Limited, A S Investments (Private) Limited, S S Investments (Private) Limited, G T Investments (Private) Limited, M B Investments (Private) Limited, G J Investments (Private) Limited, S A Investments (Private) Limited, S T Investments (Private) Limited, V P Investments (Private) Limited, and Corporate Holdings (Private) Limited, which are investment companies, and of LB Finance PLC and John Keells PLC.

C.P.R. Perera - Director

Mr. C.P.R. Perera was appointed to the Board in May 2013. He serves as a Director of several Companies in The Colombo Fort Land & Building PLC Group and also holds directorships in other private and public companies. He is a past Chairman of the Sri Lanka Tea Board, Sri Lanka Insurance Corporation, PERC and Bank of Ceylon. He retired as Chairman of Forbes & Walker Limited and its subsidiary companies in June 2005 after almost 44 years of service. He presently functions as Chairman of Ceylon Tea Brokers PLC. Mr. Perera has served as a Committee Member of the Ceylon Chamber of Commerce, The Planters Association of Ceylon and on the Committee of Management of the Ceylon Planters Provident Society. He is presently an Appointed Member of the Monetary Board of the Central Bank of Sri Lanka.

Directors' Profiles contd.

Mr. P.M.A. Sirimane - Group Finance Director

FCA, MBA

Mr. P.M.A. Sirimane was appointed to the Board in May 2017 and currently serves in the capacity of Group Finance Director, CFLB. He joined the E.B. Creasy Group in October, 2009 and was appointed to the Board in November 2009. Amongst other senior positions he has functioned as Managing Director/CEO of Mercantile Leasing Limited, Group Finance Director of United Tractor & Equipment Limited, Chief Financial Officer, Sri Lanka Telecom Limited and Director SLT Hong Kong Limited. He has served as a Member of several Committees of the Institute of Chartered Accountants of Sri Lanka and was an exofficio member of the International Leasing Association. Mr. Sirimane serves on the Boards of some of the subsidiaries of the E.B. Creasy Group. He also holds several other Directorships.

He is a Fellow of the Institute of Chartered Accountants of Sri Lanka and also holds a Masters in Business Administration from the University of Swinburne, Victoria, Australia.

Mr. Sanjeev Rajaratnam - Director

B.Sc., CA

Mr. Sanjeev Rajaratnam was appointed to the Board in May 2017. He holds a Bachelor of Science Degree in Business Administration from Boston College, U.S.A. and is a member of the Institute of Chartered Accountants in Australia. He has been associated with overseas companies in the field of Finance. He was appointed Joint Managing Director of E.B. Creasy & Company PLC in April 2018 and holds other Directorships in The Colombo Fort Land & Building Group.

Risk Management Review

OVERVIEW

Risk management involves identifying potential risks faced by the Group and implementing proper risk management techniques to mitigate such risks.

The Colombo Fort Land & Building Group PLC is involved in a diverse range of business activities. Whilst this diversification provides a hedge against the positive correlation of business and environmental risks, it also exposes the Group to a wider range of risks and opportunities. Therefore, a disciplined approach to risk management is important in order to ensure successful execution of strategic objectives and to express acceptance towards risk management which has been adequately compensated.

COMPANY'S APPROACH TO RISK

Risk management is an important function of our Group. The Group reviews and assesses significant risks on a regular basis and has implemented an oversight programme to ensure that there is a system of internal controls in place. It is more important to identify risks that may prevent a business from realising its potential, and to manage them in order to minimise adverse effects and maximise positive outcomes.

The risk management process involves identifying the risks, analysing and evaluating the risks and treating such risks by taking steps to reduce and eliminate the losses which may be faced by the Group. As a part of the Risk Management process, at the Group level, the Board reviews its strategies, processes, procedures and guidelines on a continuous basis to effectively identify, assess and respond to such risks.

The Group assesses risk at the individual transaction level and evaluates aggregated risk at the customer, industry, geographic and collateral-type levels, where appropriate. Risk assessment and risk management are the responsibilities of management. The risk infrastructure is designed to identify, evaluate and mitigate risks within each of the following categories;

RISK FACTORS

Strategic Risk

Strategic risk relates to the Group's future business plans and strategies, and includes risks associated with the markets and industries in which the Group operates, demand for products and services, competitor threats, technology and product innovation, mergers and acquisitions and public policy.

Operational Risk

Operational risk relate to the risk arising from the execution of business operations. The Group has established sound internal control systems in all its operations and continuously reviews and monitors those procedures to ensure accountability and transparency in all its operations.

The Group faces a number of operational risks on an ongoing basis, including: Stock management; Supply chain management; Key supplier failure; and IT security. The Group is continuously focusing on improving its controlling and monitoring processes to ensure smooth functioning of all its operations.

Financial Risk

Financial risk relates to the ability to meet financial obligations and mitigate credit risk, liquidity risk and exposure to broad market risks, including volatility in foreign currency exchange rates, interest rates and commodity prices. Liquidity risk is the risk of being unable to accommodate liabilities at maturity, fund asset growth and meet contractual obligations through access to funding at reasonable market rates. Credit risk is the risk of financial loss arising from a customer or counterparty failing to meet contractual obligations.

Legal and Compliance

Legal and compliance risk relates to changes in the Government and regulatory environment, compliance requirements with policies and procedures, including those relating to financial reporting, environmental health and safety and intellectual property risks. Government and regulatory risk is the risk that the Government or Regulators' actions which will impose additional cost or cause the Group to change its business models or practices.

New Business and Acquisitions

Innovation is encouraged across CFLB businesses and activities. Therefore, it is important that all elements of new business initiatives are well understood before commencement. All new business initiatives must be approved by all Directors prior to commencement. The new business approval process is a formal process whereby all relevant risks (e.g. market, credit, equity, legal, compliance, taxation, accounting, operational and systems issues) are reviewed to ensure that the transaction or operation can be managed properly and will not create unknown or unwanted risks for CFLB in the future.

Credit Risk

Credit Risk is defined as the risk of a counterparty failing to complete its contractual obligations when they fall due. The consequent loss is either the amount of the loan being unpaid, or the loss incurred in replacing a trading contract with a new counterparty.

Business Risk

New entrants into the markets and the intensification of competition from existing players in these markets, variation in consumer spending patterns and effects of the weather conditions for seasonal businesses are the significant business risks that the Group encounters.

Corporate Governance

The Colombo Fort Land & Building PLC's (CFLB) Corporate Governance policy has ensured transparency and accountability towards our valuable stakeholders. The core objective of all Corporate Governance rules and regulations is to ensure that the interests of all stakeholders are reasonably safeguarded. Thus, the Board strives to take all possible steps to comply with best practices on Corporate Governance as it builds trust among stakeholders and establishes a basis for responsible conduct.

Our values have been applicable at all levels and this guarantees the business transparency towards our valuable stakeholders and corporate society.

THE BOARD

Board Composition

The Board comprises of one Executive Director and eight Non-Executive Directors of whom four are Independent. The Directors possess the necessary expertise in the fields of finance, corporate management and corporate law with varied business and professional experience in order to direct, lead and control the Company's business activities successfully.

Mr. A. Rajaratnam - Chairman - Non-Executive
Mr. S.D.R. Arudpragasam - Deputy Chairman - Non-Executive
Mr. Anushman Rajaratnam - Group Managing Director -Executive
Mr. A.M. de S. Jayaratne - Independent Non-Executive
Mr. R. Seevaratnam - Independent Non-Executive
Ms. A.K. Gunawardhana - Independent Non-Executive
Mr. C.P.R. Perera - Independent Non-Executive
Mr. P.M.A. Sirimane - Group Finance Director - Non-Executive
Mr. Sanjeev Rajaratnam - Non-Executive

Decision Making of the Board

The Board discusses matters relating to formulation and implementation of sound business strategies, ensuring an effective system to secure integrity of information, internal controls and risk management.

In addition to the decisions taken at Board Meetings, matters are referred to the Board and decided by resolutions in writing. The Board collectively and the Directors individually, act in accordance with the laws of the country, which are applicable to the business enterprise.

Board Responsibilities

- Formulation of short and long term strategies towards sustainable growth.
- Enhancing shareholder value.
- Identifying principal risks of the business.
- Overseeing systems of internal control.
- Approval of interim and annual financial statements.
- Ensuring compliance with laws and regulations.

- Authorising all material contracts, acquisitions or disposal of subsidiaries and approving capital projects.

Company Secretary and Independent Professional Advice

The Company and all the Directors may seek advice from Corporate Managers & Secretaries (Private) Limited (CMSL) who are qualified to act as Secretaries as per the provisions of the Companies Act No. 07 of 2007. CMSL assists the Board in ensuring that Board procedures are followed and that relevant rules and regulations are complied with. The Board in discharging its duties seeks independent professional advice from external parties when necessary.

Chairman's Role

The Chairman is a Non-Executive Director and is responsible for steering the Board to preserve order and to facilitate the effective discharge of Board functions. He conducts Board proceedings in a manner which always ensures the following:

- The effective participation of Directors.
- Encourages an effective contribution from Directors within their respective capabilities, for the benefit of the Company.
- Ascertains the views of Directors on issues under consideration.

The Board is in complete control of the Company's affairs and is alert to its obligation to all shareholder and other stakeholders.

Financial Acumen

The Board includes seven finance professionals who possess the knowledge and competence to offer the Board the necessary guidance on matters of finance.

Board Balance

Except for one Executive Director all Directors on the Board are Non-Executives of whom, four are Independent Directors. The Directors with a blend of experience in the fields of finance, business management and corporate law possessing a high standing of integrity and business acumen, constitute a balanced Board. This enables individual Directors to make a significant contribution towards the Board's decision making process. Further, the balanced structure of the Board makes the strategic decision making process more effective which ultimately facilitates build up of sustainable value for shareholders and all its other stakeholders.

Independent Directors on the Board have declared that they are Independent of management and free of any business or other relationship that could materially interfere with or could reasonably be perceived to materially interfere with the exercise of their unfettered and independent judgements. All Non- Executive Directors have also submitted signed and dated declarations of their independence or non-independence to the Board.

The Board makes a determination annually as to the independence or non-independence of each Non-Executive Director based on such declarations made on the defined criteria and other information available to the Board. The names of Directors determined to be “Independent” are set out in the Annual Report.

Mr. A.M. de S. Jayaratne, Mr. C.P.R. Perera and Mr. R. Seevaratnam are Directors of several subsidiaries of The Colombo Fort Land & Building PLC. Mr. A.M. de S. Jayaratne and Mr. C.P.R. Perera have served on the Board of some subsidiaries for a period exceeding nine years. These Independent Directors are also on the Boards of certain companies which has a significant shareholding in another and also serve on the Boards of some companies of which majority of the Directors serve on the Board of another, within the CFLB Group of companies. Mr. A.M. de S. Jayaratne and Mr. R. Seevaratnam have served on the Board of the Listed Entity for over a period of nine years. However, the Board having taken into consideration all other circumstances listed in the Rules pertaining to the Criteria for Defining Independence is of the view that the said Directors are nevertheless Independent.

Nomination Committee and Appointments to the Board

There is a formal and transparent procedure for the appointment of new Directors to the Board, which is in accordance with the recommendations made by the Nomination Committee, in consultation with the Chairman and in compliance with the provisions of the Articles of Association of the Company and the Rules on Corporate Governance.

The Nomination Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

Upon the appointment of a new Director to the Board, the Company makes the required disclosures to the shareholders by making announcements to the Colombo Stock Exchange.

Re-election of Directors

The Company's Articles of Association require two of the Directors in Office to retire at each Annual General Meeting. The Directors to retire in each year are those who have been longest in office since their last election or appointment. Retiring Directors are eligible for re-election by the shareholders.

DIRECTORS' REMUNERATION

Remuneration Committee and the Remuneration Procedure

The Remuneration Committee comprises of Mr. A.M. de S. Jayaratne, Chairman, Mr. R. Seevaratnam, Independent Non-Executive Directors and Mr. S.D.R. Arudpragasam, Non-Executive Director.

All managerial and secretarial services are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

The Remuneration Committee Report is set out on page 18 of this report.

RELATIONS WITH SHAREHOLDERS

Constructive use of Annual General Meeting (AGM) and Conduct of General Meetings

The Board makes use of the Annual General Meeting/General Meetings to communicate with shareholders and does encourage their active participation. The Board considers the AGM/General Meetings as an opportunity to communicate and maintain an appropriate dialogue with its shareholders and welcomes their suggestions. It also enables shareholders to meet and discuss Company matters with the Directors.

Major Transactions

In compliance with the requirements under Section 185 of the Companies Act No. 07 of 2007, the Directors take necessary measures to disclose to shareholders all proposed corporate transactions, which if entered into, would materially alter/vary the Company's net asset base.

ACCOUNTABILITY AND AUDIT

Financial Reporting and Going Concern

The Board undertakes the responsibility for the preparation and presentation of financial statements and ensures that they are prepared and presented in accordance with the Sri Lanka Accounting Standards adopted by The Institute of Chartered Accountants of Sri Lanka and the requirements of the Companies Act No. 07 of 2007. The Board values the timely publication of annual and quarterly results and other price-sensitive information enabling shareholders to make effective economic decisions and strives to take all possible steps to comply with the statutory requirements and procedures laid down by the Colombo Stock Exchange and the Securities and Exchange Commission with regard to those publications.

The Annual Report of the Board of Directors presents a balanced and understandable assessment of the Company's financial position, performance and future prospects.

The Directors, after making necessary inquiries and reviews of the Company's financial performance, position, future cash flows and potential borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue as “a going concern” in the foreseeable future. Further, the Directors do not intend either to liquidate or cease its operations and therefore, the “going concern assumption” adopted in the preparation of the financial statements is appropriate.

All statutory and material declarations are highlighted in the Annual Report of the Board of Directors.

Corporate Governance contd.

Compliance with Legal Requirements

The Board is conscious of its responsibility to the shareholders, the Government and the Society in which it operates and is unequivocally committed to upholding ethical behaviour in conducting its business. The Board strives to ensure that the Company and its Subsidiaries comply with the laws and regulations of the Country.

Internal Control

The Company maintains a sound internal control system to safeguard the shareholders' investment and the Company's assets. The Board is responsible for ensuring the Company has in place an effective system of internal controls and periodical reviews are held to identify any deviations that may need corrective action. The observations of the Audit Committee are reported to the Board for appropriate action.

Audit Committee

The Audit Committee for the financial year ended 31st March, 2018 comprised of three Non-Executive Directors of whom two were Independent. The Chairman of the Committee is an Independent Non-Executive Director. The members of the Committee possess financial and industry experience to assist the Board in discharging its duties effectively.

The Report of the Audit Committee is set out on pages 15 and 16 of this Annual Report.

Related Party Transactions Review Committee

The Related Party transactions are disclosed in Note 30 on pages 126 to 131.

The Report of the Related Party Transactions Review Committee appear on page 17.

The Company's compliance status with Section 7 and 9 of the Colombo Stock Exchange Listing Rules on Corporate Governance which is mandatory for listed entities is disclosed on pages 10 to 14.

ADHERENCE TO THE CORPORATE GOVERNANCE RULES OF THE COLOMBO STOCK EXCHANGE FOR LISTED COMPANIES

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.1 (a)	Non-Executive Directors	Two or at least one third of the total number of Directors should be Non-Executive Directors.	Complied	Corporate Governance
7.10.2 (a)	Independent Directors	Two or one third of Non-Executive Directors, whichever is higher, should be Independent.	Complied	Corporate Governance
7.10.2 (b)	Independent Directors	Each Non-Executive Director should submit a declaration of Independence / Non-Independence in the prescribed format.	Complied	Corporate Governance
7.10.3 (a)	Disclosure relating to Directors	The Board shall annually make a determination as to the Independence or Non-Independence of each Non- Executive Director and names of Independent Directors should be disclosed in the Annual Report.	Complied	Corporate Governance
7.10.3 (b)	Disclosure relating to Directors	The basis for the Board to determine a Director is Independent, if criteria specified for Independence is not met.	Complied	Corporate Governance
7.10.3 (c)	Disclosure relating to Directors	A brief resume of each Director should be included in the Annual Report containing information on the nature of his/her expertise in relevant functional areas.	Complied	Directors' Profiles
7.10.3 (d)	Disclosure relating to Directors	Provide a brief resume of new Directors appointed to the Board with details specified in Rule 7.10.3(a), (b) and (c) mentioned above.	Complied	Directors' Profiles and Corporate Governance

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
7.10.5	Remuneration Committee	A Listed Company shall have a Remuneration Committee in conformity with the following; (a) Composition (b) Function (c) Disclosure in the Annual Report	Complied	Corporate Governance and Remuneration Committee Report
7.10.6	Audit Committee	The Company shall have an Audit Committee.	Complied	Corporate Governance and Audit Committee Report
7.10.6 (a)	Composition of Audit Committee	• Shall comprise of a minimum of two Independent Non-Executive Directors or Non-Executive Directors a majority of whom shall be Independent, which ever shall be higher.	Complied	Audit Committee Report
		• A Non-Executive Director shall be appointed as the Chairman of the Committee.	Complied	Audit Committee Report
		• Unless otherwise determined by the Audit Committee the Chief Executive Officer and the Chief Financial Officer shall attend Audit Committee Meetings.	Complied The Group Managing Director attends meetings	Audit Committee Report
		• The Chairman of the Audit Committee or one member should be a member of a professional accounting body.	Complied	Audit Committee Report
7.10.6 (b)	Audit Committee Functions	Functions shall include;		
		a. Overseeing the preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards.	Complied	Audit Committee Report
		b. Ensuring Compliance with financial reporting requirements, information requirements of the Companies Act and other relevant financial reporting related regulations and requirements.	Complied	
		c. Overseeing the processes to ensure that the internal controls and risk management are adequate to meet the requirements of the Sri Lanka Auditing Standards.	Complied	
		d. Assessment of the Independence and performance of the External Auditors.	Complied	
		e. Making recommendations to the Board pertaining to appointment, re-appointment and removal of External Auditors, and approving the remuneration and terms of engagement of External Auditors.	Complied	
7.10.6 (c)	Disclosure in the Annual Report	a. Names of Directors comprising the Audit Committee.	Complied	Audit Committee Report
		b. The Audit Committee shall make a determination of the Independence of the Auditors and disclose the basis for such determination.	Complied	
		c. The Annual Report shall contain a Report of the Audit Committee setting out of the manner of compliance with their functions.	Complied	
9.1	Related Party Transactions - Shareholder Approval	The Listed entity shall obtain prior approval from the shareholders by way of a Special Resolution for the Related Party Transactions listed below;		

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.1.1	Non-Recurrent Transactions	(a) Any Related Party Transaction of a value equal to, or more than: i. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the Total Assets of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other non-recurrent transactions entered into with the same Related Party during the same financial year.	Not Applicable Not Applicable	Not Applicable Not Applicable
9.1.2	Recurrent Transactions	(a) Any recurrent Related Party Transaction of value equal to, or more than i. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the Entity as per the latest Audited Financial Statements of the entity; or ii. 1/3 of the gross revenue (or equivalent term for revenue in the Income Statement) and in the case of group entity consolidated group revenue of the entity as per the latest Audited Financial Statements of the entity, when aggregated with other recurrent transactions entered into with the same Related Party during the same financial year. and iii. the transactions are not in the ordinary course of the business and in the opinion of the Related Party Transactions Review Committee, are on terms favourable to the Related Party than those generally available to the public	Not Applicable Not Applicable Not Applicable	Not Applicable Not Applicable Not Applicable
9.2	Related Party Transactions Review Committee	A listed Company shall have a Related Party Transactions Review Committee (RPTRC) in Conformity with the following:		
9.2.1	Review of Transactions	Except for transactions set out in Rule 9.5, all other Related Party Transactions should be reviewed by the Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee Report
9.2.2	Composition	The Committee shall comprise a combination of Non-Executive Directors and Independent Non- Executive Directors and may also include Executive Directors at the option of the Listed Entity. One Independent Non-Executive Director shall be appointed as Chairman.	Complied Complied	Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.2.3	Related Party Transactions Review Committee of the Parent Company	In a situation where both the parent company and the subsidiary are Listed Entities, the RPTRC of the parent company may be permitted to function as the RPTRC of the Subsidiary.	Not Applicable	Not Applicable
		However, if the Parent Company is not a Listed Entity, then RPTRC of the Parent Company is not permitted to act as the RPTRC of the subsidiary. The Subsidiary shall have a separate RPTRC.	Not Applicable	Not Applicable
9.2.4	Committee Meetings	The Committee shall meet at least once a calendar quarter	Committee has met four times.	Related Party Transactions Review Committee Report
	Documentation of minutes	The Committee shall ensure that the minutes of all meetings are properly documented and communicated to the Board of Directors.	Complied	Related Party Transactions Review Committee Report
9.2.5	Professional and Expert Advice	Directors of the Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions, and where necessary, they should obtain appropriate professional and expert advice from an appropriately qualified person.	Complied	Related Party Transactions Review Committee Report
9.3	Disclosures			
9.3.1	Immediate Disclosures	i. The Listed Entity shall make an immediate announcement to the exchange: of any Non-Recurrent Related Party Transaction with value exceeding 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. or of the latest transaction if the aggregate value of all Non-Recurrent Related Party Transactions entered into with the same Related Party during the same Financial year amounts to 10% of the equity or 5% of the total assets whichever is lower, of the entity as per the latest Audited Financial Statements. ii. Listed entity shall disclose subsequent non-recurrent transactions which exceeds 5% of the equity of the entity, entered into with the same Related Party during the financial year.	Not Applicable Not Applicable Not Applicable	All the Non- Recurrent transactions were below the disclosure threshold

Corporate Governance contd.

CSE Rule No.	Subject	Applicable Requirement	Compliance Status	Applicable Section in the Annual Report
9.3.2	Disclosure in the Annual Report	a) Disclosure of Non-Recurrent Related Party Transactions if aggregate value of the Non- Recurrent Related Party Transactions exceeds 10% of the equity or 5% of the Total Assets, whichever is lower, of the Listed Entity as per the latest Audited Financial Statements, the information must be presented in the Annual Report in accordance with the prescribed format under 9.3.2 (a) of the Listing Rules. b) Disclosure of Recurrent Related Party Transactions If the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/ income (or equivalent term in the Income Statement and in the case of group entity consolidated revenue) as per the latest Audited Financial Statements, the Listed entity must disclose the aggregate value of Recurrent Related Party Transactions entered into during the financial year in the Annual Report in accordance with the prescribed format under 9.3.2 (b) of the Listing Rules. c) Report by the Related Party Transactions Review Committee d) A declaration by the Board of Directors	Not Applicable Not Applicable Complied Complied	All the Non- Recurrent transactions were below the disclosure threshold All the Recurrent transactions were below the disclosure threshold Related Party Transactions Review Committee Report Related Party Transactions Review Committee Report and Annual Report of the Board of Directors
9.4	Acquisition and Disposal of Assets from/ to Related Parties			
9.4.1		The Listed Entity nor any of its subsidiaries without obtaining prior approval from the shareholders by way of a special resolution, should not acquire or dispose of from / to any Related Party an asset/assets amounting to value which exceeds 1/3 of the total assets of the Entity (a substantial asset) as per latest Audited Financial Statements	Not Applicable	Not Applicable
9.4.4		The members of the Related Party Transactions Review Committee should obtain competent independent advice from independent professional experts with regard to the value of the substantial assets of the Related Party Transaction under consideration.	Not Applicable	Not Applicable
9.4.5		The competent independent advice obtained in terms of Rule 9.4.4 above should be circulated with the notice of meeting to obtain the shareholder approval as set out in Rule 9.4.1 above.	Not Applicable	Not Applicable

Audit Committee Report

The responsibilities of The Colombo Fort Land & Building PLC's Audit Committee are governed by the Rules and Regulations which are approved and adopted by the Board. The Board fulfils its overall responsibility to the shareholders in relation to the integrity of the Company's financial reporting process in accordance with the Companies Act and other legislative reporting requirements including adequacy of disclosures in the financial statements in accordance with the Sri Lanka Accounting Standards.

Role of the Audit Committee

The role of the Audit Committee is to assist the Board in fulfilling its oversight responsibilities in relation to the integrity of the financial statements of the Company and the Group.

The Audit Committee reviews and advises the Company to ensure that the Financial Reporting system is in adherence with the Sri Lanka Accounting Standards and other regulatory and statutory requirements. It also reviews the adequacy of internal controls and the business risks and the independence of the Company's External Audit function.

The Audit Committee has reviewed and discussed the Group's quarterly and annual financial statements prior to publication, with the management and External Auditors. The review included ascertaining compliance of same with the Sri Lanka Accounting Standards, the appropriateness and changes in accounting policies and material judgemental matters. The Committee also discussed with the External Auditors and management, any matters communicated to the Committee by the External Auditors in their reports to the Committee on the audit for the year.

The Committee also reviews the financial reporting system adopted by the Group in the preparation of its Quarterly and Annual Financial Statements to ensure reliability of the processes and consistency of the accounting policies and methods adopted and compliance thereof with the Sri Lanka Accounting Standards laid down by The Institute of Chartered Accountants of Sri Lanka. The methodology included obtaining statement of compliance by the Heads of Finance and Directors-in-Charge of subsidiaries. The Committee recommends the Financial Statements to the Board of Directors for its deliberation and issuance. The Committee in its evaluation of the Financial Reporting System also recognised the adequacy of the content and the quality of routine management information and reports forwarded to its members.

The Committee's responsibilities pertain to the Group as a whole and in discharging its responsibilities, the Committee places reliance on the work of other Audit Committees in the Group without prejudicing the independence of those Committees. However, to the extent, and in a manner it considers appropriate, the Committee provides feedback to those entities for their consideration and necessary action.

The Committee obtained independent input from the External Auditors on the effects of several new Sri Lanka Accounting Standards that will come into effect in the next few years and satisfied themselves that the necessary preparatory work was being undertaken to enable the Company and the Group to adopt them.

Composition

The Audit Committee for the financial year ended 31st March, 2018 comprised of three Non-Executive Directors of whom two were independent. The Chairman of the Committee, Mr. R. Seevaratnam, an Independent Non-Executive Director, is a Fellow member of the Institute of Chartered Accountants of Sri Lanka (FCA) and England & Wales. The members of the Committee are named below.

Mr. R. Seevaratnam	- Chairman - Independent Non-Executive
Mr. A.M. de S. Jayaratne	- Independent Non-Executive
Mr. S.D.R. Arudpragasam	- Non-Executive

The Committee has a blend of experience in the commercial sector with financial expertise, audit exposure and high standing of integrity and business acumen in order to carry out their role efficiently and effectively.

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited function as the Secretaries to the Audit Committee.

Meetings and Attendance

The Audit Committee has met on eight occasions during the financial year ended 31st March, 2018 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(5/8)
Mr. A.M. de S. Jayaratne	(8/8)
Mr. S.D.R. Arudpragasam	(7/8)

Representatives from Corporate Managers & Secretaries (Private) Limited, Managers & Secretaries, the Group Managing Director and other Directors and Senior Management Personnel are invited to the meetings as and when required. The proceedings of the Audit Committee are regularly reported to the Board.

Audit Committee Report contd.

Terms of Reference

The Committee is governed by specific terms of reference set out in the Audit Committee Charter. The Committee focuses on the following objectives in discharging its responsibilities taking into consideration the terms of reference together with the requirements of the Listing Rules of the Colombo Stock Exchange.

- a) Risk Management.
- b) Efficiency of the system of internal controls.
- c) Independence and objectivity of the External (Statutory) Auditors.
- d) Appropriateness of the principal accounting policies used.
- e) Financial Statement integrity.

Compliance

The Audit Committee reviewed the activities and the financial affairs of the Company and its Subsidiaries and the financial reporting system adopted in the preparation of the Quarterly and Annual Financial Statements to ensure reliability of the processes, appropriateness and consistency of the accounting policies and methods adopted in order to comply with the requirements of the Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007 and other relevant statutory and regulatory requirements. The Committee also reviewed the quarterly and year end Financial Statements and have recommended their adoption to the Board of Directors.

Group Internal Audit

The Committee assessed the adequacy of existing internal controls and risk management procedures and has recommended to the Board additional controls and risk mitigating strategies that could be implemented to strengthen the existing internal control system.

Further, the Committee has reviewed the routine operations of the Company and assessed the future prospects of its business operations and accordingly ensures that the going concern assumption used in the preparation of the financial statements, is appropriate.

A few companies of the Group have outsourced the internal audit function in order to strengthen the internal control measures.

External Audit

The Company has appointed KPMG, Chartered Accountants as its External Auditor for the financial year ended 31st March, 2018 and the services provided by them are segregated between audit/assurance services and other advisory services such as tax consultancy. The Committee has reviewed the progress and conduct of the statutory audit function and discussed the audit related issues with the Auditors. The Committee has also negotiated with the External Auditors on the quantum of their fees and incidental expenses.

The Committee after evaluating the independence and performance of the External Auditors has recommended to the Board the reappointment of KPMG, Chartered Accountants, for the financial year ending 31st March, 2019 subject to the approval of the Shareholders at the Annual General Meeting of the Company.

Conclusion

The Audit Committee is satisfied that the effectiveness of the organisational structure of the Group and Company in the implementation of the accounting policies and operational controls provide reasonable assurance that the affairs of the Group and Company are managed in accordance with accepted policies and that assets are properly accounted for and adequately safeguarded.

(Sgd.)

R. Seevaratnam
Chairman
Audit Committee

23rd August, 2018

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee is entrusted with the responsibility of ensuring that the interests of the Shareholders are taken into consideration when entering into a Related Party Transaction.

Composition

The Related Party Transactions Review Committee of the Company comprises of the following members:

Mr. R. Seevaratnam	- Chairman - Independent /
	Non-Executive Director
Mr. A.M. de S. Jayaratne	- Member- Independent/
	Non-Executive Director
Mr. S.D.R. Arudpragasam	- Member- Non-Executive Director

The Company's Secretaries, Corporate Managers & Secretaries (Private) Limited, functions as the Secretaries to the Related Party Transactions Review Committee.

Meetings of the Committee

The Related Party Transactions Review Committee met on four occasions during the financial year ended 31st March, 2018 and the attendance was as follows:

Mr. R. Seevaratnam - Chairman	(1/4)
Mr. A.M. de S. Jayaratne	(4/4)
Mr. S.D.R. Arudpragasam	(4/4)

In addition to these Meetings certain Related Party Transactions were referred to the RPTRC and have been reviewed and recommended by Resolutions in writing.

The activities and views of the Committee would be communicated on a regular basis to the Board of Directors by tabling the Minutes of the Committee Meetings at Meetings of the Board.

Functions of the Committee:

- To identify the persons/entities considered to be Related Parties.
- Review all proposed Related Party Transactions. (Except for transactions which are exempted)
- Advise Management on Related Party Transactions and where necessary direct the transactions for Board approval / Shareholder approval as deemed appropriate.
- Obtain updates on previously reviewed Related Party Transactions from Senior Management and approve any material changes.
- Establish guidelines for Senior Management to follow in ongoing dealings with Related Parties.
- Review and assess on an annual basis the transactions for Compliance against the Committee guidelines.
- Ensuring that immediate market disclosures and disclosures in the Annual Report are made as required by the applicable rules and regulations.

Conclusion

The Related Party Transactions Review Committee has reviewed the Related Party Transactions entered into during the financial year under review and has communicated its comments and observations to the Board of Directors.

The Board of Directors have also declared in the Annual Report that there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 9 of the Colombo Stock Exchange Listing Rules and that the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

(Sgd.)

R. Seevaratnam

Chairman

Related Party Transactions Review Committee

23rd August, 2018

Remuneration Committee Report

The Remuneration Committee of The Colombo Fort Land & Building PLC consists of the following members:

Mr. A.M. de S. Jayaratne - Chairman / Independent Non-Executive

Mr. R. Seevaratnam - Independent Non-Executive

Mr. S.D.R. Arudpragasam - Non-Executive

The main function of the Remuneration Committee is to assist the Board in developing and administering an equitable and transparent method for setting policy on the overall human resources strategy of the Group.

The Company does not have any employees and as such does not require the Remuneration Committee to decide on Executive compensation. The individual Group Companies have their own Remuneration Committees.

The Remuneration Committee meets on the same day as the Audit Committee of CFLB only if it is required, to give guidance and recommendations to any of the Remuneration Committees of its subsidiaries.

(Sgd.)

A.M. de S. Jayaratne

Chairman

Remuneration Committee

23rd August, 2018

Annual Report of the Board of Directors

The Board of Directors of The Colombo Fort Land & Building PLC present their Report on the affairs of the Company together with the Audited Financial Statements for the year ended 31st March, 2018.

The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, and the Colombo Stock Exchange Listing Rules and are guided by recommended best practices.

GENERAL

The Company was re-registered on 3rd July, 2008 as required under the Companies Act No. 07 of 2007.

PRINCIPAL ACTIVITIES AND BUSINESS REVIEW

The principal activities of the Company together with those of its subsidiary companies have been described in the Notes to the Financial Statements in this Annual Report. A review of the Company's business and its performance during the year with comments on financial results is contained in the Chairman's Review which together with the Financial Statements reflects the state of affairs of the Company.

The Directors to the best of their knowledge and belief confirm that the Company has not engaged in any activities that contravene laws and regulations.

FINANCIAL STATEMENTS

The Financial Statements of the Company are given on pages 30 to 143.

INDEPENDENT AUDITORS' REPORT

The Independent Auditors' Report on the Financial Statements is given on page 24 to 29.

ACCOUNTING POLICIES

The accounting policies adopted in the preparation of Financial Statements are given on pages 36 to 50.

INTEREST REGISTER

Directors' Interest in Transactions

The Directors have made general disclosures as provided for in Section 192(2) of the Companies Act No. 07 of 2007. These have been entered in the Interest Register which is maintained by the Company. The Company carries out transactions in the ordinary course of business with entities in which a Director of the Company is a Director and the said transactions are disclosed in Note 30 'Related Party Transactions', on pages 126 to 131.

The Directors have no direct or indirect interest in any other contract or proposed contract with the Company.

Directors' Interest in Shares

Directors of the Company who have an interest in the shares of the Company are required to disclose their shareholdings and any acquisitions/disposals to the Board in compliance with Section 200 of the Companies Act.

Details pertaining to Directors' direct shareholdings are set out below:

Name of Director	No. of shares as at 31.03.2018	No. of shares as at 31.03.2017
A. Rajaratnam	500	-
S.D.R. Arudpragasam	176,000	176,000
A.M. de S. Jayaratne	500	500
R. Seevaratnam	-	-
Anushman Rajaratnam	-	-
Ms. A.K. Gunawardhana	25,000	25,000
C.P.R. Perera	10,000	10,000
S. Rajaratnam	22,043	-
P.M.A. Sirimane	-	-

DIRECTORS' REMUNERATION

Key management personnel compensation in respect of the Company for the financial year 2017/2018 is given in Note 7 to the Financial Statements on page 52.

CORPORATE DONATIONS

No donations were made by the Company during the year.

DIRECTORATE

The names of the Directors who held office during the financial year are given below and are profiled on pages 5 and 6.

Mr. A. Rajaratnam	- Chairman
Mr. S.D.R. Arudpragasam	- Deputy Chairman
Mr. Anushman Rajaratnam	- Group Managing Director
Mr. A.M. de S. Jayaratne	
Mr. R. Seevaratnam	
Ms. A.K. Gunawardhana	
Mr. C.P.R. Perera	
Mr. P.M.A. Sirimane	- Group Finance Director
Mr. Sanjeev Rajaratnam	

Mr. P.M.A. Sirimane was appointed as Group Finance Director with effect from 1st June 2018.

In terms of Articles 85 and 86 of the Articles of Association Mr. P.M.A. Sirimane and Mr. Sanjeev Rajaratnam retire by rotation and being eligible offer themselves for re-election.

Mr. A.M. de S. Jayaratne who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Annual Report of the Board of Directors contd.

Mr. A. Rajaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. R. Seevaratnam who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

Mr. C.P.R. Perera who is over seventy years of age retires and offers himself for reappointment under and by virtue of the Special Notice received from a shareholder of the Company which is referred to in the Notice of Meeting.

CORPORATE GOVERNANCE

The Corporate Governance Principles adhered to by the Company are given on pages 8 to 14.

AUDITORS

The Financial Statements of the Company for the year have been audited by Messrs. KPMG, Chartered Accountants, who retire at the forthcoming Annual General Meeting. The retiring Auditors have expressed their willingness to continue as Auditors of the Company and are recommended for reappointment. A resolution to reappoint them and to authorise the Directors to determine their remuneration will be proposed at the Annual General Meeting. They were paid Rs.1,050,000/- (2016/17 - Rs.990,000/-) as audit fees by the Company. In addition, they were paid Rs.132,000/- (2016/17 - Rs.124,000/-) by the Company for non-audit related work, which consists mainly of fees for tax compliance services.

As far as the Directors are aware the Auditors do not have any relationship (other than that of an Auditor) with the Company. The Auditors do not have any interest in the Company.

REVENUE

The revenue of the Company for the year was Rs.86.33 million (2016/17 – Rs.29.90 million).

RESULTS

The Company made a net profit before tax of Rs.109.41 million against a profit of Rs.130.10 million in the previous year. The detailed results are given in the Statement of Profit or Loss & Other Comprehensive Income on page 30.

DIVIDENDS

The Directors are pleased to recommend the payment of a First and Final Dividend of Rs. 0.15 per share on the ordinary shares of the Company for the year ended 31st March, 2018 for approval by the shareholders at the forthcoming Annual General Meeting to be held on 28th September 2018.

The Directors have confirmed that the Company satisfies the solvency test requirement under Section 56 of the Companies Act No. 07 of 2007 for the dividend proposed.

A solvency certificate has been sought from the Auditors in respect of the aforementioned dividend.

INVESTMENTS

The Cost of Investments in Quoted Securities held as at 31st March, 2018 were Rs. 1,222.29 million (2016/17 – Rs.909.19 million) and the Market Value of such Investments were Rs. 3,058.78 million (2016/17 - Rs.3,194.22 million). The detailed investment portfolio is given in Notes 14, 15 and 16 to the Financial Statements on pages 73 to 95.

PROPERTY, PLANT & EQUIPMENT

During 2017/18, the Company invested Rs.13.65 million in Property, Plant & Equipment (2016/17 - Rs.1.36 million). Further, your Directors are of the opinion that the net amounts at which Property, Plant & Equipment appear in the Statement of Financial Position, are not greater than their market value as at 31st March, 2018.

INVESTMENT PROPERTY

The Lease Agreement dated 17th September 1984 between the Company and York Arcade Holdings PLC (YAH) expired on 31st August 2017. As per the Lease Agreement Rs.86.86 million was paid to YAH following its Board decision not to renew the Lease.

STATED CAPITAL

In compliance with the Companies Act No. 07 of 2007, the Financial Statements reflect the Stated Capital of the Company. The Stated Capital is the total of all amounts received by the Company in respect of issue of shares.

The Stated Capital of the Company as at 31st March, 2018 was Rs.327 million represented by 180,000,000 issued and fully paid Ordinary Shares.

RESERVES

The total reserves of the Company as at 31st March, 2018 amounted to Rs. 1,096.66 million (2016/17 - Rs.1,185.93 million). The Reserves comprise, Property Development Reserve of Rs.10 million (2016/17 - Rs.10 million), General Reserve of Rs.0.5 million (2016/17 - Rs.0.5 million), Available for Sale Reserve of Rs.1.22 million (2016/17 - Rs.1.34 million) and the accumulated profit of Rs.1,084.94 million (2016/17 - Rs.1,174.09 million). The movements are shown in the Statement of Changes in Equity in the Financial Statements.

TAXATION

In terms of the Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto the Company is liable to pay income tax at the rate of 28% for the Year of Assessment 2017/18. The details of the Income Tax Computation are given in Note 8 to the Financial Statements on pages 53 to 56.

RELATED PARTY TRANSACTIONS

During the financial year there were no recurrent or non-recurrent related party transactions which exceeded the respective thresholds mentioned in Section 09 of the Colombo Stock Exchange Listing Rules and the Company has complied with the requirements of the Listing Rules on Related Party Transactions.

The Related Party Transactions presented in the Financial Statements are disclosed in Note 30 from page 126 to 131.

SHARE INFORMATION

Information relating to earnings, net assets, market value per share and share trading is given on pages 145 and 146.

EVENTS AFTER THE REPORTING DATE

No Circumstances have arisen since the Reporting date that would require adjustments to or disclosure in the Financial Statements other than those disclosed in Note 37 to the Financial Statements on page 140.

CAPITAL COMMITMENTS AND CONTINGENT LIABILITIES

Capital Commitments and Contingent Liabilities as at the Reporting date are disclosed in Notes 34 and 35 to the Financial Statements on pages 137 to 139.

EMPLOYMENT POLICY

All operational services are provided by Corporate Managers & Secretaries (Private) Limited, Managers and Secretaries, to whom a fee is paid.

SHAREHOLDERS

It is the Company's policy to endeavour to ensure equitable treatment to its shareholders.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the Government have been paid or where relevant, provided for.

ENVIRONMENTAL PROTECTION

The Group's business activities can have direct and indirect effects on the environment. It is the Group's policy to minimise any adverse effect its activities have on the environment and to promote co-operation and compliance with the relevant authorities and regulations. The Directors confirm that the Group has not undertaken any activities which have caused or are likely to cause detriment to the environment.

INTERNAL CONTROL

The Directors acknowledge their responsibility for the Company's system of internal control. The system is designed to give assurance regarding the safeguarding of assets, the maintenance of proper accounting records and the reliability of financial information generated.

GOING CONCERN

The Directors, after making necessary inquiries and reviews of the Company's future prospects and risks, cash flows and borrowing facilities, have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. Therefore, the going concern basis has been adopted in the preparation of the Financial Statements.

For and on behalf of the Board,

(Sgd.)
Anushman Rajaratnam
Director

(Sgd.)
A.M. de S. Jayaratne
Director

By Order of the Board,

(Sgd.)
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
23rd August, 2018

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Independent Auditor's Report



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(Chartered Accountants)
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TO THE SHAREHOLDERS OF THE COLOMBO FORT LAND & BUILDING PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of The Colombo Fort Land & Building PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at March 31, 2018, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 36 to 143.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at March 31, 2018, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the company financial statements and the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the company financial statements and the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KPMG, a Sri Lankan partnership and a member firm of the KPMG network of independent member firms affiliated with KPMG International Cooperative ("KPMG International"), a Swiss entity.

M.R. Mihular FCA	P.Y.S. Perera FCA	C.P. Jayatilake FCA
T.J.S. Rajakarier FCA	W.W.J.C. Perera FCA	Ms. S. Joseph FCA
Ms. S.M.B. Jayasekara ACA	W.K.D.C. Abeyrathne FCA	S.T.D.L. Perera FCA
G.A.U. Karunaratne FCA	R.M.D.B. Rajapakse FCA	Ms. B.K.D.T.N. Rodrigo FCA
R.H. Rajan FCA	M.N.M. Shameel ACA	Ms. C.T.K.N. Perera ACA

Principals - S.R.I. Perera FCMA(UK), LLB, Attorney-at-Law, H.S. Goonewardene ACA



The Key Audit Matter	Our Response
Carrying Value of Goodwill The carrying amount of goodwill could be materially misstated if inappropriate judgments and estimates were used by the management in calculating the recoverable amount for each cash generating unit ('CGU') as part of their impairment assessment. The recoverable amount of goodwill is determined based on value in use calculation. These calculations used cash flows projected using judgments and estimates based on the financial budgets approved by the management. We have identified the carrying amount of goodwill as a key audit matter since it is based on forecasted and discounted cash flows, which are inherently judgemental. See note 2.4 for Use of Judgements and Estimates and note 13.1 and 3.1, 3.2.8 for information and accounting policy.	Our audit procedures included: Challenging management's identification of CGUs against our understanding of the business and the definition as set out in the accounting standards. Assessing the appropriateness of the calculation of the value in use of each CGU and the associated headroom, performing recalculations to test the mechanical accuracy of those amounts. Evaluating the reasonableness of the group's key assumptions for its cash flow projection such as discount rates, cost inflation and business growth with reference to the internally and externally derived sources including group budgetary process and reasonableness of historical forecasts. Assessing the adequacy of disclosures made in the financial statements.
Carrying Value of Immature and Mature Plantation Bearer plants mainly include mature and immature tea, rubber & oil palm trees in identified plantation fields. We have focused on this area due to the significant judgment involved in determining the point at which a plant is deemed ready for commercial harvesting. As per the industry practice, transfer of immature plantations to mature plantation fields happens at the point of commencement of commercial harvesting. The actual point at which commercial harvesting could start depend on the soil condition, weather patterns and plant breed. Appropriate transfer from immature to mature plantations has a significant impact on the carrying value of the bearer plants and the reported profits as capitalisation of costs will cease from the point of transfer and the mature plantations are depreciated over the useful lives of the plants. See note 2.4 for Use of Judgements and Estimates and note 10.4, 11.1, 11.2 and 3.2.1, 3.8.3 for information and accounting policy.	Our audit procedures included: Obtaining a schedule of costs incurred and capitalized under immature plantations as well as cost transferred to mature plantations by each estate. Verifying and reconciling these balances to the general ledger on a sample basis. Where required obtaining explanations from management for any significant variances identified. Assessing the accuracy of the budgeted cost by comparing actual costs transferred to mature plantations from immature plantations, to budgeted costs included in the annual board approved budgets to assess if the actual costs are consistent with management expectations at the beginning of the financial year. On a sample basis, testing immature to mature cost transfer worksheet for selected estates to check whether the amounts transferred during the year was consistent with the company accounting policy and industry norms. Assessing the adequacy of disclosures made in the financial statements.

Independent Auditor's Report contd.



Valuation of Consumable Biological Assets	
The timber trees on estates managed by the group are classified as consumable biological assets and are measured at each reporting date at fair value less estimated cost to sell at harvest. The trees younger than 5 years are carried at cost less impairment as the fair value cannot be reliably measured. Timber trees include both immature and mature plantations. The market for timber trees are impacted by factors such as topographical characteristics of the land, age and condition of timber trees and the economic conditions that drives the supply and demand. Management engaged an independent subject matter expert who is an incorporated valuer and a member of The Institute of Valuers of Sri Lanka to perform an independent valuation of the consumer biological assets of the company as at reporting date. Key judgements and assumptions are used by the independent valuer in the following areas; - Discount rates - Estimation of height and girth of trees to arrive volume of timber - Value per Cubic meter We identified valuation of consumable biological assets as a key audit matter because the valuation of consumables biological assets involved significant judgment exercised by the Company and external valuation expert and were subject to estimated uncertainty. See note 2.4 for Use of Judgements and Estimates and note 10.5, 10.6 and 3.8.10 for information and accounting policy.	Our audit procedures included: Evaluating the competence, capabilities and objectivity of the independent valuer. Obtaining estate-wise census books of timber trees and comparing the number of timber trees with the valuation report to ensure the completeness and accuracy of the data. We also evaluated the accuracy of valuation formulae contained in the valuation report. Physically verifying sample of trees during estate visits to assess the girth and height of the respective trees. Evaluating the assumptions used in estimating girth and height were compared with the market projections and industry norms that are generally accepted in determining volume of timber. Evaluating the key assumptions used in the valuation, in particular the discount rate and market price. Assessing the adequacy of disclosures made in the financial statements.



Recoverability of Trade Receivables	
The recoverability of trade receivables is dependent on the credit worthiness of customers, customer-specific conditions, the current market and their ability to settle the amounts due, all of which involve a significant degree of management judgement. We identified assessing the recoverability of trade receivables as a key audit matter because of the significance of the trade receivables to the consolidated financial statements and the assessment of the recoverability is inherently subjective and required significant management judgement, which increases the risk of error or potential management bias. See note 19 and note 3.3.1.(b) for information and accounting policy.	Our audit procedures included: Understanding and evaluating the design, implementation and operating effectiveness of management's key internal controls in respect of the valuation of trade receivables, which included credit control procedures and the application of the Group's impairment provisioning policy. Checking the accuracy and completeness of ageing of receivables considered for impairment on a sample basis. Identifying significant or long overdue trade receivables by inspecting the ageing reports and challenging management's assessment of those trade receivables' recoverability, taking into consideration the ageing of the balances, credit terms, recent settlement patterns, identified default or disputes, the debtors' financial condition and recent communications with debtors; Assessing the adequacy of the impairment provision by testing a sample of long overdue customer balances for recoverability by reviewing cash received subsequent to the year end, reviewing other evidences, including customer correspondence and holding discussions with management personnel. Evaluating the historical accuracy of provisions for impairment of trade receivables made by management at the end of the previous financial year by examining the actual losses recorded during the current financial year and assessing whether there was an indication of management bias when making provisions for impairment of trade receivables. Assessing the adequacy of disclosures made in the financial statements.
Carrying Value of Inventories	
The Group's has a significant amount of inventories and judgement is exercised with regard to categorization of inventories as obsolete and/or slow moving to be considered for provisioning; estimates are then involved in arriving at provisions against cost in respect of slow moving and obsolete inventories to arrive at valuation based on lower of cost and net realisable value. Given the level of judgements and estimates involved this is considered to be a key audit matter. See note 18 and note 3.2.9 for information and accounting policy.	Our audit procedures included: Testing key controls over inventory valuation. Testing the controls designed to identify slow moving and/or obsolete inventories. Comparison of inventory levels, by product group, to sales data to corroborate whether slow moving and obsolete inventories had been appropriately identified and challenge the Group's categorization as obsolete or slow moving. Assessing the realisation of inventories during the period and after the period end and comparing these to expected recoveries for inventories categorized as obsolete and/or slow moving at the period end date. Assessing whether the accounting policies had been consistently applied and the adequacy of disclosures made in the financial statements.

Independent Auditor's Report contd.



Recoverability of Deferred Tax Assets	
The group has recognized significant deferred tax assets in respect of accumulated tax losses which management considered would probably be utilised or recovered in the future through the generation of future taxable profits by the group entities or by off-setting against deferred tax liabilities. The recognition of deferred tax assets relies on the exercise of significant judgement by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profit being generated. We identified the recognition of deferred tax assets as a key audit matter because of its significance to the consolidated financial statements and because of the significant management judgement and estimation required in forecasting future taxable profits. See note 2.4 for Use of Judgements and Estimates and note 17, 26 and 3.7.2 for information and accounting policy.	Our audit procedures included: Assessing and challenging the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets. This included challenging the key assumptions in future taxable profits forecasts for each Group entity with accumulated unutilised tax losses by comparing the most significant inputs used in the forecasts, including future revenue, margins and operating cost growth rates, with the historical performance of the entities, management's forecasts used for other purposes and our knowledge of the business gained from other audit procedures. Assessing adequacy of disclosures made in the financial statements.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



As part of an audit in accordance with SLAuSs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1224.

(sgd.)

KPMG

CHARTERED ACCOUNTANTS

Colombo, Sri Lanka

23rd August 2018

Statement of Profit or Loss & Other Comprehensive Income

For the year ended 31st March,		GROUP		COMPANY	
		2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
	Notes				
Revenue	4	43,293,386	41,016,474	86,331	29,900
Cost of Sales		(34,530,194)	(33,175,713)	-	-
Gross Profit		8,763,192	7,840,761	86,331	29,900
Other Income	5.1	1,419,043	715,853	132,640	177,697
Distribution Expenses		(3,174,662)	(2,950,859)	-	-
Administrative Expenses		(4,178,843)	(4,220,778)	(74,255)	(48,881)
Other Expenses	5.2	(317,931)	(193,546)	441	(4,923)
Net Finance Cost	6	(2,652,547)	(2,112,672)	(35,751)	(23,690)
Share of Profit of Equity					
Accounted Investees (Net of Tax)	15.1	6,729	4,794	-	-
Share of Results of Joint Venture (Net of Tax)	15.2	(20,697)	-	-	-
Profit/(Loss) before Tax	7	(155,716)	(916,447)	109,406	130,103
Income Tax Expense	8	(152,561)	(161,816)	1,244	(7,651)
Profit/ (Loss) for the Year		(308,277)	(1,078,263)	110,650	122,452
Other Comprehensive Income					
Items that will not be reclassified to Profit or Loss					
Actuarial Gains/(Losses) on Defined Benefit Plans		(266,416)	373,370	-	-
Tax on Other Comprehensive Income		22,084	(64,903)	-	-
Share of Other Comprehensive Income of					
Equity Accounted Investees (Net of tax)		6,641	(21,999)	-	-
Items that are or may be reclassified to Profit or Loss					
Available for sale Financial assets -Reclassified to profit or loss		(11,581)	-	-	-
Net Change in Fair Value of Available-for-Sale Financial Assets		19,058	54,705	(125)	221
Exchange Differences on Translation of Foreign Operations		2,641	(1,208)	-	-
Other Comprehensive Income / (Loss) for the Year Net of Tax		(227,573)	339,965	(125)	221
Total Comprehensive Income/ (Loss) for the Year		(535,850)	(738,298)	110,525	122,673
Profit/(Loss) Attributable to:					
Owners of the Company		(499,967)	(879,480)	110,650	122,452
Non - Controlling Interest		191,690	(198,783)	-	-
Profit/(Loss) for the Year		(308,277)	(1,078,263)	110,650	122,452
Total Comprehensive Income Attributable to:					
Owners of the Company		(609,384)	(740,430)	110,525	122,673
Non - Controlling Interest		73,534	2,132	-	-
Total Comprehensive Income/ (Loss) for the Year		(535,850)	(738,298)	110,525	122,673
Earnings / (Deficit) per Share (Rs.)	9	(2.78)	(4.89)	0.61	0.68

The Notes from pages 36 to 143 form an integral part of these Financial Statements.
Figures in brackets indicate deductions.

Statement of Financial Position

As at 31st March,	Notes	GROUP		COMPANY	
		2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
ASSETS					
Non-Current Assets					
Property, Plant and Equipment	10	19,330,577	19,440,906	14,420	2,451
Biological Assets	10.6	1,777,139	1,521,779	-	-
Leasehold Property	11	443,421	477,706	-	-
Investment Property	12	644,860	424,535	803,539	719,098
Intangible Assets	13	1,060,195	984,008	-	-
Investments in Subsidiaries	14	-	-	1,448,404	1,129,373
Investments in Associates	15.1	451,912	442,787	91,525	89,434
Investment in Joint Venture	15.2	287,143	-	-	-
Other Financial Assets	16	603,628	614,981	1,536	1,662
Employee Benefits	27	46,828	107,381	-	-
Deferred Tax Assets	17	384,453	188,285	-	-
Total Non-Current Assets		25,030,156	24,202,368	2,359,424	1,942,018
Current Assets					
Inventories	18	7,485,684	6,897,538	-	-
Fair Value gain on growing produce of bearer Biological Assets	10.5	16,326	19,986	-	-
Trade & Other Receivables	19	9,034,641	7,929,745	2,368	51,412
Amounts due from Related Parties	30	22,988	106,366	116,423	180,586
Loans Given to Related Parties	30	-	-	107,000	355,500
Income Tax Recoverable		180,096	142,771	-	-
Other Financial Assets	16.3	747,641	759,601	-	-
Cash & Cash Equivalents	20	2,025,118	1,637,426	128,735	119,370
Total Current Assets		19,512,493	17,493,433	354,526	706,868
Assets Held for Sale	21	60,000	207,956	-	-
Total Assets		44,602,650	41,903,757	2,713,950	2,648,886
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	22	327,000	327,000	327,000	327,000
Capital Reserves	23	20,058	20,058	10,000	10,000
Reserves		4,779,872	6,539,747	1,086,663	1,175,934
Equity Attributable to Owners of the Company		5,126,930	6,886,805	1,423,663	1,512,934
Non - Controlling Interest		3,159,291	4,003,925	-	-
Total Equity		8,286,221	10,890,730	1,423,663	1,512,934
Non-Current Liabilities					
Loans and Borrowings	24	7,055,392	6,303,602	166,462	121,000
Deferred Income-Capital Grants	25	571,160	577,995	-	-
Deferred Tax Liabilities	26	1,129,441	513,932	188,875	26,605
Employee Benefits	27	2,871,135	2,443,983	-	-
Rent Received In Advance	28	17,920	30,162	-	-
Total Non-Current Liabilities		11,645,048	9,869,674	355,337	147,605
Current Liabilities					
Trade & Other Payables	29	7,771,268	7,053,712	40,395	48,204
Amounts due to Related Parties	30	665,198	389,133	659,862	725,610
Loans and Borrowings	24	12,542,010	10,187,199	71,129	61,500
Rent Received in Advance	28	8,772	-	8,772	187
Income Tax Payable		388,236	328,794	48,528	41,699
Bank Overdraft	20	3,295,897	3,184,515	106,264	111,147
Total Current Liabilities		24,671,381	21,143,353	934,950	988,347
Total Liabilities		36,316,429	31,013,027	1,290,287	1,135,952
Total Equity and Liabilities		44,602,650	41,903,757	2,713,950	2,648,886
Net Asset per Share (Rs.)		28.48	38.26	7.91	8.41

It is certified that the Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

(Sgd.)

M.V.M. Paulraj

Director

Corporate Managers & Secretaries (Private) Limited

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.

Approved and signed for and on behalf of the Board,

(Sgd.)

Anushman Rajaratnam

Director

(Sgd.)

A.M. de S. Jayaratne

Director

Colombo

23rd August, 2018

The Notes on pages 36 to 143 form an integral part of these Financial Statements.

Figures in brackets indicate deductions.

Statement of Changes in Equity

GROUP	Equity Attributable to Equity Holders of the Parent									
	Stated Capital	Property Development Reserve	Capital Redemption Reserve Fund	Available for Sale Reserve	General Reserve	Foreign Currency Translation Reserve	Accumulated Profit / (Loss)	Total	Non-Controlling Interest	Total
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Balance as at 01st April, 2016	327,000	15,190	4,868	889,736	84,453	-	6,384,778	7,706,025	4,246,250	11,952,276
Profit/ (Loss) for the year	-	-	-	-	-	-	(879,480)	(879,480)	(198,783)	(1,078,263)
Other Comprehensive Income for the Year	-	-	-	146,508	-	(1,208)	(6,251)	139,050	200,915	339,965
Dividend Paid - 2015/2016	-	-	-	-	-	-	(54,000)	(54,000)	-	(54,000)
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	-	(24,790)	(24,790)	(20,231)	(45,020)
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	(224,227)	(224,227)	(224,227)	-
Balance as at 31st March, 2017	327,000	15,190	4,868	1,036,244	84,453	(1,208)	5,420,257	6,886,805	4,003,925	10,890,730
Profit/ (Loss) for the year	-	-	-	-	-	-	(499,967)	(499,967)	191,690	(308,277)
Other Comprehensive Income for the Year	-	-	-	9,954	-	2,641	(122,013)	(109,418)	(118,156)	(227,573)
Dividend Paid - 2016/2017	-	-	-	-	-	-	(27,000)	(27,000)	-	(27,000)
Effect of change in percentage holdings in subsidiaries	-	-	-	-	-	-	(649,379)	(649,379)	(448,816)	(1,098,195)
Acquisition of Subsidiary	-	-	-	-	-	-	-	-	(75,761)	(75,761)
Deferred Tax on Revaluation of Land (Note 8.4.1)	-	-	-	-	-	-	(474,111)	(474,111)	(190,399)	(664,510)
Subsidiary Dividend to Non-Controlling Interest	-	-	-	-	-	-	-	-	(203,192)	(203,192)
Balance as at 31st March, 2018	327,000	15,190	4,868	1,046,198	84,453	1,433	3,647,788	5,126,931	3,159,291	8,286,221
COMPANY										
Balance as at 01st April, 2016	327,000	10,000	501	1,122	1,105,638	-	1,444,261	-	-	-
Profit for the year	-	-	-	-	122,452	-	122,452	-	-	-
Other Comprehensive Income for the Year	-	-	-	221	-	-	-	-	-	-
Dividend Paid - 2015/2016	-	-	-	-	(54,000)	-	(54,000)	-	-	-
Balance as at 31st March, 2017	327,000	10,000	501	1,343	1,174,090	-	1,512,934	-	-	-
Profit for the year	-	-	-	-	110,650	-	110,650	-	-	-
Other Comprehensive Income for the Year	-	-	-	(125)	-	-	(125)	-	-	-
Deferred Tax on Revaluation of Land (Note 8.4.1)	-	-	-	-	(172,796)	-	(172,796)	-	-	-
Dividend Paid - 2016/2017	-	-	-	-	(27,000)	-	(27,000)	-	-	-
Balance as at 31st March, 2018	327,000	10,000	501	1,218	1,084,944	-	1,423,663	-	-	-

The Notes from pages 36 to 143 form an integral part of these Financial Statements.

Statement of Cash Flows

For the year ended 31st March,		GROUP		COMPANY	
	Notes	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Cash Flows from Operating Activities					
Profit before Working Capital Changes	A	3,593,985	2,840,683	20,398	9,974
(Increase)/Decrease in Inventories		(505,797)	(285,557)	-	-
(Increase)/Decrease in Trade & Other Receivables		(1,031,008)	(216,422)	867	(119)
(Increase)/Decrease in Amounts due from Related Parties		97,485	28,383	64,163	(31,860)
Increase/(Decrease) in Trade & Other Payables		626,682	897,346	(9,164)	(27,731)
Increase/(Decrease) in Amounts due to Related Parties		259,622	136,359	(57,548)	108,730
Cash Generated from Operating Activities		3,040,970	3,400,789	18,716	58,994
Income Tax Paid		(391,293)	(351,465)	(2,454)	(4,437)
Interest Expenses Paid		(2,761,829)	(2,190,265)	(85,397)	(66,116)
Retiring Gratuity Paid		(407,489)	(184,208)	-	-
Rent Income Received		34,706	51,337	30,955	-
Net Cash Generated from/(used in) Operating Activities		(484,934)	726,188	(38,180)	(11,559)
Cash Flows from Investing Activities					
Acquisition of Property, Plant & Equipment, Investment Property & Biological Assets		(1,748,665)	(1,955,292)	(94,002)	(1,364)
Acquisition of Intangible Assets		(13,757)	(137,911)	-	-
Proceeds from Disposal of Property, Plant & Equipment		740,920	212,795	-	-
Loans given to Related Parties		-	-	(110,000)	(80,000)
Settlement of Loans due from Related Parties		-	-	358,500	2,000
Acquisition of Subsidiaries and Associates	B	(342,434)	-	(359,854)	(115)
Acquisition of Joint Venture		(36,570)	-	-	-
Acquisition of Held for Trading Financial Assets		(40,683)	(32,921)	-	-
Disposal of Held for Trading Financial Assets		92,852	-	-	-
Acquisition of Held to Maturity Investments		-	5,852	-	-
Disposal of Subsidiaries and Associates		-	-	74,584	62,369
Net Disposal/Acquisition of Other Investments		(44,158)	(6,627)	-	-
Acquisition and Disposal of Subsidiary Shares from /to NCI		(1,098,195)	(45,020)	-	-
Interest Income Received		117,840	36,185	50,887	43,160
Dividend Income Received		134,775	35,135	118,936	102,652
Net Cash Generated from/(used in) Investing Activities		(2,238,075)	(1,887,804)	39,051	128,702
Cash Flows from Financing Activities					
Capital Grants Received		15,869	13,897	-	-
Increase/(Decrease) in Other Short-Term Loans		1,029,912	725,007	-	-
Increase/(Decrease) in Loan Due to Related Parties		-	-	(8,200)	(63,000)
Repayment of Lease Rentals		(70,592)	(60,293)	(543)	(692)
Receipt of Interest-bearing Borrowings		4,919,591	3,765,484	103,250	120,000
Redemption of Debenture		-	(200,000)	-	-
Right Issue of Shares by Subsidiary		161,274	-	-	-
Repayment of Interest-bearing Borrowings		(2,826,542)	(2,701,454)	(54,130)	(132,500)
Dividend Paid		(27,000)	(54,000)	(27,000)	(54,000)
Dividend Paid to Non Controlling Interests		(203,192)	(224,227)	-	-
Net Cash Generated from/(used in) Financing Activities		2,999,320	1,264,414	13,377	(130,192)
Net Increase/(Decrease) in Cash & Cash Equivalents		276,310	102,798	14,248	(13,049)
Cash & Cash Equivalents at the beginning of the year	20	(1,547,089)	(1,649,887)	8,223	21,272
Cash & Cash Equivalents at the end of the year	20	(1,270,779)	(1,547,089)	22,471	8,223

The Notes from pages 36 to 143 form an integral part of these Financial Statements
Figures in brackets indicate deductions.

Statement of Cash Flows contd.

For the year ended 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
A. Profit before Working Capital Changes				
Profit Before Tax	(155,716)	(916,447)	109,406	130,103
Adjustments for ;				
Depreciation and Amortisation	1,281,751	1,258,473	4,106	3,145
Dividend Income	(134,775)	(35,135)	(70,643)	(151,012)
Amortisation of Rent Income	(38,177)	(31,612)	(22,370)	(450)
Interest Expense	2,761,829	2,190,265	86,754	66,850
Amortisation of Intangible Assets	47,770	24,775	-	-
Amortisation of Capital Grants	(22,704)	(21,325)	-	-
Gain on Disposal of Property, Plant & Equipment	(467,298)	(86,290)	-	-
Exchange Loss on Translation of Foreign Currency Loan	20,660	69,675	-	-
Interest Income	(117,840)	(36,185)	(51,003)	(43,160)
Provision for Retirement Gratuity	476,770	442,070	-	-
Share of (Profit)/Loss of Equity Accounted Investees	(6,729)	(4,794)	-	-
Share of results of Joint Ventures	20,697	-	-	-
Net Gain on Disposal of Available-for-Sale Financial Assets	(31,608)	(365)	-	-
(Gain)/Loss on Disposal of Investments in Subsidiaries	-	-	(35,411)	682
Change in Fair Value of Held For Trading				
Financial Investments	(40,208)	1,164	-	-
Impairment of other Financial Assets - Non Current	4,845	-	-	-
Provision for/(Reversal of) Impairment in Value of Investments	-	-	(441)	4,241
Impairment Loss/(Reversal of Impairment Loss) on				
Trade & Other Receivables	103,637	38,816	-	-
Impairment Loss/(Reversal of Impairment Loss) on				
Related Party Receivables	-	-	-	-
Change in Fair Value of Biological Asset	(243,287)	(150,006)	-	-
Impairment/(Reversal of Impairment Loss) of PPE	-	21,773	-	-
Write off of PPE/Leasehold Assets	134,902	-	-	-
Impairment/(Reversal of Impairment Loss) of Inventories	3,131	83,550	-	-
Creditors No Longer Payable Written Back	(3,666)	(7,719)	-	-
Unclaimed Dividend Written Back	-	-	-	(425)
	3,593,985	2,840,683	20,398	9,974

B. Acquisition of Subsidiary

JF Packaging (Private) Limited, a subsidiary has acquired 100% of the Stated Capital of Kiffs (Private) Limited on 3rd May 2017 and Alliance Five (Private) Limited on 24th May, 2017 for a consideration of Rs. 230 Million and Rs. 154 Million respectively.

The acquisition had the following effects on the Group assets and liabilities

	Kiffs (Private) Limited Rs.'000	Alliance Five (Private) Limited Rs.'000	Total Rs.'000
Property, Plant and Equipment	33,664	6,884	40,548
Inventories	43,469	42,011	85,480
Trade & Other Receivables	72,292	67,434	139,726
Amount due from Related Parties	-	14,107	14,107
Cash & Cash Equivalents	10,529	30,986	41,515
Interest Bearing Borrowings	-	-	-
Deferred Tax Asset/ (Liability)	(406)	441	35
Retirement Benefit Obligations	(4,181)	(6,517)	(10,698)
Trade & Other Payables	(52,383)	(42,157)	(94,540)
Amount due to Related Parties	(16,443)	-	(16,443)
Current Tax Liabilities	(175)	(1,568)	(1,743)
Net Identifiable Assets and Liabilities	86,366	111,621	197,987
Net Assets Acquired	51,180	66,147	117,327
Goodwill on Acquisition	85,202	24,999	110,201
Investment made by Equity Holders of the Parent	136,383	91,145	227,528
Investment allocated to Non Controlling Interest	93,760	62,661	156,421
Cash Consideration paid on Acquisition of Subsidiary	230,143	153,806	383,949
Cash & Cash Equivalents Acquired	(10,529)	(30,986)	(41,515)
	219,614	122,820	342,434

Notes to the Financial Statements

ACCOUNTING POLICIES

1. REPORTING ENTITY

The Colombo Fort Land & Building PLC is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office and principal place of business of the Company is located at No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1.

The ordinary shares of the Company are listed on the Colombo Stock Exchange. In the Annual Report of the Board of Directors and in the financial statements, 'the Company' refers to The Colombo Fort Land & Building PLC as the Parent Company and 'the Group' refers to the companies whose accounts have been consolidated therein.

The principal activities of the Company include real estate and property development, management of an investment portfolio and provision of management services. The companies within the Group are engaged in;

- a) Real estate and property development.
- b) Manufacture and marketing of chemicals, paints, hardware, building materials and packaging.
- c) Manufacture and marketing of consumer disposables, food & beverage products and marketing and distribution of pharmaceuticals.
- d) Marketing of motor vehicles & accessories and providing vehicle maintenance services.
- e) Tourist hotels and inbound tour operations.
- f) Production, processing and marketing of tea, rubber and desiccated coconut.
- g) Management of investment portfolios.
- h) Provision of management services.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The financial statements of the Company and the consolidated financial statements have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) adopted by The Institute of Chartered Accountants of Sri Lanka (CA) and the requirements of the Companies Act No.07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995.

The financial statements of the Company and those consolidated with such comprise of the Statement of Profit or Loss and Other Comprehensive Income, Statement of Financial Position and Statement of Changes in Equity and Statement of Cash flows together with the Accounting Policies and Notes to the financial statements.

The consolidated financial statements of the Group and the Company for the year ended 31st March, 2018 were authorised for issue by the Board of Directors on 23rd August, 2018.

2.2 Basis of Measurement

The consolidated financial statements have been prepared on an accrual basis and under the historical cost basis, except for measurement of the following material items in the Statement of Financial Position:

- Derivative financial instruments are measured at fair value
- Non-derivative financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Biological assets (managed timber) are measured at fair value less costs to sell
- Defined benefit assets are measured at the present value of the defined benefit obligations.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair Values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs: are unadjusted quoted prices in active markets for identical assets or liabilities

Level 2 inputs: are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3 inputs: are inputs that are not based on observable market data (unobservable inputs)

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.3 Functional and Presentation Currency

The financial statements are presented in Sri Lankan rupees, which is the Group's functional currency. All financial information presented in Sri Lankan rupees has been rounded to the nearest thousand, except when otherwise indicated.

2.4 Use of Estimates, Judgments and Assumptions

The preparation of consolidated financial statements in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities at the reporting date. Judgments and estimates are based on historical experience

and other factors including expectations that believe to be reasonable under circumstances. Actual results may differ from those estimates and judgmental decisions.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

	Policy No.	Note No.
Valuation of Property, Plant and Equipments	3.2.1	10
Valuation of Leasehold Properties	3.8.1	11
Valuation of Investment Properties	3.2.6	12
Valuation of Intangible Assets	3.2.8	13
Deferred Tax Assets	3.7.2	17
Valuation of Employee Benefit Liabilities	3.4	27
Provisions, Contingent Assets and Liabilities	3.5	35

Judgments, estimates and assumptions made by management in the application of SLFRSs/LKASs that could have a significant effect on the financial statements are mentioned below.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements and the accounting policies have been applied consistently by the Group.

Comparative information has where necessary been reclassified to conform to the current year's presentation.

3.1 Basis of Consolidation

The consolidated financial statements (referred to as the 'Group') comprise of the financial statements of the Company, its Subsidiaries and the Group's interest in equity accounted investees.

Business combinations are accounted for using acquisition method as at the acquisition date, which is the date on which control is transferred to the Group. In assessing control, the Group takes into consideration potential voting rights that currently are exercisable.

Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance. A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it;

- Derecognises the assets (including goodwill) and liabilities of the subsidiary.
- Derecognises the carrying amount of any non-controlling interest.
- Derecognises the cumulative translation differences, recorded in equity.

- Recognises the fair value of the consideration received.
- Recognises the fair value of any investment retained.
- Recognises any surplus or deficit in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.
- Reclassifies the Parent's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred including the recognised amount of any non-controlling interests in the acquiree, plus if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree less the net recognised amount (generally fair value) of the identifiable assets acquired and liabilities assumed, all measured as of the acquisition date. When the excess is negative, a bargain purchase gain is recognised immediately in profit or loss.

The Group elects on a transaction-by-transaction basis whether to measure non-controlling interests at fair value, or at their proportionate share of the recognised amount of the identifiable net assets, at the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

In a business combination achieved in stages, the Group remeasures its previously held equity interest in the acquiree at its acquisition-date fair value and recognises the resulting gain or loss, if any, in the Statement of Profit or Loss and Other Comprehensive Income.

3.1.1 Acquisitions of Non-Controlling Interest

Acquisitions of non-controlling interests are accounted for as transactions with owners, in their capacity as owners and therefore no goodwill is recognised as a result. Adjustments to non-controlling interests arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.2 Subsidiaries

Subsidiaries are those entities controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. The Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Notes to the Financial Statements contd.

The Group considers all relevant facts and circumstances in assessing whether it has power over an investee which includes; the contractual arrangement with the other vote holders of the investee, rights arising from other contractual arrangements and the Group's voting rights and potential voting rights over the investee.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company. The financial statements of subsidiaries are included in the consolidated financial statements from the date of acquisition, being the date on which the Group obtains control, and continues to be consolidated until the date when such control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group

The following companies in which the Group's effective holding is less than 50% have been consolidated as the group has the practical ability to direct the relevant activities of these entities, unilaterally.

Company Name	Holding
Muller and Phipps (Ceylon) PLC	30.72%
Laxapana Batteries PLC	30.89%
Marawila Resorts PLC	40.97%
C.W. Mackie PLC	37.84%
Agarapatana Plantations Limited	41.09%
Lankem Developments PLC	47.43%
Sigiriya Village Hotels PLC	42.49%
Beruwala Resorts PLC	49.51%
York Arcade Holdings PLC	49.99%

The financial statements of subsidiaries are included in the consolidated financial statements from the date the control effectively commences until the date that control effectively ceases.

Loss of Control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and other components of equity relating to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the Statement of Profit or Loss and Other Comprehensive Income. If the Group retains any interest in the previous subsidiary, then such

interest is measured at fair value at the date that control is lost. Subsequently it is accounted for as an equity-accounted investee or as an available-for-sale financial asset depending on the level of influence retained.

3.1.3 Investments in Equity Accounted Investees (Associates and Jointly Controlled Entities)

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% and 50% of the voting power of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The group has Joint Control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

Associates and Joint ventures are treated as equity accounted investees and are accounted for using the equity method.

Under the equity method Investments in equity-accounted investees are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is adjusted at each reporting date to recognise changes in the Group's share of net assets of the equity-accounted investees arising since the acquisition date. Goodwill relating to the equity-accounted investees is included in the carrying amount of the investment. Dividends declared by the equity-accounted investees are recognised against the equity value of the Group's investment.

The income statement reflects the Group's share of the results of operations of the equity accounted investees. When there is a change recognised directly in the equity of the entity, the Group recognises its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investees are eliminated to the extent of the interest in the equity-accounted investees.

The Group's share of profit or loss of equity accounted investees is shown on the face of the income statement and represents profits or loss after tax of the entity and the non-controlling interests in the subsidiaries of the equity-accounted investees.

Adjustments are made if necessary, to the financial statements of the equity accounted investees to bring the accounting policies in line with those of the Group. After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its equity accounted investee. The Group determines at each reporting date whether there is any

objective evidence that the investment in the equity accounted investee is impaired. If this is the case, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity-accounted investees and its carrying value and recognises the amount in 'share of losses of an equity accounted investee' in the income statement.

Upon loss of significant influence over the associate or the joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the equity accounted investee disposed and the fair value of the retaining investment and the proceeds from disposal is recognised in the income statement.

Summarised financial information in respect of subsidiaries that have non-controlling interests that are material to the reporting entity (i.e., the Group) is disclosed separately when applicable.

Non-Controlling Interest

Non-controlling interest which represents the portion of profit or loss and net assets not held by the Group, are shown as a component of profit or loss for the year in the Consolidated Statement of Profit or Loss and Other Comprehensive Income and as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent's shareholders' equity.

3.1.4 Other Long-Term Investments

Investment in companies where the Group's holding is less than 20% and where the Group does not exercise significant influence and/or control over the financial and operating policies/decisions are accounted for on the basis stated in 3.3 below. The income from these investments is recognised only to the extent of dividend received.

3.1.5 Profits and Losses

The total profits and losses of the Company and its subsidiaries for the period are included in the consolidation. The proportion of the profit or loss after taxation attributable to non-controlling interest shareholders of the subsidiaries is shown as a component of profit for the period in the Consolidated Statements of Comprehensive Income.

3.1.6 Assets and Liabilities

All assets and liabilities of the Company and its subsidiaries are included in the Consolidated Statement of Financial Position. Non-controlling interest which represents the proportion of interest attributable to non-controlling interest of subsidiaries in the net assets employed by the Group is disclosed as a component of equity in the Consolidated Statement of Financial Position, separately from the Parent shareholders' equity.

3.1.7 Transactions Eliminated on Consolidation

All intra group balances and transactions, income and expenses and profits and losses resulting from intra group transactions that are recognised in assets, liabilities, income and expenses are eliminated in preparing the consolidated financial statements.

3.1.8 Financial Period

All subsidiaries and associate companies of the Group have a common financial year as the Parent Company other than Sunquick Lanka Property (Private) Limited. Sunquick Lanka Property (Private) Limited with a 31st December financial year end prepares for consolidation purpose, additional financial information as of the same date as the financial statements of the parent.

3.1.9 Foreign Currency Transactions

All foreign currency transactions are translated to Sri Lankan Rupees at the exchange rates prevailing at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into local currency at the exchange rate at that date.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Non-monetary items in a foreign currency that are measured based on historical cost are translated using the exchange rate at the date of the transaction.

Foreign currency differences arising on retranslation are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

3.2 Property, Plant & Equipment

3.2.1 Recognition and Measurement

Items of property, plant & equipment are measured at cost less accumulated depreciation and accumulated impairment losses.

Cost includes expenditure that is directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the following:

- The cost of materials and direct labour
- Any other costs directly attributable to bringing the assets to a working condition for their intended use
- When the entity has an obligation to remove the asset or restore the site an estimate of the costs of dismantling and removing the items and restoring the site on which they are located
- Capitalised borrowing costs

When parts of an item of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

Notes to the Financial Statements contd.

Any gain or loss on disposal of an item of property, plant & equipment (calculated as the difference between the net proceeds from disposal and the carrying amount of the item) is recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use the previous revaluation as deemed cost on 1st April, 2011, the date of transition.

3.2.2 Subsequent Expenditure

The cost of replacing part of an item of property, plant & equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy given below. The costs of the day-to-day servicing of property, plant & equipment are recognised in profit or loss as incurred.

3.2.3 Derecognitions and Depreciations

Derecognition

Items of property, plant & equipment are derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

Depreciation

Depreciation is calculated on a straight-line basis over the estimated useful lives of each part of an item of property, plant & equipment. Assets held under finance leases are depreciated over the shorter of the lease term and the useful lives of equivalent owned assets. Freehold land is not depreciated.

Depreciation of an asset begins when it is available for use and ceases at the earlier of the dates on which the asset is classified as held for sale or is derecognised.

Provision for depreciation is calculated by using a straight-line method on the cost or valuation of all property, plant & equipment, other than freehold land, in order to write off such amounts over the estimated useful economic life of such assets.

The estimated useful lives of assets are as follows:

Assets	Years
Freehold Buildings	10 - 40
Plant & Machinery	04 - 13 1/3
Motor Vehicles	04 - 05
Office Equipment	08 - 10
Furniture & Fittings	08 - 10
Computer Equipment	04 - 05
Sanitation, Water Supply and Electricity	20
Mature Plantations – Tea	33 1/3
Mature Plantations – Rubber	20
CTC Machinery	20
Freehold Buildings on Leasehold Lands	Over the lease period or estimated useful life whichever is shorter
Linen, Cutlery & Crockery	On replacement basis / 4 years

The useful life and residual value of assets are reviewed, and adjusted if required, at the end of each financial year.

3.2.4 Finance Leases

Property, plant & equipment on finance leases, which effectively transfer to the Group substantially all the risk and benefits incidental to ownership of the leased items, are classified as leasehold assets under the property, plant & equipment and stated at an amount equal to the lower of their fair value and the present value of minimum lease payments at the inception of the lease, less the accumulated depreciation. Depreciation is made over the remaining lease or the useful life of the asset, whichever is shorter.

3.2.5 Operating Leases

Leases, where the lessor effectively retains substantially all of the risks and benefits of ownership over the term of the lease, are classified as operating leases. Lease payments are recognised as an expense in the Statement of Profit or Loss and Other Comprehensive Income over the term of the lease.

3.2.6 Investment Property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not held for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes.

Cost includes expenditure that is directly attributable to the acquisition of the investment property. The cost of self constructed investment property includes the cost of materials and direct labour, any other costs directly attributable to bringing the investment property to a working condition for their intended use and capitalised borrowing costs.

Upon transition to SLFRSs/LKASs the Group elected to apply the optional exemption to use fair value as at the date of transition, 1st April 2011 as deemed cost. Consequently, investment property is measured at deemed cost less accumulated depreciation and any impairment losses. Depreciation is recognised on a straight-line basis over the estimated useful life of the investment property.

Investment properties are derecognised when disposed of, or permanently withdrawn from use because no future economic benefits are expected. Any gains or losses on retirement or disposal are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal. Transfers are made to and from investment property only when there is a change in use in accordance with the criteria listed in LKAS 40 - Investment Property.

Where Group companies occupy a significant portion of the investment property of a subsidiary, such investment properties are treated as property, plant & equipment in the consolidated financial statements, and accounted for in accordance with LKAS 16 - Property, Plant & Equipment.

3.2.7 Borrowing Costs

Borrowing costs are recognised as an expense in the period in which they are incurred except those that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, where it is capitalised as a part of the cost of that asset.

3.2.8 Intangible Assets

An intangible asset is initially recognised at cost, if it is probable that future economic benefit will flow to the enterprise, and the cost of the asset can be measured reliably.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life, from the date that they are available for use and assessed for impairment whenever there is an indication that the intangible asset may be impaired.

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at least once at each financial year end.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the cash-generating unit level.

Goodwill

Goodwill arising on an acquisition represents the excess of the cost of acquisition over the fair value of net assets acquired. Goodwill is measured at cost less accumulated impairment losses.

Gain from bargain purchase arising on an acquisition represents the excess of the fair value of the net assets acquired over the cost of acquisition. Gain from bargain purchase is recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

Software

All computer software cost incurred, which are not internally related to associate hardware, which can be clearly identified, reliably measured and its probable that they will lead to future economic benefits, are included in the Statement of Financial Position under the category of intangible assets.

3.2.9 Inventories

Inventories are measured at lower of cost and estimated net realisable value.

In general, cost is determined on weighted average basis other than in following companies whose cost of inventory is determined on first-in, first-out basis (FIFO). The cost includes all expenses incurred in acquiring the inventories and bringing them to their existing condition. In the case of finished products, cost includes all direct expenditure and production overheads based on the normal level of activity.

E.B. Creasy & Company PLC

Creasy Foods Limited

Laxapana Batteries PLC

C.W. Mackie PLC - Import items

Net realisable value is the estimated selling price in the ordinary course of business less the estimated selling expenses and where applicable, cost of conversion from their existing state to the finished condition, allowing for costs of realisation and where applicable, cost of conversion from their existing state to the finished condition.

Provision is made for obsolete, slow moving and defective inventories where necessary.

3.2.10 Non-Current Assets Held for Sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, these assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill and then to

Notes to the Financial Statements contd.

the remaining assets and liabilities on a pro-rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measured in accordance with the Group's accounting policies.

Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in the income statement. Gains are not recognised in excess of any cumulative impairment loss. Once classified as held for sale, intangible assets and property, plant and equipment are no longer amortised or depreciated, and any equity-accounted investee is no longer accounted.

3.3 Financial Instruments

3.3.1 Non-Derivative Financial Assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in such transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group classifies non-derivative financial assets into the following categories: financial assets at fair value through profit or loss, held-to-maturity financial assets, loans and receivables and available-for-sale financial assets.

(a) Financial Assets at Fair Value through Profit or Loss

A financial asset at fair value through profit or loss includes financial assets held for trading and financial assets designated upon initial recognition at fair value through profit or loss. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Financial assets at fair value through profit or loss are carried in the Statement of Financial Position at fair value with changes in fair value recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Financial assets designated as fair value through profit or loss comprises equity securities that otherwise would have been classified as available-for-sale.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate method (EIR), less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Loans and receivables comprise of cash and cash equivalent, and trade and other receivables.

Cash and Cash Equivalents

Cash and cash equivalents comprise of cash balances and short term deposits with maturities of three months or less from the acquisition date that are subject to an insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

(c) Held-to-Maturity Investments

Non-derivative financial assets with fixed or determinable payments and fixed maturities are classified as held-to-maturity when the Group has the positive intention and ability to hold it to maturity. After initial measurement, held-to-maturity investments are measured at amortised cost using the effective interest method, less impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance income in the Statement of Profit or Loss and Other Comprehensive Income. The losses arising from impairment are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(d) Available-for-Sale Financial Investments

Available-for-sale financial investments include equity and debt securities. Equity investments classified as available-for-sale are those, which are not classified in any of the other categories. Debt securities in this category are those which are intended to be held for an indefinite period of time and which may be sold in response to needs for liquidity or in response to changes in the market conditions.

Available-for-sale financial assets are recognised initially at fair value plus any directly attributable transaction cost.

After initial measurement, available-for-sale financial investments are subsequently measured at fair value and changes therein, other than impairment losses are recognised in other comprehensive income and presented in the available-for-sale reserve in equity until the investment is derecognised. When an investment is derecognised, the gain or loss accumulated in the equity is reclassified to the Statement of Profit or Loss and Other Comprehensive Income.

3.3.2 Derecognition

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the asset have expired. The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either

- the Group has transferred substantially all the risks and rewards of the asset, or
- the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of it, the asset is recognised to the extent of the Group's continuing involvement in it.

In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

3.3.3 Impairment of Non-Derivative Financial Assets

The Group assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, and only if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated.

Objective evidence of impairment may include indications that the debtors or a group of debtors are experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults. In addition, for an investment in an equity security, a significant or prolonged decline in its fair value below its cost is objective evidence of impairment.

(a) Financial Assets Measured at Amortised Cost

The Group considers evidence of impairment for financial assets measured at amortised cost (loans and receivables and held-to-maturity investment securities) at both a specific asset and collective level. All individually significant assets are assessed for specific impairment. Those found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are collectively assessed for impairment by grouping together assets with similar risk characteristics.

In assessing collective impairment, the Group uses historical trends of the probability of default, the timing of recoveries and the amount of loss incurred, adjusted for the management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account against loans and receivables or held-to-maturity investment securities. Interest on the impaired asset continues to be recognised. When an event occurring after the impairment was recognised causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Available-for-Sale Financial Assets

Impairment losses on available-for-sale financial assets are recognised by reclassifying the losses accumulated in the fair value reserve in equity to profit or loss. The cumulative loss that is reclassified from equity to profit or loss is the difference between the acquisition cost, net of any principal repayment and amortisation, and the current fair value, less any impairment loss recognised previously in profit or loss. Changes in cumulative impairment losses attributable to application of the effective interest method are reflected as a component of interest income. If, in a subsequent period, the fair value of an impaired available-for-sale debt security increases and the increase can be related objectively to an event occurring after the impairment loss was recognised, then the impairment loss is reversed, with the amount of the reversal recognised in profit or loss. However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised in other comprehensive income.

3.3.4 Non-Derivative Financial Liabilities

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss, loans and borrowings, or as derivatives as appropriate and determine the classification of its financial liabilities at initial recognition.

Notes to the Financial Statements contd.

The Group initially recognises debt securities issued and subordinated liabilities on the date that they are originated. All other financial liabilities (including liabilities designated as at fair value through profit or loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

The Group derecognises a financial liability when its contractual obligations are discharged, cancelled or expired. All financial liabilities are recognised initially at fair value and in the case of loans and borrowings, plus directly attributable transaction costs.

The Group classifies non-derivative financial liabilities into the other financial liabilities category. Such financial liabilities are recognised initially at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method.

Other financial liabilities include trade and other payables, bank overdrafts, loans and borrowings and financial guarantee contracts.

(a) Borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortised cost using the effective interest rate method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the effective interest rate method (EIR) amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Financial Guarantee Contracts

Financial guarantee contracts issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the best estimate of the expenditure required to settle the present obligation at the reporting date and the amount recognised less cumulative amortisation.

(c) Bank Overdrafts

Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows.

(d) Share Capital/Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.3.5 Derivative-Financial Instruments

Derivatives, including separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets at fair value through profit and loss are carried to the Statement of Financial Position at fair value with changes in fair value recognised in finance income or finance costs in the Statement of Profit or Loss and Other Comprehensive Income.

3.3.6 Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liabilities simultaneously.

3.3.7 Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than biological assets, investment property, inventories and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash generating unit's (CGUs) fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss except for impairment losses in respect of property, plant & equipment which are recognised against the revaluation reserve to the extent that it reverses a previous revaluation surplus.

An assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. Previously recognised impairment losses other than in respect of goodwill, are reversed only if there has been an increase in the recoverable amount of the asset. Such increase is recognised to the extent of the carrying amount had no impairment losses been recognised previously.

3.4 Employee Benefits

(a) Defined Benefit Plans - Retirement Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

The Group's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value. Any unrecognised past service costs and the fair value of any plan assets are deducted.

The defined benefit obligation is calculated annually by independent qualified actuaries using Project Unit Credit method (PUC) as recommended by LKAS 19 - Employee Benefits. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows.

The actuarial gain or losses arising from defined benefit plans are recognised immediately in Other Comprehensive Income.

However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for the gratuity payment to an employee arises only on the completion of 5 years of continued service.

(b) Defined Contribution Plan - Employees' Provident Fund & Employees' Trust Fund

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and has no legal or constructive obligation to pay further amounts. All employees who are eligible for Provident Fund Contributions and Trust Fund Contributions are covered by relevant contribution funds in line with respective statutes and regulations.

Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in profit or loss in the periods during which related services are rendered by employees.

3.5 Provisions, Contingent Assets and Contingent Liabilities

Provisions are made for all obligations present, legal or constructive obligations existing as at the reporting date when it is probable that such an obligation will result in an outflow of resources and a reliable estimate can be made of the quantum of the outflow.

All contingent liabilities are disclosed as a note to the financial statements unless the outflow of resources is remote.

Contingent assets are disclosed, where inflow of economic benefit is probable.

3.6 Statement of Profit or Loss and Other Comprehensive Income

3.6.1 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group, and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, net of trade discounts and value added taxes, after eliminating sales within the Group.

Revenue is generally accounted for on an accrual basis and following specific criteria are used for recognition of revenue:

(a) Sale of Goods

Revenue from the sale of goods is recognised when the significant risk and rewards of ownership of the goods have passed to the buyer with the Group retaining neither a continuing managerial involvement to the degree usually associated with ownership, nor an effective control over the goods sold.

(b) Rendering of Services

Revenue from rendering of services is recognised in Statement of Profit or Loss and Other Comprehensive Income in the accounting period in which the services are rendered or performed.

(c) Revenue from Construction Contracts

Revenue from construction contracts are calculated on the basis of the percentage completion method.

Revenue is accounted proportionately and accrued accordingly on the jobs which are substantially completed as at the reporting date. The stage of completion is assessed by reference to the surveys of work performed.

(d) Revenue from Hotel Services

Apartment revenue is recognised on the rooms occupied on a daily basis and food and beverage and other hotel related sales are recognised at the point of sale.

(e) Dividend Income

Dividend income is recognised when the shareholders' right to receive such dividend is established.

3.6.2 Expenditure Recognition

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to Statement of Profit or Loss and Other Comprehensive Income in arriving at the profit for the year. Expenditure incurred for the purpose of acquiring and extending or improving assets of a permanent nature by means of which to carry on the business or for the purpose of increasing the earning capacity of the business has been treated as capital expenditure.

Notes to the Financial Statements contd.

For the purpose of presentation of the Statement of Profit or Loss and Other Comprehensive Income, the “function of expenses” method has been adopted, on the basis that it presents fairly the elements of the Company and the Group’s performance.

3.6.3 Finance Income and Finance Cost

Finance income comprises interest income on funds invested (including available-for-sale financial assets). Interest income is recognised as it accrues in the Statement of Profit or Loss and Other Comprehensive Income, using the effective interest method.

Finance costs comprise of all interest and other costs incurred in connection with borrowings, and are recognised as an expense in the period in which they are incurred, unless they are incurred in respect of qualifying assets in which case it is capitalised.

Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position.

3.7 Income Tax Expenses

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in Statement of Profit or Loss and Other Comprehensive Income except to the extent that it relates to items recognised directly in other comprehensive income or Changes in Equity, in which case it is recognised directly in the respective statement.

3.7.1 Current Tax

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustments to tax payable in respect of previous years.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act, No.10 of 2006 and subsequent amendments thereto.

3.7.2 Deferred Tax

Deferred taxation is the tax attributable to the temporary differences that arise when taxation authorities recognise and measure assets and liabilities with rules that differ from those used in the financial statements.

Deferred tax is provided using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognised for all deductible temporary differences, unused tax credits and tax losses carried forward to the extent that it is probable that future taxable profit will be available

against which the deductible temporary differences, the unused tax credits and tax losses carried forward can be utilised.

Deferred tax is not recognised for the following temporary differences:

- Taxable temporary differences arising on the initial recognition of goodwill
- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects either accounting or taxable profit
- Temporary differences related to investments in subsidiaries to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Tax withheld in dividend income from subsidiaries and associates is recognised as an expense in the consolidated Statement of Profit or Loss and Other Comprehensive Income at the same time as the liability to pay the related dividend is recognised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group Statement of Financial Position and are not offset against each other.

3.8 Accounting Policies which are Specific to the Business of Plantation Companies

The plantation companies in the Group adopt certain accounting policies, which differ from that of the Group since the nature of operation of the plantation companies is significantly different from that of the rest of the Group. Those accounting policies of plantation companies that significantly vary from the rest of the Group are given below:

3.8.1 Leasehold Properties

Leasehold properties comprise of leasehold rights of assets (bare lands and immovable lease assets) taken over from Janatha Estate Development Board (JEDB) / Sri Lanka State Plantation Corporation (SLSPC) on a long term basis.

Withdrawal of UITF Rulings in Plantation Sector

The Urgent Issue Task Force (UITF) rulings issued prior to 1st April, 2012 have been superseded by the Sri Lanka Accounting Standards with effect from 1st April, 2012. Consequently it is now

required to treat transactions, in which any of UITF rulings applied, in accordance with the Sri Lanka Accounting framework effective from 1st April, 2012.

The Company has recorded Leasehold Property (Leasehold Right to the Land) and correspondent liability in terms of UITF ruling issued by The Institute of Chartered Accountants of Sri Lanka prior to 1st April, 2012. It has been superseded by the Statement of Recommended Practice (SORP) for Right-To-Use of Land on Lease which was approved by the Council of the Institute of Chartered Accountants of Sri Lanka on 19th December, 2012. Accordingly, the Leasehold Property is re-classified as "Right-To-Use of Land", corresponding net liability to lessor re-classified as "Liability to make lease payment". If facts or circumstances indicate that there would be a significant change in the liability to make lease payment since the previous reporting period, then the Company would elect to reassess the liability to make lease payment and right to use land at sufficient frequency to ensure that such liability and asset does not differ materially from its carrying amount.

Description of the Property	No. of Years
Bare Land of JEDB/SLSPC	53
Land Development Cost (Improvement to Land)	30
Buildings	25
Plant and Machinery	15
Water Projects and Sanitation	20
Mature Plantations - Tea	30
Mature Plantations - Rubber	30
Mature Plantations - Others	25
Road and Bridges	40
Fences and Securities	20
Power Augmentation	20
Vested Tea	30

3.8.2 Permanent Land Development Costs

Permanent land development costs are those costs incurred to make major changes to land contours to build new access roads and other major infrastructure development. Such expenditure on leasehold land has been capitalised and amortised over the remaining lease period. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such asset in the year of occurrence after ascertaining the loss.

3.8.3 Limited Life Land Development Costs (Mature and Immature Plantations)

The cost of new planting, replanting, inter-planting and crop diversification incurred between the time of field development and being ready for commercial harvesting are classified as immature plantations. Further, the general charges incurred on the plantation are apportioned on the labour days spent on respective replanting and

new planting, and capitalised on the immature areas. The remaining portion of the general charges is charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which it is incurred. No depreciation is provided for immature plantation.

The total expenditure incurred on perennial crops (Tea & Rubber) which come into bearing during the year have been transferred to mature plantations and depreciated over its useful life time. No depreciation has been charged on mature plantations in the year of transfer. Permanent impairments to land development costs are charged to the Statement of Profit or Loss and Other Comprehensive Income in full or reduced to the net carrying amounts of such assets in the year of occurrence after ascertaining the loss.

3.8.4 Borrowing Cost

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalised as a part of the asset.

Borrowing costs that are not capitalised are recognised as expenses in the period in which they are incurred and charged to the Statement of Profit or Loss and Other Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalisation are determined in accordance with LKAS 23 – "Borrowing Costs".

Borrowing costs incurred in respect of specific loans that are utilised for field development activities have been capitalised as a part of the cost of the relevant immature plantation. The capitalisation will cease when the crops are ready for commercial harvest.

3.8.5 Infilling Cost on Bearer Biological Assets

Where infilling results in an increase in the economic life of the relevant field beyond its previously assessed standard of performance, the costs are capitalised in accordance with Sri Lanka Accounting Standard No. 16 and depreciated over the useful life at rates applicable to mature plantation.

Infilling costs that are not capitalised have been charged to the Statement of Profit or Loss and Other Comprehensive Income in the year in which they are incurred.

3.8.6 Inventories

Finished Goods Manufactured from Agricultural Produce of Biological Assets.

These are valued at the lower of cost and estimated net realisable value, after making due allowance for obsolete and slow moving items. Net realisable value is the estimated selling price at which stocks can be sold in the ordinary course of business after allowing for cost of realisation and/or cost of conversion from their existing state to saleable condition.

Notes to the Financial Statements contd.

Input Material	At average cost (Agarapatana Plantations Limited) At actual cost on FIFO basis (Kotagala Plantations PLC)
Growing Crop-Nurseries	At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads less provision for overgrown plants.
Spares & Consumables	At actual cost on FIFO basis.
Produce Stocks	Estimated realisable price or since realised price

3.8.7 Grants and Subsidies

Grants are recognised where there is reasonable assurance that the grant will be received and all attaching conditions will be complied with. When the grant relates to an expense item, it is recognised as income over the period necessary to match the grant on a systematic basis to the costs that it is intended to compensate. Where the grant relates to an asset, it is set up as deferred income. Where the Company receives non-monetary grants, the asset and that grant are recorded at nominal amounts and are released to the Statement of Profit or Loss and Other Comprehensive Income over the expected useful life of the relevant asset by equal annual instalments.

3.8.8 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. The following specific criteria are used for the purpose of recognition of revenue:

- Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually on delivery of the goods. Revenue is recorded at invoice value net of brokerage, sale expenses and other levies related to revenue.
- Gains and losses on disposal of an item of Property, Plant & Equipment are determined by comparing the net sales proceeds with the carrying amounts of Property, Plant & Equipment and are recognised within 'other operating income' in the Statement of Profit or Loss and Other Comprehensive Income.
- Interest is recognised on a time proportion basis that takes into account the effective interest rate on asset.
- Rental income is recognised on an accrual basis.
- Other income is recognised on accrual basis.

3.8.9 Retirement Benefit Obligations

The Retirement Benefit Plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position.

All Workers and Staff

Provision of gratuity for all workers and staff is on actuarial basis, using the Projected Unit Credit (PUC) method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using the interest rates that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related liability. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised as income and expense in the period in which they arise. Past service costs are recognised immediately in the Statement of Profit or Loss and Other Comprehensive Income.

The actuarial valuation was carried out by a professionally qualified actuary firm Messrs. Actuarial & Management Consultants (Private) Limited as at 31st March, 2018.

The Group expects to carry out actuarial valuation once in every two years. The key assumptions used by the actuary include the following.

- Rate of Interest - 11% p.a. (Net of Tax)
- Salary Increment Rate - Staff 10% per annum
- Workers 16% once in two years
- Retirement Age - Staff 60 years
- Workers 60 years
- Daily Wage Rate - Rs. 500/- for workers

3.8.10 Biological Assets

Biological assets are classified as mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests. Immature biological assets are those that have not yet attained harvestable specifications. Tea, rubber, other plantations and nurseries are classified as biological assets.

Biological assets are further classified as bearer biological assets and consumable biological assets. Bearer biological asset includes tea trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. Consumable biological assets include managed timber that are to be harvested as agricultural produce or sold as biological assets.

The entity recognise the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

The bearer biological assets are measured at cost less accumulated depreciation and accumulated impairment losses, if any, in terms of LKAS 16 – Property Plant & Equipment.

The managed timber is measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. The cost is treated as approximation to fair value of young plants as the impact on biological transformation of such plants to price during this period is immaterial. The fair value of timber trees are measured using Discounted Cash Flow (DCF) method taking into consideration the current market prices of timber, applied to expected timber content of a tree at maturity by an independent professional value.

The Main Variables in DCF Model Concerns;

Variable	Comment
Currency valuation	Rs.
Timber content	Estimate based on physical verification of girth, height and considering the growth of each species in different geographical regions. Factor all the prevailing statutory regulations enforced against harvesting of timber coupled with the forestry plan of the Company.
Economic useful life	Estimated based on the normal life span of each species by factoring the forestry plan of the Company.
Selling price	Estimated based on prevailing Sri Lankan market prices. Factor all the conditions to be fulfilled in bringing the trees into saleable condition.

Nursery cost includes the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads.

The gain or loss arising on initial recognition of biological assets at fair value less cost to sell and from a change in fair value less cost to sell of biological assets are included in the Statement of Profit or Loss and Other Comprehensive Income for the period in which it arises.

3.9 Statement of Cash Flows

The Statement of Cash Flows has been prepared using 'indirect method'. Interests paid are classified as operating cash flows while dividends paid are classified as financing cash flows. Interests and dividends received are classified as investing cash flows for the purpose of presentation of Statement of Cash Flows.

For the purpose of Statement of Cash Flows, cash & cash equivalents consist of cash at bank and in hand and short term deposits net of outstanding bank overdrafts.

3.10 Segmental Reporting

A segment is a distinguishable component of an enterprise that is engaged in either providing products or services (Business Segments) or in providing products or services within a particular economic environment (Geographic Segment) which is subject to risks and rewards that are different from those of other segments.

Segment information is presented in respect of the Group's business activities. The business segment has been identified as the primary segment of the Group as there are no distinguishable components to be identified as geographical segments for the Group. The business segments are reported based on the Group's management and internal reporting structure.

3.11 Related Party Transactions

Disclosures have been made in respect of the transactions between parties who are defined as related parties as per Sri Lanka Accounting Standards (LKAS) 24 – Related Party Disclosures.

3.12 Earnings per Share

The Group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.13 Events after the Reporting Period

All material occurring events after the reporting period have been considered and appropriate adjustments to or disclosures have been made in the financial statements.

Notes to the Financial Statements contd.

3.14 Financial Risk Management Policies

The Group's principal financial liabilities comprise of loans and borrowings, trade and other payables, and financial guarantee contracts. The main purpose of these financial liabilities is to finance the Group's operations and to provide guarantees to support its operations. The Group has loan and other receivables, trade and other receivables, and cash and short-term deposits that arrive directly from its operations. The Group also holds available-for-sale investments and enters into derivative transactions.

The Group is exposed to market risk, credit risk and liquidity risk. The Group's senior management monitors these risks. The Group's senior management is supported by an Audit Committee that advises on financial risks and the appropriate financial risk governance framework for the Group. The Audit Committee provides assurance to the Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with group policies and group risk appetite.

The Group's objectives, policies and processes for measuring and managing risk from financial instruments and the management of capital are reported separately in Note 31 in conformity with Sri Lanka Financial Reporting Standards.

3.15 New Accounting Standards Issued But Not Effective as at the Reporting Date

Standards issued but not yet effective up to the reporting date are listed below. This listing is of standards issued, which the Group reasonably expects to be applicable at the future date. The Group intends to adapt those standards when they become effective.

SLFRS 9 Financial Instruments: Classification and Measurement

SLFRS 9 brings together all three aspects of the accounting for the financial instruments i.e. classification and measurement, impairment and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1st January 2018, with early application is permitted. Except for hedge accounting, retrospective application is required, but providing comparative information is not compulsory. For hedge accounting the requirements are generally applied prospectively with some limited exceptions.

The Directors of the Group anticipate that the application of SLFRS 9 in the future may have no major impact on the amounts reported and disclosures made in these financial statements. This assessment is based on currently available information and may be subject to changes arising from further analysis.

SLFRS 15 - Revenue from Contracts with Customers

SLFRS 15 establishes a single comprehensive model for entities to use in accounting for revenue arising from contracts with customers. The standard will supersede the current revenue recognition guidance including LKAS 18 'Revenue' and LKAS 11 'Construction Contracts' and the related Interpretations when they become effective.

The core principle of SLFRS 15 is that an entity should recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Specifically, the Standard introduces a 5-step approach to revenue recognition.

- Step 1: Identify the contract(s) with a customer
- Step 2: Identify the performance obligations in the contract
- Step 3: Determine the transaction price
- Step 4: Allocate the transaction price to the performance obligations in the contract
- Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Under SLFRS 15, an entity recognises revenue when (or as) a performance obligation is satisfied, i.e. when 'control' of the goods or services underlying the particular performance obligation is transferred to the customer. Far more prescriptive guidance has been added in SLFRS 15 to deal with specific scenarios.

The Directors of the Group anticipate that the application of SLFRS 15 in the future may not have a significant impact on the amounts reported and disclosures made in these Financial Statements. This assessment is based on currently available information and may be subject to changes arising from further analysis.

SLFRS 16 - Leases

SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model.

The Standard will replace existing leases guidance, including LKAS 17 Leases, IFRIC 4 Determining whether an Arrangement contains a Lease, SIC-15 Operating Leases – Incentives and SIC-27 Evaluating the Substance of Transactions Involving the Legal Form of a Lease

A lessee recognises a right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments.

SLFRS 16 is effective for Annual Reporting periods beginning on or after 1st January 2019. The impact on the implementation of the above standards has not been quantified yet by the Group.

For the year ended 31 March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
4. REVENUE				
4.1 Summary				
Gross Revenue	45,700,276	42,766,903	86,331	29,900
Less: Revenue Related Taxes	(2,406,890)	(1,750,429)	-	-
Net Revenue	43,293,386	41,016,474	86,331	29,900
4.2 Business Segment Analysis				
Trading of Consumer Products	26,796,791	27,066,892	-	-
Trading of Industrial Products	11,549,810	10,864,308	-	-
Leisure	1,555,753	1,414,470	-	-
Plantations	8,542,754	6,604,854	-	-
Others	882,402	931,958	86,331	29,900
	49,327,510	46,882,482	86,331	29,900
Less: Inter-Segment Revenue	(6,034,124)	(5,866,008)	-	-
Net Revenue	43,293,386	41,016,474	86,331	29,900
5. OTHER INCOME / (EXPENSES)				
5.1 Other Income				
Gain on Disposal of Property, Plant and Equipment	467,298	86,290	-	-
Dividend Income	134,775	35,135	70,643	151,012
Sale of Rubber Trees	108,459	95,910	-	-
Sale of Timber & Scrap	60,490	44,441	-	-
Amortisation of Grants and Subsidies	22,704	21,325	-	-
Net Gain on Disposal of Available for Sale Financial Assets	31,608	365	-	-
Net Gain on Disposal of Subsidiaries / Associates	-	-	35,411	-
Commission Income	23,911	23,071	4,842	7,044
Creditors No Longer Payable Written Back	3,666	7,719	-	-
Change in Fair Value of Biological Assets	243,286	150,006	-	-
Rental Income	124,162	132,370	-	-
Change in Fair Value of Financial Assets Held for Trading	40,208	21,089	-	-
Sundry Income	158,475	98,131	21,744	19,641
	1,419,043	715,853	132,640	177,697
5.2 Other Expenses				
Loss on Change in Fair Value of Financial Assets Held for Trading	-	1,164	-	-
Write off of Millewa Estate	134,902	-	-	-
Net Impairment/ (Reversal) of Inventories	3,131	83,550	-	-
Net Loss on Disposal of Subsidiaries	-	-	-	682
Impairment of Trade and Other Receivables	103,637	38,816	-	-
Impairment of Property Plant and Equipment	-	21,773	-	-
Impairment/(Reversal) of Investment in Subsidiaries	-	-	(441)	4,241
Impairment of Other Long Term Investments	4,845	-	-	-
Others	71,416	48,243	-	-
	317,931	193,546	(441)	4,923

Notes to the Financial Statements contd.

	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
6. NET FINANCE COST				
Finance Income				
Interest Income	117,840	36,185	51,003	43,160
Net Gain/(loss) on Translation of Foreign Currency	(8,558)	41,408	-	-
Total	109,282	77,593	51,003	43,160
Finance Costs				
Interest on Short-Term Loans - Related Parties	24,522	20,938	48,730	33,959
Interest on Loans	1,835,686	1,338,373	27,107	22,996
Interest on Finance Lease Obligation	31,629	33,217	264	42
Interest on JEDB/SLPC Estate Lease	79,550	72,723	-	-
Debenture Interest	121,854	132,972	-	-
Interest on Bank Overdraft	447,371	420,448	10,653	9,853
Other Interest	342,654	327,155	-	-
Amount Capitalised	(121,437)	(155,561)	-	-
	2,761,829	2,190,265	86,754	66,850
	2,652,547	2,112,672	35,751	23,690
7. PROFIT BEFORE TAXATION				
Is stated after charging all expenses including the following:				
Audit Services				
KPMG	24,059	20,779	1,050	990
Other Auditors	16,101	14,440	-	-
Non-Audit Services				
KPMG	801	2,555	132	124
Other Auditors	2,524	3,179	-	-
Amortisation of Intangible assets (Note 13)	47,770	24,775	-	-
Depreciation and amortisation (Note 7.1)	1,281,751	1,258,473	4,106	3,145
Directors Remuneration	499,257	474,040	12,000	12,300
Staff Cost (Note 7.2)	8,335,326	7,495,071	-	-
Donations	6,059	3,846	50	50
7.1 Depreciation and amortisation				
Property, Plant & Equipments (Note 10.1 & 10.2)	1,233,403	1,160,910	1,685	1,870
Leasehold Properties (Note 11)	28,524	77,227	-	-
Investment Properties (Note 12)	19,824	20,336	2,421	1,275
	1,281,751	1,258,473	4,106	3,145
7.2 Staff Cost				
Salaries and Wages	7,107,246	6,238,594	-	-
Defined Contribution Plan Cost - EPF & ETF	751,310	814,407	-	-
Defined Benefit Plan Cost - Retiring Gratuity	476,770	442,070	-	-
	8,335,326	7,495,071	-	-

For the year ended 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
8. INCOME TAX EXPENSE				
Current Income Tax Expense (Note 8.1)				
Taxation on Profit for the Year	374,774	297,355	9,283	7,855
Under/(Over) Provision on Taxation in respect of previous years	837	38,754	-	-
	375,611	336,109	9,283	7,855
Deferred Tax Expense				
Origination/(Reversal) of Temporary Differences	(223,050)	(174,293)	(10,527)	(204)
	152,561	161,816	(1,244)	7,651
8.1 Current Income Tax Expense				
Reconciliation of Accounting Profit to Income Tax Expense				
Profit / (Loss) before Tax	(155,716)	(916,447)	109,406	130,103
Intra-Group Adjustments	832,942	306,160	-	-
	676,776	(610,287)	109,406	130,103
Aggregate Disallowed Expenses	2,309,339	2,851,492	22,998	75,917
Aggregate Allowable Items	(2,558,005)	(2,720,578)	(168,166)	(247,947)
Tax Exempt (Income)/Loss	(920,857)	(192,920)	-	-
Statutory (Income)/Loss	(492,748)	(672,293)	(35,762)	(41,927)
Other Source of Income	422,396	220,009	51,003	43,160
Tax Losses utilised during the year	(336,047)	(107,711)	(17,851)	(15,106)
Taxable Income/(Loss)	(406,399)	(559,995)	33,152	28,054
Income Tax @ 28%	297,016	262,703	9,283	7,855
Income Tax @ 20%	22,764	14,785	-	-
Income Tax @ 10 % & 12%	54,993	23,375	-	-
Income Tax at Other Rates	-	(3,508)	-	-
Current Income Tax Expenses	374,774	297,355	9,283	7,855
Tax Losses B/F	9,740,501	8,185,386	26,821	-
Adjustment in respect of prior year	(456,001)	(137,479)	-	-
Tax Loss during the year	1,551,784	1,800,305	35,762	41,927
Tax Loss utilised	(336,047)	(107,711)	(17,851)	(15,106)
Tax Loss C/F	10,500,237	9,740,501	44,732	26,821

8.2 Income Tax Expense

The income tax provision of The Colombo Fort Land & Building PLC and its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated on their adjusted profits at 28% in terms of the Inland Revenue Act No. 10 of 2006 and amendments thereto (other than in respect of companies / activities set out in notes 8.2.1 and 8.2.2 below).

Tax status of companies in the Group which are;

* enjoying income tax exemptions (Note 8.2.1)

* enjoying concessionary tax rates (Note 8.2.2)

on profit/income earned from ordinary activities of business.

Notes to the Financial Statements contd.

8.2.1 Exemption from income tax

Company	Activity	Statute	Period
Waverly Power (Private) Limited	Profit and income from Mini Hydro Power Project	Section 16C of Inland Revenue Act No. 10 of 2006 as amended by Act No. 22 of 2011 and Act No. 8 of 2012	6 years commencing from 2015/2016 to 2020/2021. after the exemption period , the income tax rate would be 12%.
York Hotels (Kandy) Limited	Hotel operations	Section 17 of the G.C.E.C. Law No. 04 of 1978. However, BOI has given a notice of cancellation and termination of all rights, privileges and benefits conferred on the enterprise under the conduct and operation of the project with effect from 23rd November 2002.	10 years from the year in which the company commences to make profits or within 5 years from the year the company commenced commercial operations, which ever is earlier. The Company is also entitled to a concessionary rate of tax at 2% of its turnover for 15 years immediately after the expiry of the said 10 years tax holiday.

8.2.2 Companies liable to tax at concessionary rates

Company	Activity	Statute	Period
Lankem Ceylon PLC	Relocation of Agro Chemical and Agro Seeds operations to Pannala	Section 21 of Inland Revenue Act No. 10 of 2006, the profit and income from relocated activities under GAMATA KARMANTHA PROJECT. Profits and income are exempt for a period of 5 years commencing from the year of assessment 2010/2011. The relocated activities are liable for income tax 12% on its taxable income for the year of assessment 2017/18.	Indefinite
E.B.Creasy & Company PLC	Profit/Income (other than any profit/income from sale of any capital assets) earned in the factory located in Millewa	Section 21A of Inland Revenue (Amendment) Act No. 10 of 2006. Exempted For 5 years commencing 01st April, 2009. This exemption has expired during the financial year ended 31st March 2014 and the Company's profit / income earned in the factory located in Millewa during the year ended 31st March 2018 is taxed at 15%	Indefinite
Agrapatana Plantations Limited	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006. As per the Inland Revenue Act No. 24 of 2017 (ACT) , in the case of a company predominantly conducting an agricultural business, the applicable income tax rate is 14%. This would be applicable from 2018/19 onwards. As per the above ACT "Predominantly" is defined as 80% or more calculated based on gross income. The "Agriculture Business" is defined in section 195 (1) as business of producing agricultural, horticultural or any animal produce and includes an undertaking for the purpose of rearing livestock or poultry. Based on the legal expert opinion obtained, the management is of the view that the Company is predominantly engaged in agricultural business.	Indefinite
C.W. Mackie PLC and Subsidiaries	Taxable profits on non-traditional exports	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Kotagala Plantations PLC	Profits from agricultural undertaking	10% under Section 16 of the Inland Revenue Act No. 10 of 2006	Indefinite
Lankem Research Limited	Research Activities	12% under Section 48 of the Inland Revenue Act No. 10 of 2006	Indefinite
Beruwala Resorts PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite

Company	Activity	Statute	Period
Galle Fort Hotel (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Marawila Resorts PLC	Hotel operations	12 % under Section 17 (2) of the BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 368-29-6-92	Indefinite
Sigiriya Village Hotels PLC	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Lak Kraft (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
B.O.T Hotel Services (Private) Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Sherwood Holidays Limited	Hotel operations	12% under Inland Revenue Act No. 10 of 2006 and subsequent amendments thereto	Indefinite
Lanka Special Steels Limited	Manufacturing, Importing and Exporting galvanised wire.	20 % under BOI Law No. 04 of 1978 and in terms of the Agreement Registration Number 322	Indefinite

The income earned from activities other than mentioned above are liable to income tax at the rate of 28%.

8.3 Lankem Technology Services Limited, Associated Farms (Private) Limited and Lankem Agrochemicals Limited were non operative during the year.

8.4 Changes Applicable to the Group under Inland Revenue Act No.24 of 2017

8.4.1 Revaluation of freehold land

The group elected to apply the optional exemption to use the previous revaluation as deemed cost for freehold land on 1st April 2011, the date of SLFRS transition. The pretransition revaluation surplus was transferred to retained earnings as at that date.

As per section 6 and Chapter IV of the Inland Revenue Act No. 24 of 2017, freehold land used for business or investment purpose would be liable to tax at the time of realisation. Deferred tax has been recognised on the revaluation of freehold land which are treated as capital assets used in the business for tax purpose and in accordance with Sri Lanka Accounting Standards, the deferred tax impact has been charged to retained earnings as the related surplus has been previously added to retained earnings.

Freehold land which are treated as investment assets for tax purposes has not been considered for deferred tax, since the Act requires the market value as at 30th September 2017 to be considered as cost. The deemed cost at which the freehold land treated as investment assets are recognised in the financial statements are below the market value of these respective lands as at 30th September 2017 and therefore will not be liable for tax on the pretransition surplus on disposal of these lands.

8.4.2 Tax loss Carried forward

As per the Gazette notification issued in relation to the transitional provisions, any unclaimed losses as at 31st March 2018, is deemed to be a loss incurred for the year of assessment commencing on or after 1st April, 2018 and shall be carried forward up to 6 years. Accordingly the Group has evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly.

Notes to the Financial Statements contd.

8.5 Deferred Tax Assets/Liabilities

Deferred tax has been calculated by applying the rate of 28% for subsidiaries which are liable for income tax at the standard rate. The subsidiaries which are liable for income tax at reduced rates (below the standard rate) have computed deferred tax at the reduced rates.

- (i) No Provision has been made for deferred tax in the Financial Statements of York Hotels (Kandy) Limited, as no material temporary differences have arisen during the year which are expected to reverse in the future.
- (ii) No Deferred tax assets have been recognised in the Financial Statements of subsidiaries, namely, Agarapatana Plantations Limited, Colombo Fort Hotels Limited, Lankem Ceylon PLC, Lankem Exports (Private) Limited, Lankem Consumer Products Limited, Lankem Research Limited, Lankem Paints Limited, Kelani Valley Canneries Limited, SunAgro Foods Limited, SunAgro Farms Limited, Lankem Chemicals Limited, Muller & Phipps (Ceylon) PLC, Lankem Developments PLC and Ceytra (Private) Limited in respect of tax losses carried forward because it is not probable that future taxable profit will be available against which these companies can utilise the benefit therefrom. The tax losses carried forward are as follows;

Unrecognised Deferred Tax Assets	2018 Rs. Mn.	2017 Rs. Mn.
Agarapatana Plantations Limited	48.8	243.3
Colombo Fort Hotels Limited	4.8	4.0
Lankem Ceylon PLC	615.1	386.0
Lankem Developments PLC	33.7	34.5
Lankem Exports (Private) Limited	8.7	7.8
Lankem Consumer Products Limited	53.8	53.8
Lankem Research Limited	1.5	1.6
Lankem Chemicals Limited	0.8	0.6
Lankem Paints Limited	25.5	25.0
Kelani Valley Canneries Limited	64.1	64.0
Muller & Phipps (Ceylon) PLC	25.9	26.2
SunAgro Foods Limited	85.4	89.1
SunAgro Farms Limited	16.5	16.6
SunAgro LifeScience Limited	-	6.9
Ceytra (Private) Limited	3.6	15.0

9. BASIC EARNINGS / (LOSS) PER SHARE

Basic Earnings / (Loss) per share is based on the Profit / (Loss) for the year attributable to equity holders of the Company / Group divided by weighted average number of Ordinary Shares in Issue during the year.

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence diluted earnings per share is equal to the basic earnings per share.

	GROUP		COMPANY	
	2018	2017	2018	2017
Profit / (Loss) attributable to				
Equity Holders of the Company (Rs.'000)	(499,967)	(879,480)	110,650	122,452
Weighted Average Number of Ordinary Shares (No.'000)	180,000	180,000	180,000	180,000
Earnings / (deficit) Per Share (Rs.)	(2.78)	(4.89)	0.61	0.68

10. PROPERTY, PLANT & EQUIPMENT

10.1 Group

	Balance as at 01.04.2017	Acquisition of Subsidiaries	Disposals/ Write off/ Additions during the Year	Transfers during the Year	Transfer to Assets held for Sale	Balance as at 31.03.2018
Cost	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Land (Access Roads)	69,315	-	-	-	-	69,315
Freehold						
Land (Note 10.3)	4,866,737	-	75,497	(242,570)	(60,000)	4,639,664
Buildings	6,233,045	-	290,705	(230,906)	-	6,292,844
Mature/Immature Plantations (Note 10.4)	6,745,362	-	812,296	(612,283)	-	6,945,376
Plant & Machinery	4,832,993	189,794	655,647	(25,269)	-	5,653,165
Motor Vehicles	1,282,102	2,659	181,010	(124,929)	-	1,340,842
Office Equipments	714,232	-	138,349	(10,809)	-	841,772
Furniture and Fittings	975,271	11,027	22,748	(88,966)	-	920,080
	25,719,058	203,480	2,176,252	(1,335,732)	(60,000)	26,703,058
Leasehold						
Buildings	111,524	-	20,897	-	-	132,421
Plant & Machinery	181,154	-	-	-	-	181,154
Motor Vehicles	304,217	-	23,975	(58,382)	-	269,810
Office Equipments	375	-	-	-	-	375
Furniture and Fittings	1,587	-	-	-	-	1,587
	598,857	-	44,872	(58,382)	-	585,347
Capital WIP*	566,837	-	301,258	(297,523)	-	570,572
Total Cost/Valuation	26,884,752	203,480	2,522,382	(1,691,637)	(60,000)	27,858,977

Notes to the Financial Statements contd.

10. PROPERTY, PLANT & EQUIPMENT

10.1 Group contd.

	Balance as at 01.04.2017 Rs.'000	Acquisition of Subsidiaries Rs.'000	Charge for the Year Rs.'000	Disposals/Write off during the Year Rs.'000	Balance as at 31.03.2018 Rs.'000
Accumulated Depreciation					
Land (Access Roads)	23,562	-	2,906	-	26,468
Freehold					
Buildings	1,350,230	-	215,358	(34,530)	1,531,058
Mature/Immature Plantations (Note 10.4)	1,083,918	-	186,534	(46,052)	1,224,400
Plant & Machinery	2,557,852	151,071	410,789	(20,882)	3,098,830
Motor Vehicles	950,335	2,421	195,942	(122,251)	1,026,447
Office Equipments	489,189	-	104,188	(11,582)	581,795
Furniture and Fittings	639,746	9,440	65,941	(25,964)	689,163
	7,094,832	162,932	1,181,658	(261,261)	8,178,161
Leasehold					
Buildings	8,985	-	5,327	-	14,312
Plant & Machinery	92,405	-	12,907	-	105,312
Motor Vehicles	231,117	-	33,511	(52,851)	211,777
Office Equipments	312	-	-	-	312
Furniture and Fittings	1,587	-	-	-	1,587
	334,406	-	51,745	(52,851)	333,300
Total Depreciation	7,429,238	162,932	1,233,403	(314,112)	8,511,461
Carrying Value	19,455,514				19,347,517
Impairment	(14,608)		(2,331)		(16,939)
Total Carrying Value of Property, Plant & Equipment	19,440,906	-			19,330,577

Note ; The cost of fully depreciated Property Plant and equipment of the group which are still in use as at 31st March 2018 is Rs.2,798 million (2016/2017 - Rs. 2,670 million)

a) Capital Work in Progress

*Amount Transferred from capital work in progress during the year is included in additions.

b) C.W. Mackie PLC

C.W. Mackie PLC has taken certain land and buildings on lease. In terms of the Grant to the Company dated 22 September 1964 under the Crown Lands Ordinance, premises No.34 and 36, D. R. Wijewardena Mawatha, Colombo 10 has been leased for a period of 60 years, 8 months and 10 days (being the residue of the unexpired term under Indenture of Lease by the Crown dated 10 June 1925 granting the Company a 99 year lease of the premises from the said date). At the time of handing over the possession of the premises, the Company is not entitled to any compensation in respect of the land, buildings or improvements thereon.

C.W. Mackie PLC has surrendered the aforesaid lease of the premises No. 34 and 36, D.R. Wijewardena Mawatha, Colombo 10 to the Divisional Secretary, at his request, on the understanding that the terms, conditions and covenants contained in the lease will continue to be in force in respect of the said premises during the tenure of the lease, for the purpose of vesting the land in the Urban Development Authority (UDA) to thereafter enable the UDA to allocate the said land, together with an adjoining land, to the Company for the purpose of a contemplated development by the Company on the amalgamated lands, pursuant to the Government's re-development plan for the Beira Lake along D.R. Wijewardena Mawatha.

c) **Beruwala Resorts PLC**

Beruwala Resorts PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 1st August, 2007. The lease period will expire on 31st July, 2037. The Company has paid Rs. 1,836,000/- for the lease right in year 2017/18 (2016/17 - Rs. 1,836,000/-).

d) **Sigiriya Village Hotels PLC**

Sigiriya Village Hotels PLC, a subsidiary, have constructed building on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 2nd September, 2009. The lease period will expire on 1st September 2039. The Company has paid Rs. 2,377,469/- for the lease right in year 2017/18 (2016/17 - Rs. 2,317,476/-).

e) Each company in the Group has evaluated both internal and external indications of impairment of long lived assets and has not identified presence of any of such indications at the end of the financial year.

f) Property, Plant & Equipment pledged as securities in obtaining loans have been disclosed in Note 24.5 to these Financial Statements.

10.2 Company

Cost / Valuation	Balance as at 01.04.2017 Rs.'000	Additions during the Year Rs.'000	Balance as at 31.03.2018 Rs.'000
Freehold			
Plant & Machinery	-	22	22
Office Equipment	11,253	412	11,665
Furniture and Fittings	9,510	720	10,230
Motor Vehicle	15,019	-	15,019
	35,782	1,154	36,936
Leasehold			
Motor Vehicle	-	12,500	12,500
	-	12,500	12,500
Total Cost	35,782	13,654	49,436
	Balance as at 01.04.2017 Rs.'000	Charge for the Year Rs.'000	Balance as at 31.03.2018 Rs.'000
Accumulated Depreciation			
Freehold			
Plant & Machinery	-	1	1
Office Equipment	9,572	465	10,037
Furniture and Fittings	9,379	66	9,445
Motor Vehicle	14,380	639	15,019
	33,331	1,171	34,502
Leasehold			
Motor Vehicle	-	514	514
	-	514	514
Total Accumulated Depreciation	33,331	1,685	35,016
Total Carrying Value of Property, Plant & Equipment	2,451		14,420

Notes to the Financial Statements contd.

10.3 Group

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
The Colombo Fort Land & Building PLC Land	Fort, Colombo.	153	2	Mr. P.P.T. Mohideen Chartered Valuer	31.03.2016	1,249,700	621,625
Marawila Resorts PLC Land	Marawila	4,714	50	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2018	1,225,654	880,948
Sigiriya Village Hotels PLC Land	Freehold: Mankani Trincomalee Leasehold : Sigiriya	1,362 2,688	- 39	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	204,000	176,245
Galle Fort Hotel (Private) Limited Land	Galle Fort, Galle.	78	8	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	775,460	336,676
Beruwala Resorts PLC Land	Freehold: Moragalla, Beruwala. Leasehold : Moragalla, Beruwala.	3 1,262	- 50	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	1,112	267
B.O.T. Hotel Services (Private) Limited Land	Kaparathota Road, Waligama.	491	2	Mr. R.S. Wijesuriya Incorporated Valuer	31.03.2016	412,447	361,805
Lankem Developments PLC Land	Maguruwila Road, Gonawala.	88.5	-	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	15,500	6,950
Lankem Ceylon PLC Land	St. Anthony's Road, Ekala, Kuriduwaatta.	480	11	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	108,000	33,600
Land	Maithree Mawatha, Ekala.	400	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	100,000	27,000
Land	Maguruwila Road, Gonawala.	874	8	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	152,863	43,198
Land	Kandathoduwwa, Putlam.	4,056	-	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	9,332	7,350
Land	Maduramadu, Vembu, Puttlam	1431	2	No significant difference in the market value of the land compared to the book value as at 31.03.2018		33,629	33,629
E.B. Creasy & Company PLC Land	Sri Sangaraja Mawatha, Colombo 10.	238	2	P.B. Kalugalagedara Chartered Valuer	31.03.2016	994,650	453,000
Creasy Foods Limited Land	Ekala, Ja-Ela.	160	-	P.B. Kalugalagedara Chartered Valuer	31.03.2016	48,000	32,000
Laxapana Batteries PLC Land	Homagama.	584	3	Mr.H.W.I.G.A. Weerakoon	31.03.2016	203,700	101,675

Company Name	Location	Extent Perches	No. of Buildings	Name of the Valuer	Latest Valuation	Market Value Rs.'000	Carrying Value Rs.'000
C.W. Mackie PLC Land	Scan Bottling Plant Munagama, Horana.	485	4	No significant difference in the market value of the land compared to the book value as at 31.03.2018			263,968
Ceymac Rubber Company Limited. Land	Industrial Estate Aramanagolla, Horana.	800	11				
Sunquick Lanka Properties (Private) Limited	Sunquick Plant Munagama, Horana.	473	8				
Ceymac Rubber Company Limited. Land	Thebuwana, Narthupana	850	8				
Kelani Valley Canneries Limited Land	Kaluaggala, Hanwella	355	7	No significant difference in the market value of the land compared to the book value as at 31.03.2018			33,000
CM Holdings PLC Land	297, Union Place, Colombo.	206	3	Mr. P.T.Mohideen Chartered Valuer	31.03.2016	1,831,000	771,326
Colonial Motors (Ceylon) Limited Land	41/35, Nagahamulla Road, Thalagama, Battaramulla	133.0	6	Mr. N.B.S.A. Nanayakkara	31.03.2016	101,000	67,246
KIA Motors (Lanka) Limited Land	Pelawatta	110	-	Mr. H.B.M Basnayaka Incorporated Valuer	31.03.2016	108000	79,496
Land	Malabe	524	-				230,017
J.F. Packaging (Private) Limited Land	Minuwangoda Road, Kotugoda	350	4	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	270,000	42,199
Ceylon Tapes (Private) Limited Land	Samagi Mawatha, Jaela	45	3	Mr. B. L. Ariyathilake Chartered Valuer	31.03.2016	12,375	11,250
Land	Franslyn Estate , Andimulla	460	1	Mr.W.A.T.I.P. Jayathilake Incorporated Valuer	16.11.2015	46,000	25,199
Total							4,639,664

10.4 Immature/Mature Plantations - Bearer Biological Assets

	31.03.2018 Rs.'000	31.03.2017 Rs.'000
Agarapatana Plantations Limited (APL) Bearer Biological Assets	2,225,066	2,127,165
Kotagala Plantations PLC (KPPLC)	3,495,910	3,534,277
	5,720,976	5,661,442

Notes to the Financial Statements contd.

10.4.1 Mature/Immature Plantations- Bearer Biological Assets

Cost	Mature Plantations			Immature Plantations			Total	Total
	Tea Rs'000	Rubber Rs'000	Other Rs'000	Tea Rs'000	Rubber Rs'000	Other Rs'000	31.03.2018 Rs'000	31.03.2017 Rs'000
At the beginning of the year	2,309,502	1,701,569	389,357	1,238,839	747,592	358,503	6,745,363	6,224,102
Additions/Transfer in	168,844	229,439	49,141	159,630	137,497	67,744	812,297	1,269,443
Transfer out	-	-	-	(168,844)	(229,439)	(49,141)	(447,424)	(748,182)
Written Off - Millewa Estate	-	(111,507)	-	-	(51,308)	(2,044)	(164,859)	-
Reclassification	-	-	-	(1,323)	-	1,323	-	-
At the end of the year	2,478,348	1,819,501	438,498	1,228,302	604,342	376,385	6,945,376	6,745,362
Depreciation								
At the beginning of the year	462,472	593,602	27,846	-	-	-	1,083,918	917,138
Charge for the year	70,341	94,263	21,930	-	-	-	186,534	166,783
Written Off - Millewa Estate	-	(46,052)	-	-	-	-	(46,052)	-
At the end of the year	532,812	641,813	49,775	-	-	-	1,224,400	1,083,918
Carrying Value as at 31.03.2018	1,945,536	1,177,689	388,723	1,228,302	604,342	376,385	5,720,976	-
Carrying Value as at 31.03.2017	1,847,030	1,107,967	361,511	1,238,839	747,592	358,503	-	5,661,442

a) These are investments in mature/immature plantations since the formation of the respective Companies. The assets (including plantation assets) taken over by way of estate leases as given in the Note 11.1 and 11.2 to the Financial Statements. Further, investment in Immature Plantations taken over by way of leases are shown in the above Note. When such plantations become mature, the additional investments made since taking over to bring them to maturity are transferred from Immature to Mature under this Note. A corresponding movement, from Immature to Mature, in respect of the investment undertaken by JEDB/SLSPC on the same plantation prior to the leases are shown under Note 11.2 to the Financial Statements.

The Companies have elected to measure the bearer biological assets at cost using LKAS 16 - Property, Plant & Equipment.

b) Borrowing costs of Kotagala Plantations PLC, a subsidiary, amounting to Rs.19.4 million (2016/17- Rs.22.7 million) on tea and Rs.50.5 million (2016/17- Rs.63.1 million) on Rubber incurred on term loans and overdrafts utilised to finance replanting expenditure of tea and rubber have been capitalised. The average rate of interest for capitalisation was 13% (2016/2017 - 14.16%). Capitalisation will cease when crops are ready for harvest.

c) Borrowing costs of Agarapatana Plantations Limited, a subsidiary, amounting to Rs.51.5 million (2016/17- Rs.69.8 million) have been capitalised as part of the cost of the immature plantations. The average rate of interest for capitalisation was 12.02% (2016/2017 - 13.63%). Capitalisation will cease when crops are ready for harvest.

d) Other Immature Plantations include other crops such as Cinnamon, Coconut, etc. and carried at cost less impairment.

10.5 Fair Value gain on growing produce of bearer Biological Assets

	2018 Rs.'000	2017 Rs.'000
At the beginning of the year	19,986	2,819
Change in Fair value less cost to sell	(3,659)	17,166
At the end of the year	16,326	19,986

10.6 Consumer Biological Assets

	2018	2017
At the beginning of the year	1,521,779	1,390,876
Expenses on new planting (Net of Harvest)	8,415	(1,938)
Gain arising from changes in fair value for the year	246,945	132,841
	1,777,139	1,521,779

Kotagala Plantations PLC and Agarapatana Plantations Limited has recognised managed trees as biological assets.

Kotagala Plantations PLC (KPPLC)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material. When such plantations become mature, the additional investment since taking over to bring them to maturity are transferred from Immature to mature.

The fair value of managed trees was ascertained by Mr. A.A.M Fathihu, (FIV), Incorporated Valuer.

Key assumptions used in valuation are as follows,

Variable	Comment
Timber Content	Estimated based on the girth, height and considering the growth and present age of the trees of each species in different geographical regions, factoring all the prevailing statutory regulations enforced against harvesting of timber coupled with forestry plan of the Company approved by the Forestry Department.
Economic Useful Life	Estimated based on normal life span of each species by factoring the forestry plan of the Company approved by the Forestry Department.
Selling Price	Estimated based on prevailing Sri Lankan market prices factoring all the conditions to be fulfilled in bringing the trees in to saleable condition.
Discount rate	Future cash flows are discounted at the rate of 14%, 15% & 16% (2017 - 16.3%)

The Board of Directors of the Company are of the view that, As per the forestry management plan of the company, the maximum number of 220 trees per hectare is expected at the time of harvest. Thereby the maximum trees per hectare taken into the timber valuation is 220 trees or actual number of trees available , whichever is lower.

Agarapatana Plantations Limited (APL)

Managed trees include commercial timber plantations cultivated on estates. The cost of immature trees upto 5 years from planting are treated as approximate fair value particularly on the grounds of little biological transformation has taken place and impact of the biological transformation on price is not material.

The fair value of managed trees was ascertained by the Independent, Incorporated Valuer Mr. A.A.M Fathihu, (FIV), for the current year in accordance with LKAS 41 - "Agriculture" using Discounted Cash Flow (DCF) method.

10.6.1 Measurement of Fair Value

- The Future cash flows are determined by reference to current timber prices and the fair value measurement for the consumable biological assets have been categorised as level 3.
- Following table shows the valuation techniques used by Kotagala Plantations PLC in measuring level 3 fair value of consumable biological assets as well as the significant unobservable inputs used.

Notes to the Financial Statements contd.

Kotagala Plantations PLC (KPPLC)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years	Discounted Cash Flows The Valuation model considers present value of future cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-to-tree basis Expected Cash flows are discounted using a high risk adjusted rate of; 14% - Trees age to harvest 5 years or below 15% - Trees age to harvest 6- 15 years 16% - Trees age to harvest 15 years or above comprising a risk free rate of 11%	Determination of Timber content Species planted in separate blocks as at Reporting date have been identified by a qualified forestry officer of the Company and the timber content has been estimated based on the age and current cubic content. Determination of Price of Timber Trees have been valued as per current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following Variables; The estimated timber content The estimated price per cubic meter The estimated selling related costs The estimated maturity age The risk adjusted discounting rate

Agarapatana Plantations Limited (APL)

Type	Valuation Technique used	Significant unobservable inputs	Inter relationship between Key unobservable inputs and fair value measurements
Mature Timber Mature timber older than 5 years	Discounted Cash Flows The valuations, as presented in the external valuation model based on net present values, takes into account the long term exploitation of the timber plantations. Expected Cash flows are discounted using ; 14% - Trees age to harvest 5 years or below 15% - Trees age to harvest 6- 15 years 16% - Trees age to harvest 15 years or above	Optimum Rotation (Maturity) - 22 years Volume at Rotation - 19.1- 88.5 cu.ft. Price per cu.ft. - Rs.212/- to Rs.656/-	Lower the rotation period, higher the fair value Higher the volume, higher the fair value Higher the price per cu.ft. higher the fair value. Higher the discount rate, the lesser the fair value

The valuations, as presented in the external valuation models based on net present values, take into account the long term exploitation of the timber plantations. Because of the inherent uncertainty associated with the valuation at fair value of the biological assets due to the volatility of the variables, their carrying value may differ from their realisable value. The Board of Directors retains their view that commodity markets are inherently volatile and that long term price projections are highly unpredictable. Hence, the sensitivity analysis regarding selling price and discount rate variations as included in this note allows every investor to reasonably challenge the financial impact of the assumptions used in the LKAS 41 against his own assumptions.

The biological assets of Agarapatana Plantations Limited are mainly cultivated in leased lands. When measuring the fair value of the biological assets it was assumed that these concessions can and will be renewed at normal circumstances. Timber content expects to realise in future included in the calculation of the fair value takes into account the age of the timber plants and not the expiration date of the lease.

10.6.2 Sensitivity Analysis

Sensitivity analysis on sales price and discounted Rate

The Future cash flows are determined by reference to current timber prices and the fair value measurement.

a) Sensitivity variation-sales price

Values as appearing in the Statement of Financial Position are very sensitive to price changes with regard to the average sales prices applied. Simulations made for timber show that a rise or decrease by 10% of the estimated future selling price has the following effect on the net present value of biological assets:

	Rs.	Rs.
	-10%	10%
Sensitivity effect on the carrying value of Biological Assets Rs.(000)	(178,004)	178,004

b) Sensitivity variation-discount rate

Values as appearing in the Statement of Financial Position are very sensitive to changes of the discount rate applied. Simulations made for timber trees show that a rise or decrease by 1% of the estimated discount rate has the following effect on the net present value of biological assets:

	Rs.	Rs.
	-1%	1%
Sensitivity effect on the net present value of Biological Assets Rs.(000)	109,523	(100,394)

11. LEASEHOLD PROPERTY

	Balance as at 01.04.2017 Rs.'000	Additions During the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2018 Rs.'000
Cost				
Leasehold Right to Bare Land of JEDB/SLSPC Estates (Note 11.1)				
Kotagala Plantations PLC (Note 11.1.a)	342,287	-	(11,124)	331,163
Agarapatana Plantations Limited (Note 11.1.b)	341,588	-	-	341,588
	683,875	-	(11,124)	672,751
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) (Note 11.2)				
Kotagala Plantations PLC (11.2.a)	458,222	-	(9,900)	448,322
Agarapatana Plantations Limited (11.2.b)	265,748	-	-	265,748
	723,970	-	(9,900)	714,070
Other Leasehold Assets				
SunAgro Farms Limited (11.3)	2,555	-	-	2,555
Ceyflex Rubber Limited	6,670	-	-	6,670
	9,225	-	-	9,225
Total Cost	1,417,070	-	(21,024)	1,396,046

Notes to the Financial Statements contd.

11. LEASEHOLD PROPERTY contd.

	Balance as at 01.04.2017 Rs.'000	Charge for the Year Rs.'000	Disposal During the Year Rs.'000	Balance as at 31.03.2018 Rs.'000
Accumulated Depreciation				
Leasehold Right to Bare Land of JEDB/SLSPC Estates				
Kotagala Plantations PLC (Note 11.1.a)	160,025	6,458	(5,411)	161,072
Agarapatana Plantations Limited (Note 11.1.b)	159,619	6,441	-	166,060
	319,644	12,899	(5,411)	327,132
Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)				
Kotagala Plantations PLC (11.2.a)	401,522	8,793	(9,852)	400,463
Agarapatana Plantations Limited (11.2.b)	215,643	6,832	-	222,475
	617,165	15,625	(9,852)	622,938
Other Leasehold Assets				
SunAgro Farms Limited (11.3)	2,555	-	-	2,555
	2,555	-	-	2,555
Total Depreciations	939,364	28,524	(15,263)	952,625
Carrying Value	477,706	(28,524)	(5,761)	443,421

Millewa estate of Kotagala Plantations PLC was acquired by the Urban Development Authority of Sri Lanka on the 26th of October 2017 ceasing the existing lease terms in the agreement with the company. The leasehold right to bare land was written off since the Company no longer has the control of the said estate.

11.1 Leasehold Right to Bare Land of Janatha Estate Development Board (JEDB)/Sri Lanka State Plantation Corporation (SLSPC) Estates.

a) Kotagala Plantations PLC

The leases of all 22 estates have been executed and will be retroactive from 22nd June, 1992. The leasehold rights to land on all these estates have been taken into the books of the Company as at 22nd June, 1992 immediately after formation of the Company, in terms of the ruling obtained from the Urgent Issues Task Force (UITF) of The Institute of Chartered Accountants of Sri Lanka. For this purpose, the Board decided at its meeting held on 8th March, 1995 that these bare lands would be revalued, at the value established for these lands, by the valuation Specialist Mr.D.R.Wickramasinghe, just prior to the formation of the Company. The value taken into the 22nd June, 1992, Statement of Financial Position and the amortisation of leasehold rights up to 31st March, 2018 are as follows.

Cost/Valuation	Life of the Asset	As at 22.06.1992 Rs.'000	Write off of Millewa	Balance 31.03.2018 Rs.'000	Balance 31.03.2017 Rs.'000
Right to use the Land of JEDB/SLSPC Estates	53 years	358,928	(11,124)	331,163	342,287
Amortisation					
	Balance as at 01.04.2017 Rs.'000	Charge for the Year Rs.'000	Write off of Millewa	Balance as at 31.03.2018 Rs.'000	Carrying Value as at 31.03.2018 Rs.'000
	160,025	6,458	(5,411)	161,072	170,089
					182,262

b) Agarapatana Plantations Limited

"Right-To-Use of Land on Lease" as above was previously titled "Leasehold Right to Bare Land". The change is in order to comply with Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka dated 21 August 2013. Such leases have been executed for all estates for a period of 53 years.

This right-to-use land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets. The Statement of Alternative Treatment (SoAT) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June 1992 and amortisation of the right to use of land up to 31 March 2018 are as follows.

Description	Cost / valuation as at 22.06.92 Rs.'000	Accumulated Amortisation 01.04.2017 Rs.'000	Amortisation During the Year Rs.'000	Accumulated Amortisation 31.03.2018 Rs.'000	Carrying Value as at 31.03.2018 Rs.'000	Carrying Value as at 31.03.2017 Rs.'000
Leasehold right to bare land of JEDB/SLSPC Estates	341,588	159,619	6,441	166,060	175,528	181,970

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land)

a) Kotagala Plantations PLC

In terms of the ruling of the UITF of the Institute of Chartered Accounts of Sri Lanka, all immovable assets in the JEDB/SLSPC estates under finance leases have been taken into the books of the Company retroactive to 22nd June 1992. For this purpose, the Board decided at its meeting on 08th March 1995 that these assets be restated at their book values as they appear in the books of the JEDB/SLSPC, on the day immediately preceding the date of formation of the Company. These assets are taken into the Balance Sheet as at 22nd June 1992 and depreciated as follows.

Revaluation	Life of the Asset	As at 22.06.92 Rs.'000	Balance 31.03.2017 Rs.'000	Write off of Millewa	Balance 31.03.2018 Rs.'000
Land Development Cost	30 years	6,712	6,701	(341)	6,360
Buildings other than Worker housing	25 years	26,519	25,902	(728)	25,174
Plant & Machinery	15 years	8,757	8,757	-	8,757
Water Projects and Sanitations	30 years	8,688	8,688	-	8,688
Mature Plantations					
- Tea	30 years	69,767	227,655	-	227,655
- Rubber	30 years	61,138	172,379	(8,831)	163,548
- Others	25 years	-	8,140	-	8,140
Immature Plantations					
- Tea		158,960	-	-	-
- Rubber		126,898	-	-	-
- Others		8,140	-	-	-
		475,579	458,222	(9,900)	448,322

Notes to the Financial Statements contd.

11.2 Immovable Leased Assets of JEDB/SLSPC Estates (Other than Bare Land) Contd.

Amortisation	Balance as at 01.04.2017 Rs.'000	Charge for the Year Rs.'000	Write off of Millewa	Balance as at 31.03.2018 Rs.'000	Carrying Value As at 31.03.2018 Rs.'000	Carrying Value As at 31.03.2017 Rs.'000
Land Development Cost	5,540	223	(293)	5,470	890	1,161
Buildings other than Worker Housing	25,537	365	(728)	25,174	-	365
Plant & Machinery	8,757	-	-	8,757	-	-
Water Projects and Sanitations	7,176	290	-	7,466	1,222	1,512
Mature Plantations						
- Tea	176,927	7,589	-	184,516	43,139	50,728
- Rubber	172,379	-	(8,831)	163,548	-	-
- Others	5,207	326		5,533	2,607	2,933
	401,522	8,793	(9,852)	400,463	47,858	56,700

Investment in Immature Plantations at the time of handing over to the Company by way of estate leases are shown under Immature Plantations as at 22nd June, 1992. Further investment in such plantations to bring them to maturity are shown under Note 10.4.

b) Agarapatana Plantations Limited

All the leases executed as at the year end will be retroactive to 22nd June 1992, the date of formation of the company. The leasehold right to bare land on all of these estates have been taken in to the books of the Company as at 22nd June 1992 immediately after the formation of the Company. The board decided at its meeting on 08 march 1995 that these assets would be taken at their book values as they appear in the books of JEDB/SLSPC on the day immediately preceding the date of formation of the Company. This right-to-use land is amortized over the remaining lease term or useful life of the right whichever is shorter and is disclosed under non current assets. The Statement of Recommended Practice (SoRP) for right-to-use of land does not permit further revaluation of right-to-use land. These assets are taken into the Statement of Financial Position as at 22nd June 1992 and depreciated as follows.

Description	Revaluation as at 22.06.92 Rs.'000	Transfers/ Immature to Mature (Adjustments) Rs.'000	Value as at 01.04.2017 Rs.'000	Accumulated Depreciation 01.04.2017 Rs.'000	Depreciation for the Year Rs.'000	Accumulated Depreciation 31.03.2018 Rs.'000	Carrying Value As at 31.03.2018 Rs.'000	Carrying Value As at 31.03.17 Rs.'000
Improvement to Land	5,406	-	5,406	4,459	181	4,640	766	947
Unimproved Land	998	-	998	-	-	-	998	998
Roads and Bridges	677	-	677	419	17	436	241	257
Buildings	62,634	-	62,634	62,008	626	62,634	-	626
Fences and Securities	49	-	49	49	-	49	-	-
Machinery	8,823	(621)	8,201	8,202	-	8,202	-	-
Water Supply	6,158	-	6,158	6,158	-	6,158	-	-
Power Augmentation	972	-	972	972	-	972	-	-
Coffee, Pepper, Cardamom	305	-	305	-	-	-	305	305
Mature Plantations	37,457	141,636	179,093	132,345	5,968	138,313	40,780	46,747
Vested Tea	1,223	-	1,223	1,000	40	1,040	183	224
Immature Plantations	141,636	(141,636)	-	-	-	-	-	-
Other Vested Assets	31	-	31	31	-	31	-	-
	266,369	(621)	265,748	215,643	6,832	222,475	43,273	50,104

Investment in Plantations assets which were immature at the time of handing over to the Company by way of estate leases are shown under Immature Plantations (revalued as at 22nd June, 1992).

However, since then all such investments in Immature Plantations attributable to JEDB/SLSPC period have been transferred to Mature Plantations. These mature tea were classified as bearer biological assets in terms of LKAS 41 - Agriculture. The carrying value of the bearer biological assets leased from JEDB/SLSPC is recognised at cost less amortisation. Further, investments in such plantations to bring them to maturity are shown in Note 10.4.

11.3 SunAgro Farms Limited

SunAgro Farms Limited, a subsidiary of the Company acquired an agricultural land on 21st June, 2010 on a 29 year lease from the Department of Buddhist Affairs and this was amortized over the period of lease. However, the balance was impaired as at 31st March 2014.

11.4 Ceyflex Rubber Limited (Formerly known as Duramedical (Lanka) Limited)

Ceyflex Rubber Limited, a Subsidiary of the company entered in to a Lease agreement with Board of Investment of Sri Lanka to hold the land for a period of 50 years commencing from 12th May 2016 to 11th May 2066 for a sum of USD 40,000 of non refundable lease premium and annual ground rent of USD 5,000 per annum.

	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
12. INVESTMENT PROPERTY				
Cost				
Balance as at Beginning of the Year	534,281	530,280	725,910	725,910
Transfers from Property Plant and Equipment	240,149	4,001	-	-
Additions during the year	-	-	86,862	-
Balance as at end of the Year	774,430	534,281	812,772	725,910
Accumulated Depreciation				
Balance as at Beginning of the Year	109,746	89,410	6,812	5,537
Charge for the Year	19,824	20,336	2,421	1,275
Balance as at end of the Year	129,570	109,746	9,233	6,812
Total Carrying Value (Note 12.1)	644,860	424,535	803,539	719,098

12.1 Group

Company	Location	Extent	Carrying Value Rs.'000	Fair Value Rs.
The Colombo Fort Land and Building PLC	York Arcade Building, Leyden Bastian Road, Colombo 01.	107,856 Sq ft	85,716	1,500 Mn
C.W. Mackie PLC	No. 36, D.R. Wijewardena Mw, Colombo 10.	56,348 Sq ft	264,098	285 Mn
Union Commodities (Private) Limited	No.79, Biyagama Road, Talwatta, Kelaniya.	38,287 Sq ft	111,955	136 Mn
C M Holdings PLC	297, Colvin R. De Silva Mw, Colombo 02.	31,757 Sq ft	25,947	104 Mn
York Hotels (Kandy) Limited	Halloluwa, Katugastota.	6A,1R,36P	157,144	374 Mn
Total			644,860	

C.W. Mackie PLC

C.W. Mackie PLC has rented out a part of C.W. Mackie building complex and the value of land and buildings of that portion has been classified as investment property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The above investment property is situated at No. 36, D. R. Wijewardena Mawatha, Colombo 10 and the extent of the building is 52,923 square feet.

Sunquick Lanka Properties (Private) Limited

The additions to Group investment property during the year 2017/18 includes value of Rs.217 Million freehold land (Rs.150 Million) and buildings (Rs.67 Million) transferred from C. W. Mackie PLC to Sunquick Lanka Properties (Private) Limited as part of the share of investment of C.W. Mackie PLC in the stated capital of the subsidiary, Sunquick Lanka Properties (Private) Limited.

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Further, Rs. 19 Million worth of additions in both Land and Building were made by Sunquick Properties (Private) Limited during the financial year.

Sunquick Lanka Properties (Private) Limited has rented out the entire land and buildings to Sunquick Lanka (Private) Limited, and rental income of Rs.1.75 Million has been received from Sunquick Lanka (Private) Limited during the period ended 31st March 2018.

Union Commodities (Private) Limited

As per the valuation carried out by Mr. P.B.Kalugalagedara, an independent professional Valuer, fair value of the investment property is Rs. 136 Million, The properties were valued on an open market value for existing use basis.

Union Commodities (Private) Limited has not incurred any expenses (including repairs and maintenance) relating to the building classified as investment properties during the year ended 31st March 2018.

C M Holdings PLC

The company and the group has initially accounted for the investment property at cost, and subsequently accounted for it under the cost model in accordance with the policy adopted by its ultimate parent. The investment property is depreciated using a straight line method over its estimated useful life of 20 years.valuation of the freehold land and buildings carried out by Chartered Valuation Surveyor Mr. P.P.T. Mohideen and valued at Rs.1,935 million as at 31 March 2016.

York Hotels (Kandy) Limited

As a result of change in the company's business plan, Land recognised as Property, Plant and Equipment previously has been classified as Investment Property and accounted on "Cost Model" as required by LKAS 40 - Investment Property. The company intends to hold the land for capital appreciation. The above investment property is situated at Halloluwa, Katugastota and the extent of the land is 6 A, 1 R & 36 P. The carrying amount of Investment Property as at 31st March 2018, amounted to Rs. 157.1 Mn.

As per the valuation carried out on 31st March 2016 by Mr. R.S. Wijesuriya, an Independent Incorporated Valuer, fair value of this investment property as at 31st March 2016 is Rs. 237 Mn.

12.2 Company

Investment properties of the Company consists of land amounting to Rs.621.62 million (2017 - Rs.621.62) and building amounting to Rs.181.91 million (2017 - Rs.97.47 million) as at the reporting date. The Company has adopted the cost model to value the investment properties.

Location	Extent Perches	Carrying Value Rs.'000	Fair Value Rs.'000
Fort - Colombo	153	803,539	2,070,000

The properties of the Company were valued by an independent valuer, Mr. P.P.T. Mohideen, Chartered Valuation Surveyor, B.Sc. (Hons) Estate Management & Valuation, Executive Diploma in Business Administration, FIV (Sri Lanka) and MRICS(England) and the fair value of the investment properties as at 31st March, 2016 was Rs.2.07 billion.

The Lease Agreement dated 17th September 1984 between the Company and York Arcade Holdings PLC (YAH) expired on 31st August 2017. As per the Lease Agreement Rs.86,862,268/- was paid to YAH following its Board decision not to renew the Lease.

The rental income earned by the Company from the said properties is disclosed in Note 4 to the Financial Statement.

The Company jointly with York Arcade Holdings PLC has executed a Tertiary Mortgage Bond on the Land at Leyden Bastian Road for Rs.127.5 million favouring Sampath Bank PLC for the facilities granted to the Company. The loan obtained from Sampath Bank PLC has been settled by the Company, and the Mortgage Bond was cancelled on 30th September 2017.

The Company has executed a Primary Mortgage Bond for Rs. 91.8 million and a Secondary Mortgage Bond for Rs. 83.0 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company in connection with the credit facilities granted to E. B. Creasy & Company PLC. These Bonds are in the process of cancellation as the facilities obtained by E. B. Creasy & Company PLC was settled.

The Company has executed a Tertiary Mortgage Bond for Rs.100.0 million and a Quaternary Mortgage Bond for Rs.87.5 million over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 belonging to the Company for the facilities granted to the Company.

As at 31st March,	GROUP	
	2018 Rs.'000	2017 Rs.'000
13. INTANGIBLE ASSETS		
Goodwill on Acquisition (Note13.1)	936,721	826,520
Trade Mark (Note13.2)	2,752	6,860
Computer software (Note13.3)	120,723	150,628
	1,060,195	984,008
13.1 Goodwill		
At the beginning of the Year (Note 13.1.1)	826,520	826,520
Acquisition of Subsidiary	110,201	-
At the end of the Year	936,721	826,520

13.1.1 Goodwill on Acquisition

This represents the excess of the cost of acquisition of the net assets of the following Companies. The carrying amount of goodwill of each company is as follows:

	GROUP	
	2018 Rs.'000	2017 Rs.'000
Lankem Developments PLC	5,503	5,503
Consolidated Tea Plantations Limited	56,465	56,465
Lankem Paints Limited	3,528	3,528
Lankem Chemicals Limited	3,428	3,428
Lankem Tea and Rubber Plantations (Private) Limited	51,766	51,766
Agarapatana Plantations Limited	16,385	16,385
Creasy Foods Limited (Presently Known as Candy Delights Limited)	2,259	2,259
SunAgro LifeScience Limited	125	125
C. W. Mackie PLC	92,778	92,778
Galle Fort Hotel (Private) Limited	267,885	267,885
Ceylon Tapes Limited	14,190	14,190
Lanka Special Steels Limited	21,696	21,696
J.F.Packaging (Private) Limited	263,442	263,442
Sherwood Holidays Limited	27,070	27,070
Kiffs (Private) Limited	85,202	-
Alliance Five (Private) Limited	24,999	-
	936,721	826,520

13.1.2 Impairment of Goodwill

For the purpose of impairment testing, goodwill acquired from business combinations have been allocated to cash generating units (CGU) that is expected to benefit from the synergies of the combination. CGUs to which goodwill has been allocated have been tested for impairment annually, and whenever there is an indication that the unit may be impaired by comparing the carrying amount of the unit including the goodwill, with the recoverable amount of the unit. If the carrying amount of the unit exceeds the recoverable amount of the unit and the goodwill allocated

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to that unit has been regarded as impaired. The impairment loss has been allocated to reduce the carrying amount of any goodwill allocated to the CGU and then to other assets of the unit.

Carrying value of Goodwill as at the reporting date has been tested for impairment and no additional impairment losses were identified as at the reporting date.

Methods used in estimating recoverable amounts are given below;

- (i) Business Growth - Based on historical growth rate & business plan
- (ii) Inflation - Based on current inflation & the percentage of the total cost subjected to the inflation
- (iii) Discount Rate - Average market borrowing rate adjusted for risk premium
- (iv) Margin - Based on current margin & business plan

	GROUP	
	2018 Rs.'000	2017 Rs.'000
13.2 Trade Mark		
Cost		
As at the beginning of the Year	14,150	14,150
Additions during the Year	259	-
As at the end of the Year	14,409	14,150
Amortisation		
As at the beginning of the Year	7,290	2,956
Amortised during the year	4,367	4,334
At the end of the Year	11,657	7,290
Carrying Value	2,752	6,860
13.3 Computer Software		
Cost		
As at the beginning of the Year	198,474	60,563
Additions during the Year	13,498	137,911
As at the end of the Year	211,972	198,474
Amortisation		
As at the beginning of the Year	47,846	27,405
Amortised during the year	43,403	20,441
At the end of the Year	91,249	47,846
Carrying Value	120,723	150,628

Trade Mark

Darley Butler & Company Limited, a subsidiary of the Company has paid an amount of Rs. 1.15 million in the year of 2008/09 to Adamjee Pharma (Private) Limited, to acquire the agency right of Navana Pharmaceutical Limited, which was amortised over the Company's Agency Right Period - 03 Years.

In 2016 Darley Butler & Company Limited has Purchased the agency right of INTAS Pharmaceuticals Limited for Rs. 13 million which is amortised over 03 Years.

Computer Software

Additions during the year relate to Software.

14. INVESTMENTS IN SUBSIDIARIES

As at 31st March,	Group Holding 2018 %	Company Holding 2018 %	No. of Shares 2018	Cost 2018 Rs.'000	Market Value 2018	No. of Shares 2017	Cost 2017 Rs.'000	Market Value 2017 Rs.'000
14.1 Company								
14.1.1 Quoted Investments								
Beruwala Resorts PLC	49.51	0.01	30,000	32	24	30,000	32	30
C M Holdings PLC	65.55	63.49	9,649,850	550,183	712,159	9,649,850	550,183	722,774
E.B. Creasy & Company PLC	59.90	52.99	1,343,610	35,228	1,612,332	1,343,610	35,228	1,945,413
Lankem Ceylon PLC	65.06	44.31	15,000,000	568,126	559,500	7,245,378	254,136	318,797
Marawila Resorts PLC	40.97	0.66	1,510,000	7,173	3,624	1,510,000	7,173	3,171
Muller & Phipps (Ceylon) PLC	30.72	0.02	60,030	91	60	60,030	91	66
York Arcade Holdings PLC	49.99	49.27	369,495	4,963	40,644	5,911,923	7,941	73,899
				1,165,796	2,928,343		854,784	3,064,150
14.1.2 Unquoted Investments								
Agarapatana Plantations Limited	41.09	1.61	3,788,791	7,578	-	-	-	-
C.F. Travels Limited	100.00	100.00	1,500,000	15,000	-	1,500,000	15,000	-
Capital Leasing Company Limited	55.83	55.83	473,000	4,733	-	473,000	4,733	-
Colombo Fort Holdings Limited	100.00	100.00	3,500,000	35,000	-	3,500,000	35,000	-
Colombo Fort Properties Limited	100.00	99.70	1,000	10	-	1,000	10	-
Consolidated Tea Plantations Limited	83.38	52.44	21,500,000	240,500	-	21,500,000	240,500	-
Transways (Private) Limited	100.00	30.00	14,998	150	-	14,998	150	-
				302,971	-		295,393	-
Total Cost				1,468,767			1,150,177	
Less: Provision for Impairment in Value of Investments (Note14.2)				(20,363)			(20,804)	
Carrying Value of Investment in Subsidiaries				1,448,404			1,129,373	

	No. of Shares 2018	Cost 2018 Rs.'000	Market Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Market Value 2017 Rs.'000
14.1.3 Preference Shares						
Transways (Private) Limited	103,110	1,031	-	103,110	1,031	-
Voyages Ceylan (Private) Limited	1,500,000	15,000	-	1,500,000	15,000	-
York Hotel Management Services Limited	650,000	6,500	-	650,000	6,500	-
York Tours Limited	339,965	3,180	-	318,000	3,180	-
Total		25,711	-		25,711	-
Less: Provision for impairment in Value of Investments		(25,711)			(25,711)	
		-	-		-	-

Notes to the Financial Statements contd.

14.2 Provision for Impairment in Value of Investments

	2018 Rs.'000	2017 Rs.'000
Quoted Investments		
Muller & Phipps (Ceylon) PLC	31	25
Beruwala Resorts PLC	8	2
Marawila Resorts PLC*	3,549	4,002
	3,588	4,029
Unquoted Investments		
C.F. Travels Limited	15,000	15,000
Capital Leasing Company Limited	1,615	1,615
Colombo Fort Properties Limited	10	10
Transways (Private) Limited	150	150
	16,775	16,775
	20,363	20,804

*Note: Based on impairment assessment during the year it was determined that conditions relate to previous impairment losses had changed, which resulted in a reversal of previous impairment.

14.3 Group Companies Investment in Subsidiaries

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2018	2017	2018	2017
E. B. Creasy & Company PLC	Lankem Ceylon PLC	32.42%	45.73%	10,974,635	10,974,635
	Laxapana Batteries PLC	51.58%	51.58%	20,114,838	20,114,838
	Darley Butler & Co. Limited	100.00%	100.00%	4,999,964	4,999,964
	Creasy Foods Limited*	100.00%	100.00%	570,000	570,000
	Filmpak Limited	100.00%	100.00%	150,000	150,000
	Group Three Associates Limited	100.00%	100.00%	1,200	1,200
	Island Consumer Suppliers Limited	100.00%	100.00%	120,000	120,000
	Corporate Systems Limited	99.93%	99.93%	10,000	10,000
	E B Creasy logistics Limited	99.99%	99.99%	50,000	50,000
	York Hotel (Kandy) Limited	0.14%	0.18%	19,825	396,493
	Muller & Phipps (Ceylon) PLC	51.26%	51.26%	145,061,773	145,061,773
	Lanka Special Steel Limited	100.00%	100.00%	1,823,074	1,823,074
	Ceyflex Rubber Limited**	100.00%	100.00%	7,100,000	7,100,000
Darley Butler & Company Limited	Lankem Ceylon PLC	1.59%	2.24%	536,614	536,614
	Laxapana Batteries PLC	0.00%	0.01%	6	6
	Agarapatana Plantations Limited	2.37%	0.00%	5,575,908	-
	Marawila Resorts PLC	0.00%	0.01%	188	188
	York Arcade Holdings PLC	0.60%	0.38%	4,500	45,000
Creasy Foods Limited*	Lankem Ceylon PLC	0.07%	0.10%	23,337	23,337
	York Arcade Holdings PLC	0.33%	0.21%	2,500	25,000

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2018	2017	2018	2017
Island Consumer Suppliers (Private) Limited	Consolidated Tea Plantations Limited***	0.01%	0.01%	1	1
	Sigiriya Village Hotels PLC	0.69%	0.69%	62,162	61,762
	Marawila Resorts PLC	0.07%	0.07%	156,000	156,000
	Colombo Fort Hotels Limited	6.91%	6.91%	233,620,000	233,620,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	C M Holdings PLC	0.63%	0.63%	95,640	95,640
	Lankem Ceylon PLC	0.01%	0.01%	536	536
	York Arcade Holdings PLC	0.27%	0.17%	2,000	20,000
	Creasy Plantation Management Limited	41.00%	41.00%	122,993	122,993
Muller & Phipps (Ceylon) PLC	Pettah Pharmacy (Private) Limited	100.00%	100.00%	1,499,500	1,499,500
Pettah Pharmacy (Private) Limited	Colombo Fort Hotels Limited	0.94%	0.94%	31,880,000	31,880,000
	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
Lankem Ceylon PLC	Lankem Developments PLC	2.24%	1.51%	2,687,691	903,680
	Sigiriya Village Hotels PLC	23.15%	23.15%	2,083,760	2,083,760
	Marawila Resorts PLC	7.32%	7.32%	16,700,919	16,700,919
	Colombo Fort Hotels Limited	68.85%	68.85%	2,329,326,024	2,329,326,024
	Consolidated Tea Plantations Limited	47.56%	47.56%	19,500,001	19,500,001
	Lankem Tea and Rubber Plantations (Private) Limited	1.00%	1.00%	8,342	8,342
	Lankem Plantation Services Limited	60.00%	60.00%	179,993	179,993
	Beruwala Resorts PLC	0.00%	0.01%	-	83,965
	Lankem Exports Limited	100.00%	100.00%	9,997	9,997
	Lankem Paints Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Consumer Products Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Chemicals Limited	100.00%	100.00%	1,999,993	1,999,993
	Lankem Research Limited	100.00%	100.00%	250,000	250,000
	SunAgro LifeScience Limited	100.00%	100.00%	200,000	200,000
	SunAgro Farms Limited	100.00%	100.00%	1,199,996	1,199,996
	Associated Farms Limited	100.00%	100.00%	55,398	55,398
	Kotagala Plantations PLC	1.22%	1.54%	918,167	615,841
	C.W. Mackie PLC	55.34%	55.34%	19,916,811	19,916,811
	Lankem Technology Services Limited	100.00%	100.00%	4,999,995	4,999,995
	SunAgro Foods Limited	100.00%	100.00%	4,999,994	4,999,994
	C M Holdings PLC	2.23%	2.23%	338,547	338,547
	Waverly Power (Private) Limited	43.59%	43.59%	3,400,000	3,400,000
	Ceylon Tapes (Private) Limited	0.00%	100.00%	-	820,000
	J.F. Packaging (Private) Limited	100.00%	72.50%	673,151	488,034
	Nature's Link Limited	100.00%	100.00%	5,000,000	5,000,000
	Agrapatana Plantation Limited	0.75%	0.00%	1,760,204	-
J.F. Packaging (Private) Limited	Ceylon Tapes (Private) Limited	100.00%	0.00%	980,000	-
	Kiffs (Private) Limited	100.00%	0.00%	440,001	-
	Alliance Five (Private) Limited	100.00%	0.00%	649,575	-

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Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2018	2017	2018	2017
Consolidated Tea Plantations Limited***	Lankem Tea and Rubber Plantations (Private) Limited	98.98%	98.98%	826,088	826,088
	Kotagala Plantations PLC	48.11%	37.81%	36,187,500	15,125,000
	Lankem Developments PLC	49.80%	56.42%	59,762,295	33,853,318
	Union Commodities (Private) Limited	70.00%	0.00%	5,600,000	-
Lankem Tea and Rubber Plantations (Private) Limited	Colombo Fort Hotels Limited	8.58%	8.58%	290,214,792	290,214,792
	Marawila Resorts PLC	6.05%	6.05%	13,793,468	13,793,468
	Kotagala Plantations PLC	23.93%	30.01%	18,003,937	12,002,625
	KIA Motors (Lanka) Limited	15.00%	15.00%	9,000,000	9,000,000
Lankem Developments PLC	Marawila Resorts PLC	0.14%	0.14%	312,500	312,500
	Kotagala Plantations PLC	0.12%	0.05%	90,000	20,000
	Agarapatana Plantations Limited	61.87%	56.65%	145,394,302	64,294,802
	Waverly Power (Private) Limited	56.41%	56.41%	4,400,000	4,400,000
Colombo Fort Hotels Limited	Beruwala Resorts PLC	65.58%	65.58%	393,497,345	393,497,345
	York Hotels (Kandy) Limited	34.08%	16.41%	4,921,506	1,771,506
	Marawila Resorts PLC	41.06%	41.06%	93,624,955	93,624,955
	Sigiriya Village Hotels PLC	41.16%	41.16%	3,704,274	3,704,274
	Galle Fort Hotel (Private) Limited	100.00%	100.00%	10,384,214	9,855,830
	Lak Kraft (Private) Limited	99.11%	100.00%	222	222
	Sherwood Holidays Limited	100.00%	100.00%	7,791,927	5,700,000
	B.O.T. Hotel Services Limited	31.32%	34.97%	18,008,162	18,008,162
Sigiriya Village Hotels PLC	Marawila Resorts PLC	7.46%	7.46%	17,000,000	17,000,000
	Beruwala Resorts PLC	14.23%	14.23%	85,384,000	85,384,000
	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
	York Hotels (Kandy) Limited	31.16%	41.70%	4,500,000	90,000,000
Marawila Resorts PLC	Beruwala Resorts PLC	0.01%	0.01%	30,000	30,000
	Colombo Fort Hotels Limited	0.64%	0.64%	21,656,460	21,656,460
Beruwala Resorts PLC	B.O.T. Hotel Services (Private) Limited	68.68%	65.03%	39,491,798	33,491,798
York Hotel Management Services Limited	Colombo Fort Hotels Limited	0.02%	0.02%	600,000	600,000
Agarapatana Plantations Limited	Beruwala Resorts PLC	0.97%	1.29%	5,835,973	7,719,505
	Union Commodities (Private) Limited	15.00%	0.00%	1,200,000	-
Kotagala Plantations PLC	Beruwala Resorts PLC	0.00%	0.47%	-	2,835,196
	Agarapatana Plantations Limited	8.51%	17.62%	20,000,000	20,000,000
	York Hotels (Kandy) Limited	31.16%	41.70%	4,500,000	90,000,000
	Union Commodities (Private) Limited	15.00%	100.00%	1,199,999	7,999,999
	Rubber & Allied Products (Colombo) Limited	99.85%	100.00%	5,991	5,991
C.W. Mackie PLC	Ceymac Rubber Company Limited	98.72%	98.72%	3,148,551	3,148,551
	Ceytra (Private) Limited	62.82%	62.82%	1,884,600	1,884,600
	Kelani Valley Canneries Limited	88.23%	88.23%	30,351,222	30,351,222

Investor As at 31st March,	Investee	% Holding		No. of Shares	
		2018	2017	2018	2017
C M Holdings PLC	Colonial Motors (Ceylon) Limited	100.00%	100.00%	16,499,998	16,499,998
	E. B. Creasy & Company PLC	3.94%	3.94%	100,000	100,000
	York Arcade Holdings PLC	0.00%	0.08%	28	10,000
	Union Investments (Private) Limited.	100.00%	100.00%	4,999,999	4,999,999
	Colombo Fort Hotels Limited	11.09%	11.09%	375,358,700	375,358,700
	Marawila Resorts PLC	0.44%	0.44%	1,000,000	1,000,000
	Carplan Limited	100.00%	100.00%	1,376,004	1,376,004
	KIA Motors (Lanka) Limited	70.00%	70.00%	41,999,952	41,999,952
	Lankem Ceylon PLC	0.47%	0.42%	160,000	100,457
	Beruwalla Resorts PLC	0.01%	0.01%	30,000	30,000
	Guardian Asset Management Limited	75.00%	75.00%	1,199,995	1,199,995
	Motor Mart (Ceylon) Limited	99.99%	99.99%	10,000	10,000
KIA Motors (Lanka) Limited	Colombo Fort Hotels Limited	2.96%	2.96%	100,000,000	100,000,000
Union Investments (Private) Limited	E. B. Creasy & Company PLC	6.61%	6.61%	167,700	167,700
	York Arcade Holdings PLC	0.00%	0.10%	35	12,100
	Guardian Asset Management Limited	18.75%	18.75%	300,000	300,000
	Lankem Ceylon PLC	0.04%	0.03%	12,000	7,198
	Lankem Developments PLC	6.79%	6.85%	8,150,000	4,109,883
	C.W. Mackie PLC	2.81%	2.81%	1,010,000	1,010,000
Guardian Asset Management Limited	Guardian Trustees Limited	99.99%	99.99%	59,993	59,993
	Kotagala Plantation PLC	0.01%	0.01%	279	62
	Muller & Phipps (Ceylon) PLC	0.01%	0.01%	500	500
	Laxapana Batteries PLC	0.01%	0.01%	300	300
	York Arcade Holdings PLC	0.01%	0.01%	2	40
	E. B. Creasy & Company PLC	0.01%	0.01%	72	72
	Colombo Investment Trust PLC	0.01%	0.01%	140	140
	Colombo Fort Investments PLC	0.01%	0.01%	81	81
	Lankem Developments PLC	0.01%	0.01%	296	142
	Lankem Ceylon PLC	1.18%	0.01%	400,300	200
	C M Holdings PLC	0.01%	0.01%	185	185
	Marawila Resorts PLC	0.01%	0.01%	640	640
York Arcade Holdings PLC	C M Holdings PLC	0.47%	0.47%	71,707	71,707
C.F Travels Limited	York Tours Limited	100.00%	100.00%	51,200	51,200
	American Lloyd Travels Limited	96.54%	96.54%	1,013,706	1,013,706
	Union Travels Limited	85.99%	85.99%	42,993	42,993
	Voyages Ceylan (Private) Limited	74.43%	74.43%	454,930	454,930
Colombo Fort Holdings Limited	York Hotel Management Services Limited	100.00%	100.00%	60,000	60,000
	Union Group (Private) Limited	87.90%	87.90%	54,500	54,500
	Transways (Private) Limited	70.00%	70.00%	35,000	35,000
Union Group (Private) Limited	Lankem Ceylon PLC	0.01%	0.01%	3,500	2,288

Notes: *Creasy Foods Limited has changed its name to Candy Delights Limited with effect from 06th April 2018.

**Duramedical (Lanka) Limited has changed its name to Ceyflex Rubber Limited with effect from 07th March 2018.

***Lankem Plantation Holdings Limited has changed its name to Consolidated Tea Plantations Limited with effect from 29th June 2017.

Notes to the Financial Statements contd.

14.4 Subsidiary Companies of the Group

The details of significant Subsidiaries in which The Colombo Fort Land & Building PLC held an indirect interest, are set out below:

Indirect Subsidiaries	Effective Holdings (%)	
	2018	2017
Agarapatana Plantations Limited	41.09	38.60
American Lloyd Travels Limited	96.54	96.54
Associated Farms Limited	65.05	59.27
B.O.T. Hotel Services (Private) Limited	54.56	51.78
C.W. Mackie PLC	37.84	34.64
Ceylon Tapes Limited	65.06	59.27
Ceymac Rubber Company Limited	37.36	34.64
Ceytra (Private) Limited	23.77	34.64
Corporate Systems Limited	59.85	59.84
Creasy Foods Limited	59.90	59.88
Creasy Plantation Management Limited	24.55	24.55
Darley Butler & Company Limited	59.90	59.88
E.B. Creasy Logistics Limited	59.90	59.88
Filmpack Limited	59.90	59.88
Group Three Associates (Private) Limited	59.90	59.88
Guardian Trustees Limited	61.44	61.32
Island Consumer Supplies (Private) Limited	59.90	59.88
J.F. Packaging (Private) Limited	65.06	42.97
Kelani Valley Canneries Limited	33.39	30.08
Kotagala Plantations PLC	60.86	55.53
Lanka Special Steels (Lanka) Limited	59.90	59.88
Lankem Agrochemicals Limited	65.06	59.27
Lankem Chemicals Limited	65.06	59.27
Lankem Consumer Products Limited	65.06	59.27
Lankem Developments PLC	47.43	50.87
Lankem Exports (Private) Limited	65.04	59.25
Lankem Paints Limited	65.06	59.27
Lankem Plantation Services Limited	39.03	35.56
Lankem Research Limited	65.06	59.27
Lankem Tea & Rubber Plantations (Private) Limited	83.18	80.40
Laxapana Batteries PLC	30.89	30.88
SunAgro Farms Limited	65.06	59.27
SunAgro LifeScience Limited	65.06	59.27
Union Group (Private) Limited	87.90	87.90
Union Travels Limited	85.99	85.99
Voyages Ceylan (Private) Limited	74.43	74.43
York Hotel Management Services Limited	100.00	100.00
York Hotels (Kandy) Limited	54.65	49.76
York Tours Limited	100.00	100.00

15. INVESTMENT IN EQUITY ACCOUNTED INVESTEEES

As at 31st March,	Holding % 2018	No. of Shares 2018	Balance as at 2018 Rs.'000	Market Value 2018 Rs.'000	Holding % 2017	No. of Shares 2017	Balance as at 2017 Rs.'000	Market Value 2017 Rs.'000
15.1 Investments in Associates GROUP								
Quoted Investments								
Colombo Fort Investments PLC	15.97	1,054,726	129,295	68,241	15.97	1,038,117	132,059	68,516
Colombo Investment Trust PLC	11.51	758,283	101,943	60,663	11.52	748,668	106,173	59,893
			231,238	128,904			238,233	128,409
Unquoted Investments								
Capital Investments Limited	46.67	3,499,930	215,158		46.67	3,499,930	229,612	
Unrealised profit on disposal of shares to equity accounted investee			(3,609)				(3,609)	
Balance as at 1st April			442,787				464,236	
Statement of profit or loss			6,729				4,794	
Other Comprehensive Income			6,641				(21,999)	
Share of Results of Equity Accounted Investees (Net of Tax) for the Year			13,370				(17,205)	
Dividend Paid during the Year			(4,244)				(4,244)	
Unrealised profit on disposal of shares to equity accounted investee			-				-	
Carrying Value of Investments in Equity Accounted Investees			451,912				442,787	

a. Market value of quoted investments as at 31st March, 2018 was Rs.129 million (Rs.128 million- 31st March, 2017) for the Group and Company. The Director's valuation of unquoted associate investment amounted to Rs 215 million as at 31st March, 2018 (Rs.230 million - 31st March, 2017) for the Group and Company as well.

b. Summarised Financial Information of Equity Accounted Investees

As at 31st March,	GROUP	
	2018 Rs.'000	2017 Rs.'000
Assets & Liabilities		
Total Assets	2,825,806	2,769,375
Total Liabilities	(104,473)	(72,922)
Net Assets	2,721,333	2,696,453
For the year ended 31st March,	GROUP	
	2018 Rs.'000	2017 Rs.'000
Revenue and Profit		
Total Revenue	49,895	67,765
Total Profit After Tax	45,746	58,444
Other comprehensive Income	(16,402)	(83,553)

Notes to the Financial Statements contd.

c. The Colombo Fort Land and Building PLC has neither contingent liabilities nor capital commitments in respect of its associates.

As at 31st March,	Holding % 2018	No. of Shares 2018	Cost As at 2018 Rs.'000	Market Value As at 2018 Rs.'000	No. of Shares 2017	Cost As at 2017 Rs.'000	Market Value As at 2017 Rs.'000
COMPANY							
Quoted Investments							
Colombo Fort Investments PLC	15.97	1,054,726	34,051	68,241	1,038,117	32,806	68,516
Colombo Investment Trust PLC	11.51	758,283	22,125	60,663	748,668	21,279	59,893
			56,176	128,904		54,085	128,409
Unquoted Investments.							
Capital Investments Limited	46.67	3,499,930	35,349	-	3,499,930	35,349	-
			35,349			35,349	-
Investments in Equity Accounted Investees			91,525			89,434	

15.2 Investment in Joint Venture (SQL)

Sunquick Lanka (Private) Limited

C.W. Mackie PLC has 49% interest in Sunquick Lanka (Private) Limited (SQL), a joint venture formed for the purpose of manufacturing processing and marketing Co-Ro's Products in the form of concentrates and ready to drink (RTD) products marketed under "Sunquick" brand. The factory premises is located at Horana.

The Group's interest in Sunquick Lanka (Private) Limited is accounted using the equity method in the Consolidated Financial Statements. Summarised financial information of the joint venture and reconciliation with the carrying amount of the investment in the Financial Statements are set out below

As at	SQL 31.03.2018 Rs.'000
Summary of the Statement of Financial Position	
Non-Current Assets	240,747
Current Assets	888,751
Non-Current Liabilities	4,669
Current Liabilities	538,823
Equity	586,007
Group's carrying amount of the investment	287,143
Summary of the Statement of Profit or Loss	
Revenue	1,041,722
Operating Expenses	(136,991)
Finance Income	1,967
Finance Cost	(10,065)
Loss for the year	(42,238)
Group's share of loss for the year	(20,697)
Equity Reconciliation	
Carrying Value as at 1st April 2017	-
Investment made during the year	307,840
Share of loss	(20,697)
Carrying Value as at 31st March 2018	287,143

16. OTHER FINANCIAL ASSETS - NON CURRENT

As at 31st March,	Notes	GROUP		Notes	COMPANY	
		Carrying Value 2018 Rs.'000	Carrying Value 2017 Rs.'000		Carrying Value 2018 Rs.'000	Carrying Value 2017 Rs.'000
Quoted Investments - Available-for-Sale	16.1.1	170,160	174,934	16.2.1	1,536	1,662
Unquoted Investments - Available-for-Sale	16.1.2	276,231	276,287	-	-	-
Unit Trusts - Available-for-Sale	16.1.3	167,482	169,161	-	-	-
		613,873	620,382		1,536	1,662
Less : Provision for Impairment in Value of Investment *		(10,245)	(5,400)	-	-	-
		603,628	614,981		1,536	1,662

* Note: Impairment relates to investment in Dutch Dairy international (Private) limited, Far Eastern Exports Limited and Sri Lanka Institute of Nanotechnology (Private) Limited.

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
16.1 Group						
16.1.1 Quoted Investments						
Banks, Finance & Insurance						
Amana Takaful PLC	4,024	9	3	4,024	9	3
Arpico Finance Company PLC	333	11	48	333	11	55
Asia Capital PLC	100	-	1	100	-	1
Asian Alliance Insurance PLC	1,000	1	23	1,000	1	20
Central Finance Company PLC	10	-	1	46,515	7,964	8,285
Ceylinco Insurance PLC	22	-	40	22	-	35
Commercial Bank of Ceylon PLC-Voting	300	14	41	234	6	31
DFCC Bank PLC	16,716	431	1,953	16,716	431	1,905
First Capital Holdings PLC	3,600	11	114	3,600	11	72
Hatton National Bank PLC-Voting	10	-	2	9	-	2
HNB Assurance PLC	200	3	17	200	3	12
Housing Development Finance						
Corporation Bank of Sri Lanka	100	4	3	100	4	4
Janashakthi Insurance Company PLC	1,800	22	48	4,500	56	68
Lanka ORIX Leasing Company PLC	800	1	94	800	1	49
Lanka Ventures PLC	100	1	5	100	1	4
LB Finance PLC	1,156	3	137	1,156	3	137
Merchant Bank of Sri Lanka & Finance PLC	67	1	1	67	1	1
Nation Lanka Finance PLC	625	5	1	625	5	1
National Development Bank PLC	6,001	540	798	5,590	539	810
Nations Trust Bank PLC	12,180	301	1,003	12,114	296	898
Pan Asia Banking Corporation PLC	3,000	24	49	3,000	24	46
People's Leasing & Finance PLC	10,000	180	158	10,000	180	156
People's Merchant Finance PLC	270	4	3	270	4	4
Sampath Bank PLC	228	17	68	196	9	51
Seylan Bank PLC-Non-Voting	140	4	12	136	4	7
Seylan Bank PLC-Voting	6	-	1	6	-	1
SMB Leasing PLC	3,610	3	2	3,610	3	2
The Finance Company PLC	120	8	-	120	8	-
Union Bank of Colombo PLC	100	3	1	100	3	1
Vanik Incorporation PLC-Non-Voting	10	-	-	10	-	-
Vanik Incorporation PLC-Voting	100	-	-	100	-	-
Total		1,601	4,628		9,577	12,658
Beverages, Food & Tobacco						
Bairaha Farms PLC	100	1	13	100	1	16
Cargills (Ceylon) PLC	343	9	67	300	9	56
Ceylon Beverage Holdings PLC	276	6	174	276	6	158
Ceylon Cold Stores PLC	64	1	61	64	1	52
Ceylon Tea Services PLC	80	3	44	80	3	48
Ceylon Tobacco Company PLC	7	-	7	7	-	6
Convenience Foods (Lanka) PLC	90	1	39	90	1	28
Distilleries Company of Sri Lanka PLC	118	1	28	400	1	24
Keells Food Products PLC	219	11	28	219	11	32
Lanka Milk Foods (CWE) PLC	133	3	21	133	3	16
Nestle Lanka PLC	40	4	70	40	4	84
Renuka Foods PLC -Voting	20	-	-	20	-	-
Tea Smallholder Factories PLC	142	3	5	142	3	3
Three Acre Farms PLC	19	-	2	19	-	2
Total		43	560		43	525

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2018	2018 Rs.'000	2018 Rs.'000	2017	2017 Rs.'000	2017 Rs.'000
Chemicals and Pharmaceuticals						
CIC Holdings PLC - Voting	4,239	29	250	4,239	29	339
Chemanex PLC	35,194	2	2,235	35,194	2	1,936
Haycarb PLC	27	1	3	27	1	4
Industrial Asphalts (Ceylon) PLC	10	1	3	10	1	3
J.L. Morison Sons & Jones Ceylon PLC-Non-Voting	60	17	31	60	17	20
J.L. Morison Sons & Jones Ceylon PLC-Voting	200	4	124	200	4	68
Standard Capital PLC	400	17	22	400	17	24
Total		71	2,668		71	2,394
Construction & Engineering						
Access Engineering PLC	74,700	1,500	1,531	474,700	8,000	11,298
Colombo Dockyard PLC	284	2	1	284	2	1
Total		1,502	1,532		8,002	11,299
Diversified Holdings						
Aitken Spence PLC	555	10	28	555	10	31
Browns Investments PLC	6,000	19	16	6,000	19	8
Carson Cumberbatch PLC	191	10	32	191	10	31
CT Holdings PLC	223	7	39	203	7	30
Dunamis Capital PLC	206	2	5	206	2	4
Hayleys PLC	1,300	59	2	1,300	59	2
Hemas Holdings PLC	156,049	7,684	19,491	156,049	7,684	16,962
John Keells Holdings PLC	192	11	31	192	11	26
Richard Peiris & Company PLC	3,705	2	47	3,705	2	31
The Colombo Fort Land & Building PLC	5,089,930	9,173	97,727	5,089,930	9,173	92,128
Meistacorp PLC	400	1	23			
Total		16,978	117,441		16,977	109,255
Footwear & Textile						
Ceylon Leather Products PLC	-	-	-	200	2	11
Hayleys MGT Knitting Mills PLC	409	7	5	409	7	6
Odel PLC	100	1	3	100	1	3
Total		8	8		10	19
Healthcare						
Asiri Hospital Holdings PLC	2,660	6	73	2,660	6	69
Asiri Surgical Hospital PLC	1,499	4	15	1,499	4	14
Ceylon Hospitals PLC (Durdans) - Voting	130	3	10	130	3	10
Ceylon Hospitals PLC (Durdans) - non Voting	130	2	9	130	2	9
Nawaloka Hospitals PLC	26,666	20	123	26,666	20	125
The Lanka Hospital Corporation PLC	100	2	6	100	2	6
Total		37	237		37	233

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2018	2018 Rs.'000	2018 Rs.'000	2017	2017 Rs.'000	2017 Rs.'000
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	140	2	5	140	2	5
Amaya Leisure PLC	267	2	14	267	2	17
Asian Hotels & Properties PLC	200	1	10	200	1	11
Browns Beach Hotels PLC	150	-	2	150	-	3
Ceylon Hotels Corporation PLC	534	2	8	510	2	10
Dolphin Hotels PLC	125	1	3	125	1	4
Eden Hotel Lanka PLC	200	2	3	200	2	2
Galadari Hotels (Lanka) PLC	100	-	1	100	-	1
Hotel Developers (Lanka) PLC	4	-	-	4	-	-
Hotel Sigiriya PLC	14,000	65	-	14,000	65	-
Hunas Falls Hotels PLC	450	19	29	450	19	21
John Keells Hotels PLC	1,506	5	14	1,506	5	15
Mahaweli Reach Hotels PLC	100	1	2	100	1	2
Miramar Beach Hotel PLC	100	1	6	100	1	6
Palm Garden Hotels PLC	56	3	1	56	3	1
Pegasus Hotels of Ceylon PLC	1,093	37	31	1,093	37	35
Renuka City Hotel PLC	600	148	161	600	148	176
Royal Palms Beach Hotels PLC	475	12	9	475	12	10
Tal Lanka Hotels PLC	100	-	2	100	-	2
The Kingsbury PLC	687	3	12	687	3	11
The Fortress Resorts PLC	500	5	5	500	5	6
The Lighthouse Hotel PLC	100	1	4	100	1	5
The Nuwara Eliya Hotels Company PLC	12	4	16	11	4	16
Trans Asia Hotels PLC	400	1	-	400	1	-
Total		315	339		315	360
Information Technology						
E - Channelling PLC	1,162	2	7	1,162	2	7
PC House PLC	1,000	11	0	1,000	11	0
Total		13	7		13	7
Investment Trust						
Ascot Holdings PLC	-	-	-	97	1	2
Ceylon Guardian Investment Trust PLC	174	2	14	174	2	16
Ceylon Investment PLC	463	3	20	463	3	19
Colombo Fort Investments PLC	81	2	5	81	2	5
Colombo Investment Trust PLC	140	2	11	140	2	11
Renuka Holdings PLC- Voting	164	1	3	164	1	2
Renuka Holdings PLC- Non Voting	1,180	17	19	1,180	17	24
Lanka Century Investment PLC	1,002	2	11	-	-	-
Total		29	84		28	79

As at 31st March,	GROUP					
	No. of Shares	Cost	Carrying Value	No. of Shares	Cost	Carrying Value
	2018	2018 Rs.'000	2018 Rs.'000	2017	2017 Rs.'000	2017 Rs.'000
Land & Property						
C.T. Land Development PLC	167	1	5	100	1	4
City Housing & Real Estate Co. PLC	180	1	1	180	1	1
Colombo Land & Development Company PLC	1,400	2	26	1,400	2	35
Commercial Development PLC	600	6	43	600	6	40
East West Properties PLC	1,200	6	23	1,200	6	17
Equity Two PLC	100	1	7	100	1	6
Kelsey Developments PLC	337	4	11	337	4	17
On'ally Holdings PLC	31	-	2	31	-	1
Overseas Realty (Ceylon) PLC	300	2	5	300	2	6
Serendib Land PLC	30	2	44	30	2	49
Seylan Developments PLC	204	1	3	204	1	3
Touchwood Investments PLC	2,400	1	6	2,400	1	6
RIL Properties PLC	5,000	40	37	-	-	-
Total		67	214		27	186
Manufacturing						
Abans Electricals PLC	240	12	20	240	12	21
ACL Cables PLC	576	2	24	576	2	31
ACL Plastics PLC	100	3	11	100	3	18
ACME Printing and Packaging PLC	567,307	3,456	3,347	10,300	257	50
Alufab PLC	90	3	2	90	3	3
Bogala Graphite Lanka PLC	200	1	3	200	1	2
Ceylon Grain Elevators PLC	10	-	1	10	-	1
Chevron Lubrications Lanka PLC	12,400	180	1,296	12,400	180	2,108
Dankotuwa Porcelain PLC	166	3	1	166	3	1
Dipped Products PLC	86	2	7	86	2	7
Hayleys Fibre PLC	105	2	7	105	2	6
Kelani Tyres PLC	360	2	18	360	2	20
Lanka Aluminium Industries PLC	10	-	1	10	-	1
Lanka Cement PLC	100	-	0	100	-	0
Lanka Ceramic PLC	7	-	1	31	1	4
Lanka Tiles PLC	52	1	5	52	1	5
Lanka Walltiles PLC	33	4	3	-	-	-
Pelwatte Sugar Industries PLC	100	-	-	100	-	-
Piramal Glass Ceylon PLC	3,428	6	20	3,428	6	19
Regnis (Lanka) PLC	30	1	3	30	1	4
Richard Peiris Exports PLC	92	3	15	92	3	19
Royal Ceramics Lanka PLC	10,896	114	1,149	10,896	114	1,297
Samson International PLC	50	1	4	50	1	5
Sierra Cables PLC	2,600	8	6	2,600	8	8
Singer Industries (Ceylon) PLC	33	1	5	33	1	4
Swisstek (Ceylon) PLC	100	-	6	100	-	7
Tokyo Cement Company (Lanka) PLC-Voting	655,235	30,000	35,383	546,030	29,970	33,308
Total		33,805	41,338		30,573	36,948

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
Motors						
Diesel & Motor Engineering PLC	6	-	3	6	-	3
Lanka Ashok Leyland PLC	90	1	89	90	1	96
Sathosa Motors PLC	66	2	29	66	2	20
The Autodrome PLC	100	2	9	100	2	7
Total		5	129		5	126
Oil Palms						
Bukit Darah PLC	10	3	2	10	3	3
Indo Malay PLC	5	1	7	5	1	7
Selinsing PLC	36	9	22	36	9	52
Total		13	31		13	62
Plantations						
Agalawatte Plantations PLC	100	1	2	100	1	2
Balangoda Plantations PLC	310	4	7	310	4	3
Bogawantalawa Tea Estates PLC	46	-	1	46	-	0
Hapugastenne Plantations PLC	300	5	8	300	5	6
Horana Plantations PLC	120	2	3	120	2	3
Kahawatte Plantations PLC	531	77	20	531	77	20
Kegalle Plantations PLC	200	1	14	200	1	10
Kelani Valley Plantations PLC	200	1	16	200	1	16
Madulsima Plantations PLC	200	2	2	200	2	2
Malwatte Valley Plantations PLC	2,000	2	18	1,100	2	6
Maskeliya Plantations PLC	2,300	42	44	2,300	42	18
Metropolitan Resource Holdings PLC	-	-	-	22	1	1
Namunukula Plantations PLC	1,200	22	106	1,200	22	88
Talawakelle Tea Estates PLC	700	15	38	700	15	22
Udapussellawa Plantations PLC	200	4	8	200	4	4
Watawala Plantations PLC	11,167	43	294	12,000	43	292
Hatton Plantation PLC	11,000	52	94	-	-	-
Total		273	674		222	494
Power and Energy						
Lanka IOC PLC	800	22	24	800	22	23
Panasian Power PLC	1,000	3	3	1,000	3	3
Resus Energy PLC	1,000	19	20	1,000	19	19
Vallibel Power Erathna PLC	3,000	8	22	3,000	8	21
Vidullanka PLC	2,042	2	10	1,856	2	10
Total		54	78		54	76
Service						
John Keells PLC	336	2	20	336	2	17
Paragon Ceylon PLC	100	1	6	100	1	7
Total		3	26		3	24

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs. '000	Market Value 2018 Rs. '000	No. of Shares 2017	Cost 2017 Rs. '000	Market Value 2017 Rs. '000
Stores and Suppliers						
Gestetner of Ceylon PLC	754	16	89	754	16	89
Hunters & Company PLC	24	1	12	24	1	10
Total		17	101		17	99
Telecommunications						
Dialog Axiata PLC	100	2	1	100	2	1
Sri Lanka Telecom PLC	200	3	5	200	3	7
Total		5	7		5	8
Trading						
Brown & Company PLC	100	3	7	100	3	7
Ceylon & Foreign Traders PLC	10,000	5	47	10,000	5	46
Singer Sri Lanka PLC	90	3	4	196	5	27
Tess Agro PLC	2,053	2	2	2,053	2	2
Total		13	60		15	82
Total Quoted Investments		54,852	170,160		66,007	174,934

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
16.1.2 Unquoted Investments						
Asia Pacific Golf Courses Limited	2,500	250	250	2,500	250	250
Ceylon Biscuits Limited	5,041,680	30	251,328	5,041,680	30	251,328
Dacreel Ceylon Limited	1	-	-	1	-	-
Dutch Dairy International Limited	125,000	5,400	5,400	125,000	5,400	5,400
Far Eastern Exports Limited	160,500	1,670	1,757	160,500	1,670	1,757
Fortland Finance Limited	31,500	318	-	31,500	318	-
International Manufacturers Company Limited	3,300	23	23	3,300	23	23
Srilanka Institute of Nanotechnology (Private) limited	3,814,182	50,000	17,463	3,814,182	50,000	17,463
Union Construction Engineering Limited	-	-	-	5,500	55	55
York Conventions (Private) Limited	1	10	10	1	10	10
Total		57,701	276,231		57,756	276,287
16.1.3 Unit Trusts						
Ceybank Unit Trust	13,580,829	138,708	162,708	13,580,829	138,708	152,171
Comtrust Equity Fund	94,856	1,835	1,844	94,856	1,835	1,897
National Equity Fund	-	-	-	378,908	1,709	12,428
Pyramid Unit Trust	87,321	2,447	2,930	75,558	2,447	2,665
Total		142,990	167,482		144,699	169,161

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

Notes to the Financial Statements contd.

As at 31st March,	COMPANY					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
16.2 Company						
16.2.1 Quoted Investments						
Banks, Finance & Insurance						
People's Leasing Company PLC	10,000	180	158	10,000	180	156
The Finance Company PLC	100	9	-	100	9	1
Total		189	158		189	157
Beverages, Food & Tobacco						
Ceylon Beverage PLC	226	1	142	226	1	135
Total		1	142		1	135
Manufacturing						
Royal Ceramic Lanka PLC	10,890	114	1,148	10,890	114	1,296
Total		114	1,148		114	1,296
Plantations						
Namunukula Plantations PLC	1,000	15	88	1,000	15	74
Total		15	88		15	74
Total		319	1,536		319	1,662

Sector classification and market value per share are based on the official valuation list published by the Colombo Stock Exchange.

16.3 Other Financial Assets -Current

As at 31st March,	Notes	GROUP		COMPANY	
		Carrying 2018 Rs.'000	Carrying 2017 Rs.'000	Carrying 2018 Rs.'000	Carrying 2017 Rs.'000
Financial assets classified as Held for Trading					
Quoted Investments - Held -for- trading	16.3.1	739,295	751,326	-	-
Unit Trusts - Held -for- trading	16.3.3	8,346	8,275	-	-
		747,641	759,601	-	-

The movement of the financial assets at fair value through profit or loss is as follows;

	GROUP	
	Carrying 2018 Rs.'000	Carrying 2017 Rs.'000
Investment in Unit Trust	8,275	8,018
Equity Investments	751,326	719,827
	759,602	727,844
Additions		
Investment in Unit Trust	44	322
Equity Investments	40,639	25,999
	40,683	26,321
Disposals		
Equity Investments	(92,852)	(9,808)
	(92,852)	(9,808)
Market Fair Value Changes		
Investment in Unit Trust	26	(63)
Equity Investments	40,182	15,308
	40,208	15,245
At the end of the year		
Investment in Unit Trust	8,346	8,275
Equity Investments	739,295	751,326
	747,641	759,601

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
16.3 Group						
16.3.1 Quoted Investments						
Banks, Finance & Insurance						
Alliance Finance Company PLC	80,000	353	5,255	80,000	353	4,400
Amana Takaful PLC	750,000	858	524	750,000	858	600
Asian Alliance Insurance PLC	100,000	284	2,259	100,000	284	1,950
Capital Alliance Finance PLC	-	-	-	3,479,939	123,600	34,799
Central Finance Company PLC	38,440	710	3,840	38,440	710	3,314
Commercial Bank of Ceylon PLC-Non-Voting	110,000	3,707	11,440	98,327	2,611	10,138
Commercial Bank of Ceylon PLC-Voting	976,770	30,323	132,645	873,561	18,615	113,921
Hatton National Bank PLC- Non-Voting	55,511	2,071	10,347	51,330	1,268	9,496
Hatton National Bank PLC-Voting	299,498	12,715	73,377	253,262	2,977	56,999
HNB Assurance PLC	100,000	1,308	8,400	100,000	1,308	5,810
Housing Development Finance						
Corporation Bank of Sri Lanka	105,802	7,478	12,358	105,802	7,478	12,061
Lanka ORIX Finance PLC	79,400	544	310	79,400	544	175
Lanka ORIX Leasing Company PLC	394,000	939	46,492	394,000	939	24,034
Lanka Ventures PLC	339,700	11,404	16,441	339,700	11,404	14,407
Merchant Bank of Sri Lanka & Finance PLC	124,879	8,170	1,623	124,879	8,170	1,349
Nation Lanka Finance PLC	11,250	68	11	11,250	68	11
National Development Bank PLC	20,900	828	2,782	20,197	709	2,820
Nations Trust Bank PLC	158,643	4,078	12,803	154,625	3,955	11,442
Pan Asia Banking Corporation PLC	467,100	4,661	7,660	467,100	4,661	7,193
People's Merchant Finance PLC	1,500	27	17	1,500	27	21
Sampath Bank PLC	89,803	7,483	26,941	76,526	4,157	19,820
Seylan Bank PLC-Non-Voting	276,991	4,410	15,262	267,709	4,172	14,644
Union Bank of Colombo PLC	384,100	7,685	4,916	384,100	7,685	5,454
Total		110,103	395,704		206,551	354,858
Beverages, Food & Tobacco						
Cargills (Ceylon) PLC	146,057	4,386	28,467	127,800	4,386	23,988
Ceylon Cold Stores PLC	9,320	177	8,854	9,320	177	7,559
Ceylon Tea Services PLC	1,428	86	792	1,428	86	857
Ceylon Tobacco Company PLC	3,500	140	3,640	3,500	140	3,048
Keells Food Products PLC	-	174	464	3,570	174	518
Lanka Milk Foods (CWE) PLC	133	4	21	133	4	16
Nestle Lanka PLC	4,700	404	8,220	4,700	404	9,820
Renuka Agri Foods PLC	91,560	307	211	91,560	307	256
Renuka Foods PLC -Voting	223,770	295	3,625	223,770	295	4,028
Renuka Foods PLC -Non Voting	1,914	24	24	1,914	24	32
Three Acre Farms PLC	25,000	216	2,800	25,000	216	3,208
Total		6,213	57,118		6,213	53,328

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
Chemicals and Pharmaceuticals						
Chemanex PLC	17,700	1,558	1,124	17,700	1,558	974
Haycarb PLC	345	10	41	345	10	52
Union Chemicals Lanka PLC	-	-	-	100	1	55
Total		1,568	1,165		1,569	1,081
Construction & Engineering						
Colombo Dockyard PLC	16,380	927	1,360	16,380	927	1,245
MTD Walkers PLC	68,845	4,000	1,411	87,960	4,000	3,079
Total		4,927	2,771		4,927	4,324
Diversified Holdings						
Browns Investments PLC	706,000	1,933	1,906	706,000	1,933	988
Carson Cumberbatch PLC	664	81	112	664	81	108
Dunamis Capital PLC	60,875	419	1,400	60,875	419	1,248
Hayleys PLC	100,016	2,372	20,073	100,016	2,372	26,504
Hemas Holdings PLC	20,888	367	2,609	20,888	367	2,271
John Keells Holdings PLC	69,137	5,686	11,034	69,137	5,686	9,534
Richard Peiris & Company PLC	4,740	11	61	4,740	11	39
Sunshine Holdings PLC	707	23	40	700	23	32
Vallibel One PLC	104,000	2,600	2,350	104,000	2,600	1,820
Total		13,493	39,585		13,492	42,545
Footwear & Textile						
Hayleys MGT Knitting Mills PLC	8,590	194	107	8,590	194	117
Odel PLC	1,500	23	39	1,500	23	38
Total		217	146		217	154
Healthcare						
Asiri Hospital Holdings PLC	353,000	895	9,708	353,000	895	9,107
Asiri Surgical Hospital PLC	112,500	277	1,148	112,500	277	1,035
Ceylon Hospitals PLC (Durdans)-Voting	13,330	301	1,056	13,330	301	1,200
The Lanka Hospital Corporation PLC	33,000	489	1,980	33,000	489	2,030
Total		1,962	13,891		1,962	13,372

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
Hotel & Travel						
Aitken Spence Hotel Holdings PLC	100,625	1,856	3,371	100,625	1,856	3,542
Amaya Leisure PLC	64,798	2,223	3,421	64,798	2,223	4,134
Asian Hotels & Properties PLC	72,000	989	3,614	72,000	989	3,996
Ceylon Hotels Corporation PLC	10,478	254	157	10,000	254	192
Citrus Leisure PLC	168,714	4,029	1,265	168,714	4,029	1,181
Dolphin Hotels PLC	20,000	275	520	20,000	275	630
Eden Hotel Lanka PLC	350,000	7,006	5,320	350,000	7,006	3,815
Galadari Hotels (Lanka) PLC	7,000	60	60	7,000	60	64
Hikkaduwa Beach Resort PLC	33,742	675	243	33,742	675	445
John Keells Hotels PLC	530,416	8,907	4,933	530,416	8,907	5,304
Palm Garden Hotels PLC	15,164	711	356	15,164	711	365
Pegasus Hotels of Ceylon PLC	22,666	499	635	22,666	499	737
Renuka City Hotel PLC	12,740	897	3,410	12,740	897	3,752
Royal Palms Beach Hotels PLC	15,700	629	283	15,700	629	344
Serendib Hotels PLC-Non-Voting	31,250	296	469	31,250	296	722
Tal Lanka Hotels PLC	19,500	182	330	19,500	182	410
Tangerine Beach Hotels PLC	11,400	348	516	11,400	348	678
The Fortress Resorts PLC	50	1	1	50	1	1
The Lighthouse Hotel PLC	114,800	1,948	4,569	114,800	1,948	5,625
Total		31,785	33,473		31,785	35,937
Investment Trust						
Ceylon Guardian Investment Trust PLC	151,420	1,517	12,416	151,420	1,517	13,643
Ceylon Investment PLC	595,848	2,862	25,621	595,848	2,862	23,834
Guardian Capital Partners PLC	113,000	8,253	3,153	113,000	8,253	3,108
Renuka Holdings PLC-Voting	1,147,000	5,852	2,638	3,370,000	5,852	3,211
Total		18,484	43,829		18,484	43,795

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
Land & Property						
C.T. Land Development PLC	3,333	14	104	2,000	14	88
Colombo Land & Development Company PLC	522,460	4,783	9,822	522,460	4,783	12,905
East West Properties PLC	48,000	338	922	48,000	338	677
Equity Two PLC	25,200	217	1,807	25,200	217	1,504
Property Development PLC	8,000	133	720	8,000	133	660
Serendib Engineering Group PLC	1,576,951	55,283	12,458	3,897,859	55,283	22,997
Touchwood Investments PLC	600,000	10,602	-	600,000	10,602	-
Total		71,370	25,833		71,370	38,831
Manufacturing						
ACL Cables PLC	72,000	1,485	2,952	72,000	1,485	3,924
ACME Printing and Packaging PLC	397,881	2,300	2,347	-	-	-
Bogala Graphite Lanka PLC	11,200	37	155	11,200	37	127
Ceylon Grain Elevators PLC	30,000	302	2,145	30,000	302	2,067
Chevron Lubrications Lanka PLC	20,000	387	2,090	20,000	387	3,400
Dankotuwa Porcelain PLC	52,500	414	362	52,500	414	315
Dipped Products PLC	35,024	1,562	2,995	35,024	1,562	2,662
Hayleys Fibre PLC	489	21	35	489	21	29
Kelani Cables PLC	400	7	37	400	7	47
Kelani Tyres PLC	160	1	8	160	1	9
Lanka Cement PLC	5,000	39	19	5,000	39	24
Lanka Tiles PLC	25,000	630	2,493	25,000	630	2,550
Lanka Walltiles PLC	100,000	3,947	9,840	100,000	3,947	9,300
Orient Garments PLC	610,320	13,193	4,272	610,320	13,193	4,272
Pelwatte Sugar Industries PLC	5,000	96	-	-	-	-
Piramal Glass Ceylon PLC	250,000	1,400	1,450	250,000	1,400	1,400
Regnis (Lanka) PLC	137,853	2,464	13,813	137,853	2,465	18,596
Richard Peiris Exports PLC	40,600	1,066	6,825	40,600	1,066	8,485
Sierra Cables PLC	824,000	1,515	1,813	824,000	1,515	2,472
Singer Industries (Ceylon) PLC	31,800	844	4,646	31,800	844	4,051
Textured Jersey Lanka PLC	10,000	150	319	10,000	150	370
Tokyo Cement Company (Lanka) PLC-Non-Voting	150,776	7,890	7,633	474,540	7,885	25,150
Tokyo Cement Company (Lanka) PLC-Voting	593,770	19,418	28,500	387,081	19,422	23,612
Total		59,168	94,749		56,772	112,862

Notes to the Financial Statements contd.

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
Motors						
United Motors Lanka PLC	34,881	334	2,651	34,881	334	2,721
Total		334	2,651		334	2,721
Oil Palms						
Bukit Darah PLC	548	121	113	548	121	143
Total		121	113		121	143
Plantations						
Maskeliya Plantations PLC	8,000	145	154	-	-	-
Watawala Plantations PLC	360,000	438	10,404	432,000	526	10,541
Hatton Plantations PLC	432,000	-	3,374	-	-	-
Total		583	13,932		526	10,541
Power and Energy						
Lanka IOC PLC	174,600	5,418	5,255	174,600	5,418	5,063
Panasian Power PLC	29,200	88	79	29,200	88	88
Resus Energy PLC	110,000	2,098	2,189	110,000	2,098	2,090
Vallibel Power Erathna PLC	39,017	86	285	39,017	86	277
Vidullanka PLC	652,053	1,030	3,065	592,775	1,030	3,082
Total		8,720	10,873		8,719	10,600
Service						
John Keells PLC	20,000	383	1,182	20,000	383	1,022
Total		383	1,182		383	1,022
Telecommunications						
Dialog Axiata PLC	15,000	224	207	15,000	224	170
Total		224	207		224	170
Trading						
Browns & Company PLC	28,900	2,745	1,994	28,900	2,745	2,052
Singer Sri Lanka PLC	2,000	3	80	164,338	679	22,991
Total		2,748	2,074		3,424	25,043
Total Financial Assets Classified as Held for Trading		328,403	739,295		423,074	751,326

As at 31st March,	GROUP					
	No. of Shares 2018	Cost 2018 Rs.'000	Carrying Value 2018 Rs.'000	No. of Shares 2017	Cost 2017 Rs.'000	Carrying Value 2017 Rs.'000
16.3.2 Unit Trusts						
Bartleet Transcapital Limited	10,000	200	200	10,000	200	200
Ceybank Unit Trust	318,639	5,037	7,230	304,958	5,037	7,203
National Equity Fund	12,000	120	385	12,000	120	382
NDB Wealth Growth & Income Fund	15,826	291	531	13,694	247	491
Total Unit Trusts		5,648	8,346		5,604	8,275

16(a) Financial Assets and Liabilities by Fair Value Hierarchy - Group

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1: quoted (unadjusted) prices in active markets for identical assets or liabilities.

Level 2: other techniques for which all inputs with significant effect on the recorded fair values are observable, either directly or indirectly.

Level 3: techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data.

The Group held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Quoted Investments - Available-for-Sale	170,160	174,934	-	-	-	-
Quoted Investments -Held -for- trading	739,295	751,326	-	-	-	-
Unquoted Investments - Available-for-Sale	-	-	-	-	276,231	276,287
Unit Trusts- Available-for-Sale	167,482	169,161	-	-	-	-
Unit Trusts- Held -for- trading	8,346	8,275	-	-	-	-

Level	Type	Valuation technique	Significant unobservable inputs	Inter-relation between significant unobservable inputs and fair value measurements
Level 3	Equity securities	Cash flow valuation	Cash inflows and outflows related to investments Discount rate applicable to relevant investments	Change in cashflow assumption would increase/(decrease) value of investment. The estimated fair value of investment would change if discount rate changes.

16(b) Financial Assets and Liabilities by Fair Value Hierarchy - Company

The Company uses the fair value hierarchy given above for determining and disclosing the fair value of financial instruments.

The Company held the following financial instruments carried at fair value in the statement of financial position:

As at 31st March	Level 1		Level 2		Level 3	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Quoted Investments - Available-for-Sale	1,536	1,662	-	-	-	-

Notes to the Financial Statements contd.

17. DEFERRED TAX ASSETS

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Balance at the beginning of the Year	188,285	114,736	-	-
Acquisition of Subsidiaries	441	-	-	-
(Origination)/Reversal of Temporary Differences				
Recognised in Profit / (Loss) for the Year	192,090	78,450	-	-
(Origination)/Reversal of Temporary Differences				
Recognised in the Statement of Other Comprehensive Income	20,542	(9,466)	-	-
Transfer to/ From Deferred Tax Liabilities (Note 26)	(16,905)	4,565	-	-
Balance at the end of the Year	384,453	188,285	-	-
17.1 Deferred Tax Composition - Group				
Property Plant and Equipment	(74,713)	(82,655)	-	-
Defined Benefit Obligations	73,130	48,872	-	-
Impairment of Debtors	10,376	13,628	-	-
Tax loss carried forward	375,660	208,440	-	-
Deferred Tax Assets	384,453	188,285	-	-

18. INVENTORIES

	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Raw Materials	2,359,693	2,183,358	-	-
Growing Crop-Nurseries	46,281	39,451	-	-
Consumable Stock	29,363	27,304	-	-
Work- in -Progress	199,802	106,040	-	-
Finished Goods	3,365,275	4,139,677	-	-
Motor Vehicles	1,395,451	510,435	-	-
Goods-in-Transit	283,723	82,046	-	-
	7,679,588	7,088,311	-	-
Less: Net provision for Obsolete Inventories	(193,904)	(190,773)	-	-
	7,485,684	6,897,538	-	-

19. TRADE AND OTHER RECEIVABLES

Trade Debtors	6,973,167	6,108,924	363	-
Less: Impairment Loss on Trade Receivable	(394,678)	(291,041)	-	-
	6,578,489	5,817,883	363	-
Other Receivables	843,104	776,839	619	50,607
Deposits & Prepayments	1,122,466	877,137	1,386	805
Staff Loan	133,017	123,594	-	-
Other Tax Recoverable (Note -19.1)	357,565	334,292	-	-
	2,456,152	2,111,862	2,005	51,412
	9,034,641	7,929,745	2,368	51,412

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
19.1 Other Tax Recoverable				
WHT Recoverable	1,622	1,587	-	-
NBT Recoverable	971	2,472	-	-
VAT Recoverable	108,054	97,156	-	-
ESC Recoverable	230,480	192,716	-	-
Other Tax Recoverable	16,438	40,361	-	-
	357,565	334,292	-	-
20. CASH AND CASH EQUIVALENTS				
Favourable Balance				
Fixed Deposits	626,684	473,938	115,875	115,400
Other Cash & Cash Equivalents	-	215	-	-
Cash at Bank	1,374,689	1,140,850	12,852	3,970
Cash in Hand	23,745	22,424	8	-
	2,025,118	1,637,426	128,735	119,370
Bank Overdraft	(3,295,897)	(3,184,515)	(106,264)	(111,147)
Cash & Cash Equivalents as per the Statement of Cash Flows	(1,270,779)	(1,547,089)	22,471	8,223

20.1 Security Details Over Bank Overdraft Facilities

20.1.1 Company

The bank overdraft facility of the Company is secured over fixed deposits of Rs.111 million.

20.1.2 Group

E.B. Creasy & Company PLC

- The bank overdraft facility of Hatton National Bank PLC is secured by existing primary concurrent floating mortgage totalling to Rs. 36 million over land & building situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
- The bank overdraft facilities of Sampath Bank PLC is secured by Lankem Ceylon PLC shares to the value Rs. 20 million lodged in the custodial accounts.
- The bank overdraft facilities of Bank of Ceylon is secured by 2.5 million numbers of Lankem Ceylon PLC shares.
- The bank overdraft Facility of Commercial Bank of Ceylon PLC is secured by primary mortgage for Rs. 91.8 million over the property at No. 53 1/1, 53 2/1, & 57, Sir Baron Jayatilake Mawatha, Colombo 01, belonging to Colombo Fort Land & Building PLC (Parent Company) and secondary mortgage bond for Rs. 83 Mn executed over the same.

Creasy Foods Limited (Presently Known as Candy Delights Limited)

The bank overdraft is secured on the land, buildings and stocks at Unit Three - Industrial Estate, Ekala, Ja-Ela

Agarapatana Plantations Limited

Bank overdraft facilities of Agarapatana Plantations Limited, a subsidiary of the Company are secured by pledging the following:

- Primary mortgage over leasehold rights to bare land and building of Glenanore and Haputale Estates including machinery fixed at each of these estates (facility amount Rs. 140 million and Rs.30 million) from Bank of Ceylon .
- Primary mortgage over leasehold rights to bare land and building of Torrington Estate, Stock in trade, Movable Assets, Book Debts and Corporate Guarantee from Lankem Developments PLC (facility amount Rs. 160 million) from Indian Bank.
- (C) Deposit of original title deeds and plan relating to Dambetenne Estate (facility amount Rs. 20 million) from Commercial Bank of Ceylon PLC.

Notes to the Financial Statements contd.

Kotagala Plantations PLC

Bank overdraft facilities obtained from Seylan Bank PLC (facility amount Rs. 130 million) and Standard Chartered Bank (facility amount Rs. 250 Million) of Kotagala Plantations PLC, a subsidiary of the Company, are secured by pledging the following,

- (a) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Yulliefield and Chrystlers Farm Estates.
- (b) Primary mortgages over leasehold rights of the estate lands and buildings, Sorana Estates.
- (c) Primary mortgages over leasehold rights of the estate lands and buildings, fixed and floating assets of Hedgalle and Eduragala Estates.

21. ASSETS HELD FOR SALE

As at 31st March,	GROUP	
	2018 Rs.'000	2017 Rs.'000
Leased land held-for-sale (Note 21.1)	60,000	-
Assets relating to "Sunquick" factory (Note 21.2)	-	207,956
	60,000	207,956

21.1 Lankem Ceylon PLC

Lankem Ceylon PLC, a subsidiary, has classified its cost of leased land situated at Nawam Mawatha as held-for-sale since the Board of Directors has decided to proceed with selling the asset. The cost of the land is Rs. 60 Million as at 31st March 2018 and there are no cumulative income or expenses included in OCI relating to the disposal asset.

21.2 C. W. Mackie PLC

C.W. Mackie PLC and Co-Ro A/S from Denmark has entered into a joint venture agreement on 24th February 2017, with the purpose of manufacturing, processing and marketing Co-Ro's products in the form of concentrates and ready to drink (RTD) products marketed under "Sunquick" brand.

Accordingly, assets relating to "Sunquick" factory was presented as assets held-for-sale as at end of March 2017.

As at 31 March 2017 assets held for sale stated at cost and comprises of the following assets:

	Cost Rs.'000	Accumulated Depreciation Rs.'000	Written Down Rs.'000
Freehold land	139,499	-	139,499
Buildings on freehold land	77,211	13,596	63,615
Plant and machinery	114,354	111,418	2,936
Freehold motor vehicles	15,278	14,758	520
Factory equipment	4,603	3,397	1,206
Office equipment	200	200	-
Lab equipment	394	394	-
Computers	1,009	829	180
	352,548	144,592	207,956

Cumulative income or expenses included in Other Comprehensive Income

There are no cumulative income or expenses included in Other Comprehensive Income relating to the disposal group.

22. STATED CAPITAL

	2018		2017	
	Number of Shares	Value of Shares Rs.'000	Number of Shares	Value of Shares Rs.'000
Fully-Paid Ordinary Shares				
At the beginning of the Year	180,000,000	327,000	180,000,000	327,000
At the end of the Year	180,000,000	327,000	180,000,000	327,000

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

23. CAPITAL RESERVES

GROUP	Property Development Reserve Rs.'000	Capital Redemption Reserve Fund Rs.'000	Total Rs.'000
Balance as at 31.03.2017	15,190	4,868	20,058
Balance as at 31.03.2018	15,190	4,868	20,058
COMPANY			
Balance as at 31.03.2017	10,000	-	10,000
Balance as at 31.03.2018	10,000	-	10,000

23.1 Nature and the Purpose of Reserves

23.1.1 Property Development Reserve

Represents the amount set aside for future development of properties.

23.1.2 Capital Redemption Reserve Fund

The amount set aside out of retained earnings for redemption of preference shares.

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
24 LOANS & BORROWINGS				
Payable after one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	356,072	363,695	-	-
Lease Obligation- Others (Note 24.2.a)	52,774	134,258	4,731	-
Loans - Others (Note 24.3)	5,966,546	4,875,649	161,731	121,000
Debentures (Note 24.4)	680,000	930,000	-	-
	7,055,392	6,303,602	166,462	121,000
Payable within one year				
Lease Obligation - JEDB/SLSPC (Note 24.1.a)	7,623	7,470	-	-
Lease Obligation - Others (Note 24.2.a)	156,775	104,841	1,240	-
Loans - Others (Note 24.3)	4,029,929	3,007,117	69,889	61,500
Debentures (Note 24.4)	250,000	-	-	-
Trust receipt Loans (Note 24.6)	2,651,115	2,595,079	-	-
Other Short Term Loans	5,446,568	4,472,692	-	-
	12,542,010	10,187,199	71,129	61,500
	19,597,402	16,490,801	237,591	182,500
24.1 Lease Obligation - JEDB/SLSPC				
Gross Lease Obligations	625,752	647,922	-	-
Payments made during the Year	(22,170)	(22,170)	-	-
Less: Finance cost applicable for future Period	(239,887)	(254,587)	-	-
Net Lease Obligations (Note 24.1.a)	363,695	371,165	-	-
24.1.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year end				
Gross Lease Obligations	22,170	22,170	-	-
Less: Finance cost applicable for future Period	(14,547)	(14,700)	-	-
Net Lease Obligations Repayable within One Year from the Year end	7,623	7,470	-	-
Lease Obligations Repayable within Two to Five Years				
Gross Lease Obligations	88,680	88,680	-	-
Less: Finance cost applicable for future Period	(53,670)	(58,755)	-	-
Net Lease Obligations Repayable within Two to Five Years	35,010	29,925	-	-
Lease Obligations Repayable after Five Years				
Gross Lease Obligations	492,732	514,902	-	-
Less: Interest in Suspense	(171,670)	(181,132)	-	-
Net Lease Obligations Repayable after Five Years	321,062	333,770	-	-
Net Lease Liability Repayable after One Year	356,072	363,695	-	-

Kotagala Plantations PLC

24.1.1 Net obligation to lessor represents amounts payable to JEDB/SLSPC in relation to the estates leased by Kotagala Plantations PLC.

24.1.2 In terms of the amendment of leases, Rs.22.2million is payable each year as lease rental, commencing from 22nd June, 1996 till the end of the lease on 21st June, 2045. This amount is to be inflated annually by the Gross Domestic Product (GDP) deflated in the form of contingent rent.

The charge to the profit or loss for the current financial year on account of interest is Rs.79.5 million (2016/17 - Rs.72.7 million).

	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
24.2 Lease Creditors - Others				
Balance at the beginning	264,747	302,724	-	692
Leases acquired during the Year	9,269	146	8,682	-
Payments made during the Year	(48,422)	(38,123)	(543)	(692)
Less: Interest in Suspense	(16,045)	(25,648)	(2,168)	-
Balance at the end	209,549	239,099	5,971	-
24.2.a Analysis of Lease Obligations by Year of Repayment				
Lease Obligations Repayable within One Year from Year End				
Gross Liability	168,239	115,262	2,171	-
Less : Interest in Suspense	(11,464)	(10,421)	(931)	-
Net Lease Obligations Repayable within One Year from Year End	156,775	104,841	1,240	-
Lease Obligations Repayable within Two to Five Years				
Gross Liability	57,355	149,485	5,968	-
Less : Interest in Suspense	(4,581)	(15,227)	(1,237)	-
Net Lease Obligations Repayable within Two to Five Years	52,774	134,258	4,731	-
24.3 Term Loans				
Balance at the beginning	7,882,766	6,749,061	182,500	195,000
Loans obtained during the Year	4,919,591	3,765,484	103,250	120,000
Effect of Exchange Fluctuations	20,660	69,675	-	-
Payments made during the Year	(2,826,542)	(2,701,454)	(54,130)	(132,500)
Balance at the end	9,996,475	7,882,766	231,620	182,500
Payable within one Year	(4,029,929)	(3,007,117)	(69,889)	(61,500)
Payable after one Year	5,966,546	4,875,649	161,731	121,000

24.4 Debentures

24.4.1 Kotagala Plantations PLC, a subsidiary, has issued Rs. 1,000 million Rated Secured Redeemable Listed Debentures. The details are as follows;

Debenture Type	Year of Issue	Year of Redemption	Colombo Stock Exchange Listing	Issued Value Rs. million	Interest Payable Frequency	Interest Rate %	Balance as at 31st March, 2018 Rs. million	Balance as at 31st March, 2017 Rs. million	Bond Rate of Comparable Government Security %
A	2014	2018	Listed	250	Bi-Annually	14.25	250	250	11.41
B	2014	2019	Listed	250	Bi-Annually	14.50	250	250	12.02
C	2014	2020	Listed	250	Bi-Annually	14.75	250	250	12.22
D	2014	2021	Listed	250	Bi-Annually	15	250	250	12.57
							1,000	1,000	

*Note: Investments made by inter group subsidiaries on debentures amounts to Rs. 70 million (2016/17 Rs. 70 million)

Notes to the Financial Statements contd.

24.4.2 Trading at Colombo Stock Exchange

Debenture Type	Highest Value (Rs.)	Lowest Value (Rs.)	Last Traded Value (Rs.)
A	Not Traded	-	-
B	Not Traded	-	-
C	101	100	100
D	100	100	100

24.5 Assets Pledged as Security Against Interest Bearing Borrowings

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
The Colombo Fort Land & Building PLC	Sampath Bank PLC	96.00	120.00	AWPLR + 2.5	Five equal annual instalments of Rs.24 million commencing from December, 2017.	Lien over 1,500,000 C M Holdings PLC shares, 142,000 E.B. Creasy & Company PLC shares and 2,200,000 Lankem Ceylon PLC shares owned by the Company.
	Commercial Bank of Ceylon PLC I	37.50	62.50	AWPLR + 1.5	Eight equal bi-annual payments of Rs.12.5 million each.	Tertiary Mortgage Bond No. 371 dated 12.03.2015 for Rs.100 million over the property at No.53-1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 1 belonging to the Company.
	Commercial Bank of Ceylon PLC II	95.00	-	AWPLR + 3	Twenty equal quarterly instalments of Rs. 5 million each.	Leeway of Rs.62.50 million available in existing Tertiary Mortgage Bond No.371 dated 12.03.2015 for Rs.100 million and Quaternary Mortgage Bond for Rs.87.50 million over the property at No.53- 1/1, 53-2/1 and 57, Sir Baron Jayathilaka Mawatha, Colombo 01 belonging to the Company.
	L B Finance PLC	3.12	-	12.5	In 36 monthly instalments of Rs.124,119/- each together with interest payable monthly on reducing balance of capital.	
		231.62	182.50			

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
E.B. Creasy & Company PLC	Hatton National Bank PLC	73.08	106.48		In 59 equal monthly instalments of Rs.3,340,000/- and final instalment of Rs.2,940,000/-.	Quintic Floating Mortgage Bond for Rs.200 million over commercial property situated at No. 98, Sri Sangaraja Mawatha, Colombo 10.
	Sampath Bank PLC I	-	0.66		In 47 equal monthly instalments of Rs.416,666/- each and final instalment of Rs.416,698/-.	Loan agreement for Rs.20 million & mortgage over machinery for manufacturing division of mosquito coils for Rs.20 million.
	Sampath Bank PLC II	8.14	-		In 71 equal monthly instalments of Rs.117,000/- and a final instalment Rs.186,000/-.	Term loan Agreement for Rs.8,493,000/- promissory Note for Rs.493,000/-.
	Commercial Bank of Ceylon PLC I	34.93	55.78		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over industrial machinery imported through the Bank for the expansion of the personal care unit and installed at Millewa, Padukka to be executed.
	Commercial Bank of Ceylon PLC II	53.24	73.28		In 59 equal monthly instalments of Rs.1,670,000/- each and final instalment of Rs.1,470,000/-.	Primary Mortgage Bond for Rs.100 million over the machinery to be imported by the Company.
	Commercial Bank of Ceylon PLC III	121.21	-		In 59 equal monthly instalments of Rs.2,350,000/- each and final instalment of Rs.1,350,000/-	Primary Mortgage Bond to be executed for Rs.140,000,000/- over machinery.
	Nations Trust Bank PLC I	99.99	142.23		47 monthly equal capital instalments of Rs.4,167,000/- and a final capital instalment of Rs.4,151,000/-.	Loan agreement for Rs.200 million.
	Nations Trust Bank PLC II	48.55	70.00		Monthly instalments of Rs.1,950,000/-.	Term loan agreement for Rs.70 million.
	Nations Trust Bank PLC III	25.38	-		46 equal monthly instalments of Rs.702,000/- and final instalment of Rs.708,000/-.	Term loan agreement
		464.52	448.43			
E. B. Creasy Logistics Limited	Sampath Bank PLC I	10.21	-		Repayable over 48 equal monthly instalments of Rs.307,604/-.	Mortgage executed over movable machinery and racking equipment import under facility.
	Sampath Bank PLC II	3.09	-		Repayable over 48 equal monthly instalments of Rs.88,510/-.	
	Sampath Bank PLC III	2.2	-		Repayable over 48 equal monthly instalments of Rs.65,201/-.	
		15.50	-			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Laxapana Batteries PLC	Sampath Bank PLC	1.67	6.67	AWPLR + 1.5	Repayable over 47 equal monthly instalments of Rs.416,66/- and a final instalment of Rs.416,698/-.	Tertiary Mortgage Bond for Rs.20.9 million over the property situated at Panagoda Homagama.
		1.67	6.67			
Lankem Ceylon PLC	Commercial Bank of Ceylon PLC I	-	18.00		In 35 monthly instalments of Rs.3.4 million and a final instalment of Rs.1 million.	
	Commercial Bank of Ceylon PLC II	178.80	256.40		In 55 monthly instalments of Yr - 1 equal instalments of Rs.0.5 million Yr - 2 equal instalments of Rs.2 million Yr - 3 equal instalments of Rs.3.5 million Yr - 4 equal instalments of Rs.5 million Yr - 5 equal instalments of Rs.7 million for 6 months and a final instalment of Rs. 6.8 million. together with interest payable monthly on reducing balance of capital.	(a) Lien over foreign currency Fixed Deposit signed by the Company for USD 524,827.40. (b) Lien over Foreign Exchange Earners Account (FEEA) in the name of the Company for USD 293 million (c) Primary Mortgage for Rs. 200 million. instalments over land at Ja-ela & Gonawala
	Commercial Bank of Ceylon PLC Loan III	172.40	208.00		In 57 monthly instalments of Yr - 1 equal instalments of Rs. 0.5 million Yr - 2 equal instalments of Rs. 2 million Yr - 3 equal instalments of Rs. 3 million Yr - 4 equal instalments of Rs. 5 million Yr - 5 equal instalments of Rs.5.5 million for 8 months and a final instalment of Rs. 4.4 million. together with interest payable monthly on reducing balance of capital.	(d) Secondary Mortgage Bond No.528 dated 07-04-1998 for Rs.50 million executed over above property (e) Tertiary Mortgage Bond for Rs.307 million. to be executed over above two properties. (f) Additional Mortgage Bond for Rs.400 million. over stocks and assignment of book debts to be executed by the Company.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Commercial Bank of Ceylon PLC Loan IV	198.50	-		In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 2 million Yr- 3 equal instalments of Rs. 3 million Yr- 4 equal instalments of Rs. 5 million Yr -5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million. together with interest payable monthly on reducing balance of capital.	
	Commercial Bank of Ceylon PLC Loan V	111.00			In 60 monthly instalments of Yr -1 equal instalments of Rs. 0.5 million Yr -2 equal instalments of Rs. 1 million Yr -3 equal instalments of Rs. 1.5 million Yr- 4 equal instalments of Rs. 2 million Yr -5 equal instalments of Rs. 4 million for 11 months and a final instalment of Rs. 8.5 million. together with interest payable monthly on reducing balance of capital.	
	Commercial Bank of Ceylon PLC Loan VI	86.50	-		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.2 million Yr - 2 equal instalments of Rs. 0.7 million Yr - 3 equal instalments of Rs. 1.3 million Yr - 4 equal instalments of Rs. 2 million Yr - 5 equal instalments of Rs. 6 million for 11 months and a final instalment of Rs. 8 million. together with interest payable monthly on reducing balance of capital.	

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Commercial Bank of Ceylon PLC Loan VII	39.70	-		In 60 monthly instalments of Yr - 1 equal instalments of Rs. 0.1 million Yr - 2 equal instalments of Rs. 0.4 million Yr- 3 equal instalments of Rs. 0.6 million Yr - 4 equal instalments of Rs. 1 million Yr - 5 equal instalments of Rs. 1.2 million for 11 months and a final of Rs. 1.6 million. together with interest payable monthly on reducing balance of capital.	
	Peoples' Bank	575.50	802.17		In May 2018 existing loan Rs.555 million was converted to a new re-scheduled facility. Month 1 instalments is Rs. 20.5 million. After re-schedulment Month 2 onwards Rs.2.5 million for 6 Months, Rs.8 million for 12 Months and Rs. 17.76 million for 25 Months.	Mortgage over stocks and Book debts on crystallization basis.
	National Development Bank	247.25	304.25		Payable quarterly on or before the last banking day of each quarter Yr 1 to Yr 4 - Q1-Q3 equal instalments of Rs.15.25 million and Q4 - 26.50 million Yr 5 - Q1-Q4 equal instalments of Rs.15.25 million.	16 million Shares of C.W.Mackie PLC.
	Bank of Ceylon	507.14	600.00		In 84 monthly instalments of Rs.7.143 million each.	Primary Mortgage Bond for Rs.600 million over the property named Lanlib Building situated at Nawam Mawatha depicted as Lots A & B in Plan No. 482 dated 08/05/1987 in extent of 40 purchases owned by the Company.
	Seylan Bank	23.21	-		In 60 monthly instalments on reducing balance	Lien over USD Fixed Deposit with the bank for USD 115,000/- & USD 49,000/-.
	Commercial Leasing PLC	26.09	-		In 18 monthly instalments.	Mortgage and special power of Attorney of Company Owned Vehicle.
	Central Finance Co. PLC	28.15	-		In 48 monthly equal instalments of Capital & Interest of Rs.0.917 million each.	Mortgage and special power of Attorney of 10 No. of Double cab vehicle Promissory Note.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Ceylon PLC (Contd.)	Union Bank I	40.00	-		In 36 monthly instalments of Yr - 1 equal instalments of Rs. 0.75 million Yr - 2 equal instalments of Rs. 1 million Yr - 3 equal instalments of Rs. 1.5 million for 11 months and a final instalment of Rs. 2.5 million. together with interest payable monthly on reducing balance of capital.	
	Union Bank II	80.00	-		In 60 monthly instalments of Yr - 1 to Yr - 3 Rs. 0.6 million Yr - 4 Rs. 2.45 million Yr - 5 Rs. 2.45 million for 11 months and a final instalment of Rs. 2.05 million. together with interest payable monthly on reducing balance of capital.	
		2,314.24	2,188.82			
Kelani Valley Canneries Limited	Commercial Bank of Ceylon PLC	4.04	4.9	AWPLR + 3		Mortgage bond over the machinery valued Rs.3 million at Kaluaggala, Hanwella.
		4.04	4.9			
Beruwala Resorts PLC	Cargills Bank PLC Term Loan I	9.01	14.50	AWPLR + 1.75	Repayable over 48 monthly instalments.	Mortgage executed over laundry machine for Rs.20million & equipment.
	Cargills Bank PLC Term Loan II	2.06	3.22	AWPLR + 2	Repayable over 48 monthly instalments.	Mortgage executed over Mazda motor car for Rs.5.98 million.
	Cargills Bank PLC Term Loan III	5.18	7.33	AWPLR + 2.5	Repayable in 47 monthly instalment of Rs.0.17 million and final instalment of Rs. 0.17 million plus interest, commencing one month after draw down.	Secondary mortgage over laundry machine.
	Pan Asia Banking Corporation PLC	176.41	194.97	5.5	Repayable over 102 monthly instalments. Repayments to commence after a grace period of 18 months from the first draw down.	Primary Mortgage over land and building of B.O.T. Hotel Services (Private) Limited situated at Weligama.
		192.66	220.02			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Sigiriya Village Hotels PLC	Sampath Bank PLC	127.28	127.29		Repayable over 35 monthly instalments.	Mortgage over leasehold rights of the land and Rs.17.5 million hotel kitchen equipment and other accessories.
	Pan Asia Banking Corporation PLC	-	17.36		Repayable over 48 monthly instalments.	Rs. 50 million worth of shares of Marawila Resorts PLC has been lodged. Rs. 25 million corporate guarantee from The Colombo Fort Land & Building PLC.
		127.28	144.65			
B. O. T. Hotel Services (Private) Limited	Pan Asia Banking Corporation PLC	33.38	83.15	MAWPLR + 3	Loan has been obtained under two instalments of Rs. 50 million and Rs.75 million. 1. Rs.50 million - 30 monthly repayment 2. Rs.75 million - 48 monthly repayment	Pledge of property the property of the Hotel premises which is situated in Kapparahotta, Weligama Rs.50 million. Corporate guarantee from Beruwala Resorts PLC for Rs.75 million.
		33.38	83.15			
Marawila Resorts PLC	Hatton National Bank PLC Term Loan	224.63	274.61	3 Months LIBOR+5 (Monthly review)	In terms of new arrangement made with Hatton National Bank PLC, Marawila Resorts PLC has to resettle the outstanding USD term loan of USD 1.45 million in 3 years. The interest to be serviced monthly.	Existing secondary floating mortgage bonds totalling to US\$ 5.37 million over the hotel premises at Marawila.
	Commercial Bank of Ceylon PLC	22.90	-	PLR + 3 p.a		Floating primary Mortgage Bond for Rs. 25 million to be obtained over assignment of book debts.
		247.53	274.61			
Galle Fort Hotel (Private) Limited	Hatton National Bank PLC	-	41.16		Repayable over 60 monthly instalments.	Corporate guarantee of Rs.0.75 million from Lankem Ceylon PLC and hotel property at No.28, Church Street, Galle.
	Cargills Bank PLC I	61.88	72.91	AWPLR + 1.95	Repayable over 59 monthly instalments.	Lien over Fixed Deposit of Rs.10 million. Primary mortgage of Rs.35 million and USD 0.5 million, over the property at 31, Light House Street, Galle.
	Cargills Bank PLC II	27.63	33.93	LIBRO + 4.4	Repayable over 58 monthly instalments.	
	Cargills Bank PLC III	39.14	-	LIBRO + 4	Repayable over 59 monthly instalments.	
		128.65	148.00			

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC	National Development Bank PLC Approved facility Rs.215 million	-	26.40	AWPLR+3%	Repayable over 5 years from 31.12.2012, in equal monthly instalments of Rs.3,300,000/- and Rs.283,400/- respectively. (After the refinance is received interest rate would be 15.58%)	Secondary Mortgage over leasehold rights of Stony cliff, Vogan, Gikiyanakande and Dalkeith Estates and all immovable properties of these Estates.
	National Development Bank PLC Packing credit loan Rs.150 million	-	5.79	5.5	Payable with in 3 months and rolled over.	Primary Mortgage Bond over stocks and book debts for Rs.200,000,000/-.
	National Development Bank PLC Packing credit loan Rs.17 million	-	2.26	AWPLR+3%		
	National Development Bank PLC Approved facility Rs.500 million	92.84	123.02	AWPLR + 4.75	Payable over 96 instalments.	Primary mortgage over lease hold rights of building and machinery of Millewa estate.
	National Development Bank PLC Approved facility Rs.204 million	72.88	156.39	LIBOR + 8	Repayable over 89 instalments of (USD 41,110) and one instalment of USD 41,210 from 7th month after the disbursement.	Secondary mortgage on leased hold rights of Stonycliff, Vogan, Gikiyanakanda and Dalkeith Estates and all immovable properties of these estates.
	Sampath Bank PLC Approved facility Rs.50 million	3.89	10.01	15.00	In 95 equal monthly instalments of Rs.521,000/- and a final instalment of Rs.505,000/- (Capital) together with interest after a grace period of 48 months commencing from the date of 1st disbursement. (The interest will be recovered on a monthly basis during the grace period also.)	Loan Agreement for Rs.50,000,000/- Primary Mortgage Bond for Rs.50,000,000/- over leasehold rights of Arapolakande Rubber Estate at Kalutara together with factory buildings therein.
	Sampath Bank PLC Approved facility Rs.500 million	500.00	-	AWPLR + 3.5%	Payable in 71 euqal monthly instalments of Rs.6,950,000 and final instalment of Rs.6,550,000 with a capital grace period of 12 months.	Tripartite agreement between Sampath Bank PLC , Forbes & Walker tea brokers (Pvt) Ltd for the remittance of sales proceeds.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	People's Leasing Company PLC Term Loan Rs.8 million	1.71	3.01	19.00	Interest and capital payable monthly and repayment is first month instalment Rs.2,200,000/- and the balance 59 monthly instalment at Rs.152,649/- each.	
	People's Bank Term Loan Rs.300 million	87.58	109.31	AWPLR + 3	Repayable within 60 instalments of Rs.1,725,000/- each.	Securitised tea sales of Mayfield Estates.
	People's Bank Term Loan Rs.196 million	182.10	186.20	AWPLR + 3	Repayable within 60 instalments of Rs.3,157,777/- each.	Immovable properties and lease hold rights of Mount Vernon and Mayfield Estates.
	Standard Chartered Bank Term Loan Rs.250 million	88.88	173.20	SLIBOR+ 3.5%	Payable within 3 months and rolled over.	Leasehold rights of Hedigalla and Eduragala estate.
	Standard Chartered Bank Packing credit loan	75.26	69.40			
	Hatton National Bank Term Loan Rs.889 million	-	551.68	LIBOR+7.5	Payable in 32 equal quarterly instalments of USD 0.175 million each.	Mortgage of immovable property situated at Talwatte Village belonging to Union Commodities (Private) Limited.
	State Mortgage Bank Term Loan Rs.50 million	22.55	31.93	19.00	Repayment in 72 equal monthly Instalment of Rs.718,620/- Commencing after the date of disbursement of the loan Repayment in 72 equal monthly Instalment of Rs.444,960/- Commencing after the date of disbursement of the loan.	10 vehicles offered as security.
	Cey Bank Asset Management Limited Commercial Paper Rs.172.70 million	172.70	150.04	11.55	Repayable as per the Commercial Paper maturity date.	Commercial Papers.
	Colombo Trust Finance PLC Rs.9.16 million	1.27	3.25	19.00	Monthly instalment of Rs.170,225/- in first 3 months, Rs.2,500,000/- in the fourth month and Rs.170,225/- in next 56 months.	KIA Sorento Jeep bearing vehicle Registration no.KW-9649.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Kotagala Plantations PLC (Contd.)	Sri Lanka Tea Board Term Loan Rs.29.58 million	33.16	23.66		Repayable within 10 monthly instalments of Rs.2,957,150/- each.	
	Sri Lanka Tea Board Term Loan Rs.45 million	33.75	45.00		Repayable within 36 monthly instalments of Rs.1,250,000/- each. (six months grace period)	
	Forbes & Walker Limited Term Loan Rs.150 million	-	110.00	19.00	Repayable within 30 monthly instalments of Rs.5,000,000/- each.	The realised and unrealised values of the stock of the teas catalogued and to be catalogued with broker.
	John Keells PLC Term Loan Rs.161.5 million	-	118.55	19.00	Repayable within 30 monthly instalments of Rs.5,383,333/- each.	A Promissory Note, continuing undertaking and guarantee executed by the Borrower in favour of JKPLC whereby the Borrower agrees to forward teas and sales proceeds on pre-allocated markets some of which are shared with Broker to JKPLC until the payment of all monies due and owing to JKPLC.
		1,368.59	1,899.07			
Agarapatana Plantations Limited	Sampath Bank PLC Loan Rs.500 million	500.00	-	AWPLR + 3.5	71 instalments of Rs. 6,950,000/- and a final instalment of Rs.6,550,000/- commencing from 26.04.2019.	Mortgage over leasehold rights over the estate land & factory building of Diyagama West Estate.
	Seylan Bank PLC Loan Rs.10 million	50.00	-	16	60 equal instalments commencing from 31.03.2018.	Mortgage over leasehold rights over the estate land & building, fixed & floating assets of Diyagama East Estate.
	Bank of Ceylon Loan Rs.246 million	139.65	186.51	AWPLR + 1.5	first and second instalments of Rs.416,667/- and 60 installments of Rs.4,054,598/-.	Additional mortgage over lease hold rights of Glenanore and Haputale Estates including machinery fixed at each of these estates.
	Bank of Ceylon Loan Rs.200 million	200.00	-	AWPLR + 2.5	48 monthly instalments commencing from 12.06.2019	Tri partite agreement with borrower, bank and the tea broker - John Keells PLC and Corporate Guarantee from Lankem Ceylon PLC.
	Nations Trust Bank PLC Loan Rs. 5 million	1.17	2.37	18	60 monthly instalments commencing from 01.02.2014.	Original Certificate of Registration of the Vehicle.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Agarapatana Plantations Limited (Contd.)	Commercial Bank of Ceylon PLC Loan Rs.500 million	266.21	317.23	AWPLR + 3	84 monthly instalments commencing from 05.09.2016.	Duly accepted Letter of Offer supported by Board Resolution. General Terms and conditions relating to Term Loans. Deposit of original title deeds and plan relating of the Dambetenne Estate.
	People's Leasing & Finance PLC Loan Rs.5 million	0.94	2.07	13.17	60 monthly instalments commencing from 01.01.2014.	Loan agreement acceptance, receipt, promissory note & Corporate Guarantee From Lankem Tea & Rubber Plantations (Private) Limited.
	National Development Bank PLC Loan Rs.95 million	-	8.00	AWPLR +4.75	36 monthly instalments commencing from 23.09.2013.	Loan agreement acceptance and Broker Certificate From Forbes & Walkers Tea Brokers (Private) Limited.
	Sri Lanka Tea Board Loan Rs. 60 million	46.67	60.00	AWPLR +1	36 monthly instalments commencing from August 2017.	
	Sri Lanka Tea Board Loan Rs. 86 million	65.96	-	5	36 instalments commencing from 13.07.2017	
	John Keelles PLC Broker Loan Rs.78 million	-	57.25	19	120 weekly instalments commencing from 10.08.2016.	Promissory Note in Favour of John Keells PLC.
	Forbes & Walker Tea Brokers (Private) Limited Broker Loan Rs.150 million	-	110.00	19	120 weekly instalments commencing from 18.08.2016.	Promissory Note in Favour of Forbes & Walker Tea Brokers (Private) Limited.
	Ceylon Tea Brokers PLC Broker Loan Rs.45 million	-	35.45	19	125 weekly instalments commencing from 18.08.2016.	Promissory Note in Favour of Ceylon Tea Brokers PLC.
	Sri Lanka Tea Board Short Term Loan	-	23.92		10 equal instalments commencing from December 2016.	
		1,270.60	802.80			

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Lankem Tea & Rubber Plantations (Private) Limited	National Development Bank PLC	47.56	66.85		84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 shares held by the Company in Kotagala Plantations PLC and 3,025,000 shares held by Lankem Plantation Holdings Limited in Kotagala Plantations PLC.
	People's Leasing & Finance PLC	6.01	9.74			Promissory Notes worth Rs.25 million have been pledged.
		53.57	76.59			
Waverley Power (Private) Limited	SMB Leasing PLC	49.50	-			The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantation Limited. Corporate guarantee from Lankem Ceylon PLC.
	DFCC Bank PLC	-	32.00		78 monthly instalments commencing from September, 2010 and October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantation Limited. Corporate guarantee from Lankem Ceylon PLC.
	Haton National Bank PLC	-	24.80		77 monthly instalments commencing from April, 2012 ans October, 2013.	The Company has pledged its own share certificates issued to its shareholders, Lankem Developments PLC and Agarapatana Plantation Limited. Corporate guarantee from Lankem Ceylon PLC.
		49.50	56.80			
Consolidated Tea Plantations Limited	National Development Bank PLC	32.16	46.06	AWPLR + 8	84 monthly instalments commencing from 01.04.2014.	Pledged 4,600,525 Shares held by Lankem Tea & Rubber Plantations (Private) Limited in Kotagala Plantations PLC and 3,025,000 shares held by the Company in Kotagala Plantations PLC.
		32.16	46.06			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Union Commodities (Private) Limited	Commercial Bank of Ceylon PLC	0.72	0.62	LIBOR + 4	Each loan to be repaid within a maximum period of 90 days or at the time of receipt of Export proceeds whichever is earlier.	Primary concurrent Mortgage bond over book debts of the Company and the stocks. The sales contract for each order to be submitted within one week from the disbursement of the Pre-shipment loan.
	DFCC Bank PLC	0.33	0.32	LIBOR + 4	Each loan to be settled within a period of 90 days from the date of disbursement of or at the time of negotiation /purchase of relative export documents, whichever is earlier.	Primary concurrent Mortgage bond for Rs.100 million and book debts of the company with an insurance policy over stocks assigned in favour of the bank and existing demand Promissory note from non Commodities (Private) Limited to the value of Rs.195 million.
	Hatton National Bank PLC I	0.66	0.59	LIBOR + 4	Advances restricted to 80% of the value of the LC/Confirmed orders should be paid within 90days from export proceeds.	Export Loan documents and Deposit of irrevocable Export letters of credit/confirmed orders.
	Hatton National Bank PLC II	0.59	-	LIBOR + 5.5	23 equal quarterly instalment of USD 160,000 and a final instalment of USD 120,000 commencing after an initial grace period of year and interest is serviced.	Registered Primary Floating Mortgage Bond for USD 3million over commercial property including immovable machinery (Tea Bagging Machines) at Biyagama Road Thalwatte, Kelaniya. Including Buildings and every thing standing thereon.
	Hatton National Bank PLC III	0.17	-	LIBOR + 5.5	24 equal quarterly instalment of USD.	Registered Primary Floating Mortgage Bond for USD 1.2million over movable machinery at Biyagama Road Thalwatte Kelaniya.
	National Development Bank PLC	0.37	0.30	4.5	Maximum 90days from which date make it consistent with other disclosures.	Primary Concurrent pari passu mortgage bond over stock and book debts in favour of the Hangkong and Shanghai bankers Corporation.
		2.84	1.83			

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Ceylon Tapes (Private) Limited	Hatton National Bank PLC	-	2.26	AWPLR + 1	Repayable over 59 monthly instalments.	Board Resolution.
	Commercial Bank of Ceylon PLC	26.25	41.25	AWPLR + 2.5	Repayable over 40 monthly instalments of Rs.1,250,000/-.	Floating primary mortgage bond for Rs.50 million over the property called Franklyn Estate and morefully as lot A in plan no. 7221 dated 26.11.2015 made by Mr. P.A.K.J. Perera in extent of A 2: R 3: P 18.25 to be executed by the Company.
	DFCC Bank Term Loan	2.17	3.79	AWPLR + 1	Repayable over 60 monthly instalments of Rs.133,000/-.	Land worth of Rs.5.7 million and machinery worth Rs.0.3 million have been pledged when obtaining the loan.
		28.42	47.30			
JF Packaging (Private) Limited	Sampath Bank PLC Loan I	-	0.57		Repayable over 5 years in 59 monthly instalments of Rs.83,500/- and a final instalment of Rs.73,500/-.	Primary mortgage of property at Nivasipura, Ja-ela depicted as lot No. P 7 plan No.2036 dated 07.07.2003 and primary mortgage of property at Etambawela Estate, Matale depicted as lot A in plan No.6968 dated 30.11.2009.
	Sampath Bank PLC Loan II	-	2.15		Repayable over 5 years in 60 monthly instalments.	
	Sampath Bank PLC Loan III	-	15.01		Repayable over 5 years in 60 equal monthly instalments of Rs.422,000/-.	
	Sampath Bank PLC Loan IV	-	6.70		Repayable over 5 years in 59 monthly instalments of Rs.192,000/- and a final instalments of Rs.172,000/-.	
	Sampath Bank PLC Loan V	41.25	51.33		Repayable over 5 years in 59 monthly instalments of Rs.916,700/- and a final instalment of Rs.914,700/-.	Hypothecation Bond for Rs.105 million over stocks and book debts held at factory premises at No.306, Minuwangoda Road, Kotugoda.
	Sampath Bank PLC Loan VI	12.55	18.83		Repayable over 3 years in 35 monthly instalments of Rs.570,500/- and a final instalment of Rs.569,500/-.	Mortgage over Dry laminating machine and related equipment.
	Sampath Bank PLC Loan VII	134.35	-		Repayable over 5 years in 60 monthly instalments of Rs.3,626,129/- and a final instalment of Rs.569,500/-.	Corporate guarantee of Lankem Ceylon PLC for Rs.150,000,000/- & Shares of Alliance Five (Pvt) Ltd.

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
JF Packaging (Private) Limited (Contd.)	Bank of Ceylon Loan I	16.53	27.89		Repayable over 8 years in equal monthly instalments of Rs.1,032,967/-.	Primary mortgage of land, building and machinery situated at No. 306, Minuwangoda Road, Kotugoda.
	Bank of Ceylon Loan II	5.06	8.43		Repayable over 5 years in 60 equal monthly instalments of Rs.337,079/-.	
	Bank of Ceylon Loan III	-	6.67		Repayable over 3 years in 36 equal monthly instalments of Rs.1,666,667/-.	
	Bank of Ceylon Loan IV	9.86	14.86		Repayable over 5 years in 60 equal monthly instalments of Rs.500,000/-.	
	Bank of Ceylon Loan V	136.26	142.21		Repayable over 48 monthly instalments of Rs.3,125,000/-.	
	Bank of Ceylon Loan VI	119.11	42.05		Repayable over 6 years in 72 equal monthly instalments of Rs.2,083,333/-.	
	DFCC Bank PLC Loan I	-	0.54		Repayable over 4 years in 48 equal monthly instalments of Rs.130,730/-.	Personal guarantee of the 1) Mr.Lakshman De Fonseka 2) Mr.Rathnayake
		474.97	337.24			
Creasy Foods Limited (Presently known as Candy Delights Limited)	Hatton National Bank PLC Term Loan I	1.56	5.24	AWPLR + 2	To be repaid in 59 equal monthly instalments of Rs.0.334 million each and a final instalment of Rs.0.294 million.	Existing registered primary floating mortgage bond for Rs.50 million over Land & Buildings situated at No.26, Agaradaguru Mawatha, E-Kala.
	Hatton National Bank PLC Term Loan II	60.00	-		To be repaid in 48 qual monthly instalments of Rs.1.25 million.	Primary Floating Mortgage Bond for Rs.60 million over the new movable machinery and equipment imported at a cost of Rs.82 million and Lying at Candy Delights Limited; Unit 3, Industrial Estate, Ekala.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Creasy Foods Limited (Presently known as Candy Delights Limited) (Contd.)	Hatton National Bank PLC Term Loan III	90.00	-		To be repaid in 48 equal monthly instalments of Rs. 1.875 million.	Registered Primary Floating Mortgage Bond for Rs.120 million over land, immovable machinery situated at 26, Agaradaguru Mawatha, Ekala and everything standing thereon (including the existing buildings and/or the buildings which are to be constructed in the future together with any further developments, modifications thereto) with all fixtures, fitting, services and such other rights attached or appertaining.
		151.56	5.24			
SunAgro Foods Limited	Sampath Bank PLC	7.76	34.85		In 47 equal monthly instalments of Rs.2.08 million and a final instalment of Rs.2.05 million on 26th day of each month commencing after a grace period of 12 Months. Interest to be paid during the grace period.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.110 million.
	Commercial Bank of Ceylon PLC	2.39	10.04		In 35 equal monthly instalments of Rs.695,000/- and a final instalment of Rs.675,000/- together with interest.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.75 million.
		10.15	44.89			
SunAgro Lifescience Limited	Commercial Bank of Ceylon PLC	147.06	-		Repayable over 60 monthly instalments.	Corporate guarantee from Lankem Ceylon PLC amounting to Rs.100 million.
		147.06	-			
Lanka Special Steels Limited	Nations Trust Bank PLC	93.75	106.31		48 monthly equal capital instalments of Rs. 3,125,000/-.	Secondary Mortgage over plant & machinery of the Company.
		93.75	106.31			

Notes to the Financial Statements contd.

	Company/ Lender	Balance as at 31.03.2018 Rs. million	Balance as at 31.03.2017 Rs. million	Interest Rate %	Terms of Repayment	Security Pledged
Ceyflex Rubber Limited (Formerly known as Duramedical (Lanka) Limited)	Nations Trust Bank PLC	59.72	33.94	AWPLR + 3	First 06 Months - Interest to be serviced on a monthly basis (Grace period on the capital) 07th Month to 54th Month - 47 equal monthly capital instalments of Rs. 2,700,000/- and a final capital instalment of Rs. 3,100,000/-. Interest to be serviced separately on a monthly basis.	Primary Mortgage for Rs.150,000,000/- over Rights under the Board of Investment Agreement No.28 dated 12/05/2016, Buildings and Machinery on the project property at Horana Export Processing Zone - (To be executed) (Mortgage details should be notified to the Bank and such details will be included in a separated Addendum Letter) Simple lodgement of 100,000 Nos. (unquoted) shares of Ceyflex Rubber Limited owned by E.B. Creasy & Company PLC.
		59.72	33.94			

24.6 Trust Receipt Loans

The Group has obtained following Trust Receipt Loans.

	Group 2018 Rs.'000	GROUP 2017 Rs.'000
E.B. Creasy & Company PLC	425,319	273,845
Lankem Ceylon PLC	1,825,711	1,788,957
Darley Butler & Company Limited	245,049	218,845
Laxapana Batteries PLC	114,856	85,210
Creasy Foods Limited	40,180	75,907
SunAgro Life Science Limited	-	152,315
	2,651,115	2,595,079

E.B. Creasy & Company PLC

Trust Receipt Loan is secured by Existing Mortgage Bonds to Banks over the stocks in trade and an assignment of book debts.

Creasy Foods Limited (Presently Known as Candy Delights Limited)

Trust Receipt loan is secured by floating charge on imported inventories at Unit Three Industrial Estate, Ekala, Ja- Ela and book debt.

Laxapana Batteries PLC

Company/ Lender	Facility No.	Interest	Outstanding as at 31.03.2018 Rs. 000	Outstanding as at 31.03.2017 Rs. 000	Terms of Repayment	Security Pledged
Sampath Bank PLC	Revolving Trust Receipt loan of Rs. 80 million.	AWPLR + 1.25	93,242	82,048	Each loan to be settled within 120 days from the date of grant.	Existing Primary Mortgage bond of Rs.66.5 million over the property situated in Panagoda, Homagama with an extent of 50,886 sq. ft.
Union Bank of Colombo PLC	Revolving Trust Receipt loan of Rs. 20 million.	AWPLR + 2	-	3,162	Each loan to be settled within 120 days from the date of grant.	Primary floating mortgage bond of Rs.30 million over stocks at Company premises in Panagoda, Holmagama and warehouse at Sapugaskanda and assignment over book debts.
DFCC Bank PLC	Revolving Trust Receipt loan of Rs. 40 million.	AWPLR	21,615	-	Each loan to be settled within 120 days from the date of grant.	Mortgage for Rs. 40 million over stocks kept at Company premises at Panagoda, Homagama and warehouse At Sapugaskanda.
			114,856	85,210		

iii) The portion of the loan-term loan repayable within one year from the reporting date is shown as Current Liabilities.

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
25. DEFERRED INCOME - CAPITAL GRANTS				
Balance at the beginning of the Year	577,995	585,423	-	-
Additions during the Year	15,869	13,897	-	-
Amortised during the Year	(22,704)	(21,325)	-	-
Balance at the end of the Year (Note 25.1)	571,160	577,995	-	-
25.1 Balance at the end of the Year				
Kotagala Plantations PLC	333,813	335,031	-	-
Agarapatana Plantations Limited	217,480	225,297	-	-
SunAgro Foods Limited	14,444	17,192	-	-
C.W. Mackie PLC	375	475	-	-
E B Creasy and Company PLC	5,048	-	-	-
	571,160	577,995	-	-

Notes to the Financial Statements contd.

25.a The Company's utilisation of funds received is as below:

E.B. Creasy and Company PLC

The Company has received a grant of Rs. 5.2 million during the year in relation to setting up of solar roof top power project on net metering basis under ADB funded clean energy and network efficiency improvement projects.

Kotagala Plantations PLC

i) Asian Development Bank - Plantation Reform Project (ADB-PRP)

The funds received are utilised for construction of Staff Quarters, Water Projects, Latrines, Farm Roads and purchase of Forestry Equipment.

ii) Plantation Development Support Program (PDSP)

The funds received are utilised for construction of Dispensaries, Staff Quarters, Water Projects and upgrading Crèches.

iii) Plantation Human Development Trust (PHDT)

The funds received are utilised for construction of Worker Housing, Water Projects and purchase of an Ambulance.

iv) Others

a) Ministry of Livestock Development and Estate Infrastructure

The funds received are utilised for construction of Community Centres, Agency Post Offices and upgrading Farm Roads and Crèches.

b) Sri Lanka Tea Board

Funds received are utilised for the construction of the CTC Tea Factory at Mount Vernon Estate.

The amounts spent are capitalised under the relevant classification of Property, Plant & Equipment and the corresponding grant component is reflected under deferred grants and subsidies and amortised over useful life span of the asset.

Agarapatana Plantations Limited

The Company has received funding from the Plantation Housing and Social Welfare Trust, Asian Development Bank and Plantation Reform Project for the development of worker welfare facilities such as re-roofing of line rooms, latrines, water supply and sanitation etc. The funds received from Sri Lanka Tea Board are utilized for Tea replanting. The amounts spent are included under the relevant classification of Property, Plant and Equipment and Bearer Biological Assets and the grant component is reflected under Deferred Grants and Subsidies.

SunAgro Foods Limited

The Company has received grants from the USAID/ COREproject amounting to Rs.27.49 million for the purpose of establishing an outgrower cereal cultivation with 1,000 farmers and to set up a processing facility for cereal legume mixture manufacturing in the Trincomalee District grant has been amortised over the useful lifetime of the assets.

Kelani Valley Canneries Limited

Kelani Valley Canneries Limited has been awarded a government grant in December 2016 from Industrial Development Board of Ceylon, amounted to Rs. 0.5 million for the acquisition of a fully automated jam cup filling machine worth Rs. 1.3 million. The government grant recognised as deferred income is amortised over the useful life of the machinery

The Company shall not sell, assign, pledge, mortgage, gift, let or rent the machinery for a period of five years from the date of purchase of the machinery.

26. DEFERRED TAX LIABILITIES

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Balance at the beginning of the Year	513,932	549,778	26,605	26,809
Acquisition of Subsidiaries	406	-	-	-
Origination/(Reversal) of Temporary Differences				
Recognised in the Statement of Equity	664,510	-	172,796	-
Origination/(Reversal) of Temporary Differences				
Recognised in Profit / (Loss) for the Year	(30,960)	(95,846)	(10,527)	(204)
Origination/(Reversal) of Temporary Differences				
Recognised in the Statement of Other Comprehensive Income	(1,542)	55,435	-	-
Transfer from Deferred Tax Assets (Note 17)	(16,905)	4,565	-	-
Balance at the end	1,129,441	513,932	188,875	26,605
26.1 Deferred Tax Composition				
Property Plant and Equipment	1,323,429	1,511,663	28,604	26,605
Revaluation on Land (Note 8.4.1)	664,510	-	172,796	-
Defined Benefit Obligations	(226,136)	(134,536)	-	-
Impairment of Debtors	(5,146)	-	-	-
Tax loss carried forward	(627,216)	(863,195)	(12,525)	-
Deferred Tax	1,129,441	513,932	188,875	26,605

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
27. EMPLOYEE BENEFITS				
Fair Value of Plan Assets (Note 27.1)	46,828	107,381	-	-
Present Value of the Funded Obligations (Note 27.2)	238,542	204,937	-	-
Present Value of the Unfunded Obligations (Note 27.4)	2,632,593	2,239,046	-	-
Total Present Value of Retirement Benefit Obligations	2,871,135	2,443,983	-	-

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
27.1 Fair Value of Plan Assets				
Movements in Fair Value of Plan Assets				
Fair Value of Plan Assets as at 01st April	107,381	95,539	-	-
Contribution Paid to the Plan Assets	10,982	10,548	-	-
Expected Return on Plan Assets	16,954	13,759	-	-
Benefits Paid by the Plan	(81,637)	(8,763)	-	-
Actuarial Gains/(Losses)	(6,852)	(3,702)	-	-
Fair Value of Plan Assets as at 31st March	46,828	107,381	-	-

Notes to the Financial Statements contd.

27.2 Present Value of the Funded Obligations

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Movement in Present Value of Funded Obligations				
Present value of Defined Benefit Obligations as at 1st April	204,937	220,074	-	-
Provision for the Year (Note 27.2.1)	46,093	46,454	-	-
	251,030	266,528	-	-
Benefits paid by the Plan	(70,836)	(23,413)	-	-
Actuarial (Gains)/Losses (Note 27.2.1)	58,348	(38,178)	-	-
Present Value of Defined Benefit Obligations as at 31st March	238,542	204,937	-	-
27.2.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	18,111	24,840	-	-
Interest Cost	27,982	21,614	-	-
Provision for the Year	46,093	46,454	-	-
Net Actuarial (Gains)/Losses	58,348	(38,178)	-	-
	104,441	8,276		
27.3 Present Value of Net Obligations				
Fair Value of Plan Assets	46,828	107,381	-	-
Present Value of Funded Obligations	(238,542)	(204,937)	-	-
Present Value of Net Funded Obligations	(191,714)	(97,556)	-	-

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
27.4 Present Value of the Unfunded Obligation				
Movement in Present Value of Unfunded Obligation				
Present value of Defined Benefit Obligations as at 1st April	2,239,046	2,320,594	-	-
Acquisition of Subsidiaries	10,698	-	-	-
Provision for the year	447,631	409,375	-	-
	2,697,375	2,729,969	-	-
Inter-company Liability Transfers				
Benefits paid by the Plan	(265,998)	(152,032)	-	-
Actuarial (Gains)/Losses	201,216	(338,891)	-	-
Present Value of Defined Benefit Obligations as at 31st March	2,632,593	2,239,046	-	-
27.4.1 Expenses Recognised in the Statement of Comprehensive Income				
Current Service Cost	148,003	153,166	-	-
Interest Cost	299,628	256,209	-	-
Provision for the Year	447,631	409,375	-	-
Net Actuarial (Gains)/Losses	201,216	(338,891)	-	-
	648,847	70,484	-	-

i) Agarapatana Plantations Limited

The gratuity liability of Agarapatana Plantations Limited (APL) amounting to Rs.1,177 million (2017 - Rs.1,019 million) as at 31st March, 2018 is based on the full actuarial valuation carried out by Professionally Qualified Actuary Firm, Messrs. Actuarial & Management Consultants (Private) Limited.

ii) Kotagala Plantations PLC

The actuarial valuation had been carried out by M/S Actuarial & Management Consultants (Private) Limited. According to the valuation the gratuity liability on employees of the Company as at 31st March 2018 is Rs.722.12 million (2017 - Rs. 661.88 million)

iii) Marawila Resorts PLC

The actuarial valuations have been carried out by professionally qualified actuaries Messers Priyal S Goonetilleke and Associates for retiring gratuity of staff as at 31st March 2018. The actuarial present value of the accrued benefits as at 31st March 2018 is Rs. 7.35million (2017 - Rs. 5.9 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

iv) Sigiriya Village Hotels PLC

Actuarial Valuation has been carried out as at 31st March , 2018 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2018 is Rs. 12.66 million (2017 - Rs.10.16 million). This item is grouped under Retirement Benefit Obligations in the Statement of Financial Position. The liability is not externally funded.

v) Beruwala Resorts PLC

Actuarial Valuation has been carried out as at 31st March , 2018 by Mr. Piya Goonatilleka, Fellow of the Society of actuaries (USA). The valuation method used by the actuary was "Projected Unit Credit Method". The actuarial present value of the accrued benefits as at 31st March 2018 is Rs. 7.26 million (2017 - Rs. 5.27 million). This item is grouped under Retirement Benefit Obligation in the Statement of Financial Position. The liability is not externally funded.

vi) C.W. Mackie PLC

The retirement benefit obligations as at 31 st March, 2018 is based on actuarial valuation carried out by Messrs. Piya S Goonethilleke, Fellow of the Society of Actuaries (USA) , Member of American Academy of Actuaries, Consulting Actuary of Messrs. Piya Goonetilleke and Associates, as at 31st March 2018 and appropriate adjustments have been effected in the financial statements.

The liability as at 31st March, 2018 of the C.W. Mackie group was Rs.107.92 million (2016/17 - Rs.85.36 million)

vii) J.F. Packaging (Private) Limited

The retirement benefit obligations as at 31st March 2018 is based on actuarial valuation carried out by Messrs. Actuarial and Management Consultants (Private) Limited. as per which liability as at 31st March 2018 was Rs.12.28 million.

viii) Lankem Ceylon PLC

An actuarial valuation has been carried out as at 31st March 2018 by Messrs. Actuarial and Management Consultants (Private) Limited. as required by the Sri Lanka Accounting Standard 19 'Employee Benefits'.

Plan Assets of the Company are held by an approved external gratuity fund where it invests in insurance scheme amounting to Rs.3.11 Million as at the date of Statement of Financial Position.

The valuation method used by the actuary is the 'Project Unit Credit Method', the method recommended by Sri Lanka Accounting Standard 19 'Employee Benefits'.

ix) C M Holdings PLC -Group

The defined benefit obligations of KIA Motors (Lanka) Limited and Carplan Limited was based on the actuarial valuation carried out by Messrs Actuarial And Management Consultants (Private) Limited on 31st March, 2018.

Defined Benefit Obligation of Colonial Motors (Ceylon) Limited is determined through an actuarial valuation carried out internally for the year ended 31 March 2018.

Notes to the Financial Statements contd.

x) Present Value of the Unfunded Obligations

LKAS 19 - 'Employee benefits' requires to apply Projected Unit Credit Method to make a reliable estimate of the Obligation in order to determine the present value of the retirement benefit obligation. The key assumptions were made in arriving at the retirement benefit obligation as at 31st March 2018 in respect of following companies are stated below:

Company Name	Expected Salary Increment Rate	Discount Rate	Retirement Age Years	Liability as at 31.03.2018 Rs.million
Marawila Resorts PLC	6.5%	11.0%	55	7.35
Sigiriya Village Hotels PLC	7.5%	11.0%	55	12.66
Laxapana Batteries PLC	10%	11.0%	55	5.48
Lankem Ceylon PLC	10%	11.0%	55	130.61
Ceylon Tapes (Private) Limited	10%	11.0%	55	3.80
JF Packaging (Private) Limited	10%	11.0%	55	12.28
E.B. Creasy & Company PLC	10%	11.0%	60	421.11
E.B. Creasy Logistics Limited	10%	11.0%	55	1.10
Pattah Pharmacy (Private) limited	10%	11.0%	55	5.89
C.W. Mackie PLC- Group	12%	11.0%	Management & Allied staff - 60, other staff - 55	107.92
Kotagala Plantations PLC	Workers -16% every two years and other categories of staff - 10% p.a.	11.0%	60	722.12
Agarapatana Plantations Limited	Workers -16% increase once in two years and other categories of staff - 10% p.a.	11.0%	60	1,177.10
Beruwala Resorts PLC	7.5%	10.6%	55	7.26
B.O.T. Hotel Services (Private) Limited	7.5%	10.6%	55	4.29
Galle Fort Hotel (Private) Limited	10.0%	11.0%	55	3.97
Darley Butler & Company Limited	10%	11.0%	55	123.56
Creasy Foods Limited	10%	11.0%	55	11.51
SunAgro Life Science Limited	10%	11.0%	55	1.79
SunAgro Foods Limited	10%	11.0%	55	0.17
SunAgro Farms Limited	10%	11.0%	55	0.23
Lankem Paints Limited	10%	11.0%	55	6.80
Lankem Consumer Products Limited	10%	11.0%	55	0.60
Lanka Special Steels Limited	10%	11.0%	55	12.23
Lak Kraft (Private) Limited	10%	11.0%	60	0.12
Sherwood Holidays Limited	10%	11.0%	60	0.67
Alliance Five (Private) Limited	10%	11.0%	55	6.39
Kiffs (Private) Limited	10%	11.0%	55	4.29
C M Holdings PLC - Group	KIA Motors (Lanka) Limited - 10% Colonial Motors (Ceylon) Limited 8% Carplan Limited - 10%	11.0%	55	40.55

xi) No provision has been made for Retiring Gratuity in the accounts of The Colombo Fort Land & Building PLC, York Arcade Holdings PLC, Colombo Fort Holdings Limited, Capital Leasing Company Limited, Transways (Private) Limited, Union Group (Private) Limited and C.F. Travels (Private) Limited as these companies do not employ any staff. All operational services such as accountancy, secretarial and personnel are provided by Corporate Managers & Secretaries (Private) Limited to whom a fee is paid.

27.5 Sensitivity of Assumptions Employed in Actuarial Valuation

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below:

Consolidated	2018		2017	
	Increase Rs.'000	Decrease Rs.'000	Increase Rs.'000	Decrease Rs.'000
Movement by 1%				
Discount Rate	(1,024,277)	1,185,669	(874,901)	996,143
Future salary scale	1,076,127	(976,081)	943,709	(872,706)

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
28. RENT RECEIVED IN ADVANCE				
Balance at the beginning of the Year	30,162	10,437	187	637
Received during the Year	34,706	51,337	30,955	-
Amount Recognised as Income during the Year	(38,177)	(31,612)	(22,370)	(450)
Balance at the end of the Year	26,692	30,162	8,772	187
Amount falling due within one Year	(8,772)	-	(8,772)	(187)
Amount falling due after one Year	17,920	30,162	-	-

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
29. TRADE & OTHER PAYABLES				
Trade Payables	2,774,610	2,438,639	-	-
Other Payables	3,622,154	3,650,670	13,845	25,870
Accrued Expenses	730,172	588,860	11,546	9,194
Bills Payables	91,535	44,756	-	-
Advance Received	403,282	242,356	-	-
Security Deposit	91,207	77,105	9,400	1,814
Unclaimed Dividend	58,308	11,326	5,604	11,326
	7,771,268	7,053,712	40,395	48,204

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
30. RELATED PARTY TRANSACTIONS				
30.1 Amounts due from Related Parties				
Subsidiaries				
Agarapatana Plantations Limited	-	-	-	21,975
Beruwala Resorts PLC	-	-	1,928	1,377
Colombo Fort Hotels Limited	-	-	141,934	127,112
Kotagala Plantations PLC	-	-	-	12,914
Lankem Ceylon PLC	-	-	44,328	370,679
Consolidated Tea Plantations Limited	-	-	27,303	-
Marawila Resorts PLC	-	-	-	566
Sigiriya Village Hotels PLC	-	-	1,703	1,149
York Hotel Management Services Limited	-	-	2,151	314
	-	-	219,347	536,086
Less: Transferred to Loan given to Related Parties -				
Lankem Ceylon PLC	-	-	-	(275,500)
Colombo Fort Hotels Limited	-	-	(80,000)	(80,000)
Consolidated Tea Plantations Limited	-	-	(27,000)	-
	-	-	112,347	180,586
Other Related Parties				
Capital Finance Limited	346	346	-	-
Colombo Fort Group Services (Private) Limited	8,102	10,753	658	-
Corporate Managers & Secretaries (Private) Limited	8,262	12,300	-	-
Oral Care (Private) Limited	3	3	-	-
York Conventions (Private) Limited	5,462	5,435	3,418	-
Far Eastern Exports (Colombo) Limited	192	179	-	-
J F Barrier Films (Private) Limited	-	66,569	-	-
Cosmopoly (Private) Limited	-	6,026	-	-
Others	1,784	5,918	-	-
	24,151	107,529	4,076	-
Less: Impairment Loss - Related Parties (Note 30.1.1)	(1,163)	(1,163)	-	-
	22,988	106,366	4,076	-
Total Amounts due from Related Parties	22,988	106,366	116,423	180,586

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
30.1.1 Other Related Parties				
E B Creasy Milk Foods Limited	1,163	1,163	-	-
	1,163	1,163	-	-

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
30.2 Amounts due to Related Parties				
Subsidiaries				
C M Holdings PLC	-	-	75,292	125,072
Capital Leasing Co. Limited	-	-	1,125	1,300
Carplan Limited	-	-	437	123
Colombo Fort Holdings Limited	-	-	39,727	38,388
Creasy Plantation Management Limited	-	-	4,583	4,583
E.B. Creasy & Co PLC	-	-	27,163	-
Guardian Assets Management Limited	-	-	28,281	45,200
KIA Motors (Lanka) Limited	-	-	3,000	-
Lankem Plantation Services Limited	-	-	4,583	4,583
Lankem Tea & Rubber Plantations (Private) Limited	-	-	38,641	102,274
Union Investments (Private) Limited	-	-	6,135	-
York Arcade Holdings PLC	-	-	38,765	47,162
York Hotels (Kandy) Limited	-	-	140,033	128,559
	-	-	407,765	497,244
Associates				
Capital Investments Limited	5,601	12,095	5,601	12,095
Colombo Fort Investments PLC	44,799	62,567	44,799	62,567
Colombo Investment Trust PLC	44,713	38,851	44,713	38,851
	95,113	113,513	95,113	113,513
Other Related Parties				
Colombo Fort Group Services (Private) Limited	7,046	14,582	-	426
Consolidated Holdings (Private) Limited	2,130	2,022	2,130	2,022
Corporate Holdings (Private) Limited	26,884	26,804	26,696	23,288
Corporate Managers & Secretaries (Private) Limited	43,431	26,237	23,084	5,180
Property & Investment Holdings (Private) Limited	23,514	27,400	20,587	27,400
Ceylon Tea Brokers PLC	174,632	107,501	-	-
York Conventions (Private) Limited	-	2,935	-	-
Financial Trust Limited	84,487	56,537	84,487	56,537
Sunquick Lanka (Private) Limited	202,788	-	-	-
Others	5,173	11,602	-	-
	570,085	275,620	156,984	114,853
Total Amounts due to Related Parties	665,198	389,133	659,862	725,610
Interest-bearing Borrowings (Note 30.2.1)	155,900	134,900	369,900	378,100
Non-interest-bearing Borrowings	509,298	254,233	289,962	347,510
	665,198	389,133	659,862	725,610

Notes to the Financial Statements contd.

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
30.2.1 Interest-bearing Borrowings				
Subsidiaries				
C M Holdings PLC			40,000	80,000
Colombo Fort Holdings Limited	-	-	28,000	30,000
Creasy Plantation Management Limited	-	-	2,000	2,000
E.B. Creasy & Co PLC	-	-	27,000	-
Guardian Asset Management Limited	-	-	-	14,200
Lankem Plantation Services Limited	-	-	2,000	2,000
Lankem Tea & Rubber Plantations (Private) Limited	-	-	-	30,000
York Arcade Holdings PLC	-	-	30,000	-
York Hotels (Kandy) Limited	-	-	85,000	85,000
	-	-	214,000	243,200
Associates				
Colombo Fort Investments PLC	29,000	44,000	29,000	44,000
Colombo Investment Trust PLC	31,000	25,000	31,000	25,000
	60,000	69,000	60,000	69,000
Other Related Parties				
Consolidated Holdings (Private) Limited	800	800	800	800
Corporate Holdings (Private) Limited	15,100	15,100	15,100	15,100
Financial Trust Limited	60,000	50,000	60,000	50,000
Property & Investment Holdings (Private) Limited	20,000	-	20,000	-
	95,900	65,900	95,900	65,900
	155,900	134,900	369,900	378,100

30.3 Transactions with Related Parties

The Company carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - 'Related Party Disclosures', the details of which are reported below:

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Subsidiaries				
(Receiving)/Rendering of Services	-	-	22,501	18,460
Loans (Taken)/Given	-	-	(30,000)	-
Interest (Expenses)/Income	-	-	13,495	13,690
Dividend (Paid)/Received	-	-	59,501	146,404
Rent (Taken)/Given	-	-	23,242	(11,401)
Guarantee Commission (Taken)/Given	-	-	5,680	(8,142)
(Received)/Payment of Outstanding Balances	-	-	(125,327)	97,864
Disposal/(Acquisition) of Shares	-	-	(283,178)	114
Transfer (Into)/Out of Current Account	-	-	(24,459)	-
Disposal/(Acquisition) of Fixed Asset	-	-	(112,392)	-
Associates				
Loans (Taken)/Given	(13,000)	(13,000)	(13,000)	(13,000)
Interest (Expenses)/Income	9,092	(7,354)	(9,092)	(7,354)
Dividend (Paid)/Received	(5,752)	37,342	(5,752)	(16,175)
(Received)/Payment of Outstanding Balances	37,435	(2,092)	37,435	1,040
Transfer (Into)/Out of Current Account	(2,943)	-	(2,943)	-
Disposal/(Acquisition) of Shares	(2,091)	-	(2,091)	-
Other Related Parties				
(Purchases)/Sales of Goods	1,459,077	1,054,940	-	(103)
(Received)/Payment of Rendering of Services	(207,745)	(527,000)	(3,933)	-
Dividend (Paid)/Received	-	-	(6,380)	(13,340)
Interest (Expenses)/Income	-	-	(11,513)	4,459
Loans (Taken)/Given	-	-	(30,000)	(50,000)
(Received)/Payment of Outstanding Balances	-	-	6,863	(13,117)
Rent (Taken)/Given	-	-	1,170	-
Transfer (Into)/Out of Current Account	-	-	17,260	-

30.4 Terms and Conditions of Transactions with Related Parties

Transactions with related parties are carried out in the ordinary course of the business at commercial rates. Outstanding balances at year end are unsecured and no interest was charged during the year. Interest on balance transferred to interest-bearing liabilities are charged at market rate.

30.5 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard LKAS 24 - 'Related Party Disclosures', Key Management Personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, Key Management Personnel include the members of the Board of Directors (Including Executive and Non Executive Directors) of The Colombo Fort Land & Building PLC and its subsidiary companies.

(a) Loans to Key Management Personnel

No loans have been given to Key Management Personnel during the year.

(b) Key Management Personnel Compensation

Notes to the Financial Statements contd.

Details of compensation for Executive and Non-Executive Directors are disclosed below:

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Short-Term Employee Benefits	499,257	474,040	12,000	12,300

(c) Key Management Personnel Shareholding of the Company

The shareholdings of the Directors are disclosed on page 19 of this Annual Report.

(d) Transactions with Close Family Members

There were no transactions with close family members during the year.

30.6 The Directors of the Company are also Directors of the following companies:

Name of the Company	Relationship	Name of the Director								
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera	Mr. P.M.A. Sirimane	Mr. Sanjeev Rajaratnam
The Colombo Fort Land & Building PLC	-	✓	✓	✓	✓	✓	✓	✓	✓	✓
Agarapatana Plantations Limited	Subsidiary	✓	✓					✓		
Alliance Five (Private) Limited	Subsidiary					✓				
Beruwala Resorts PLC	Subsidiary	✓	✓					✓		✓
C.F. Travels Limited	Subsidiary	✓								✓
C M Holdings PLC	Subsidiary	✓	✓	✓		✓				✓
C.W. Mackie PLC	Subsidiary	✓	✓	✓		✓				
Capital Leasing Company Limited	Subsidiary	✓	✓						✓	
Carplan Limited	Subsidiary	✓	✓	✓						
Ceylon Tapes (Private) Limited	Subsidiary					✓				
Colombo Fort Holdings Limited	Subsidiary	✓								✓
Colombo Fort Hotels Limited	Subsidiary	✓	✓			✓				✓
Colombo Fort Properties (Private) Limited	Subsidiary	✓								
Creasy Plantation Management Limited	Subsidiary	✓	✓							
Darley Butler & Company Limited	Subsidiary	✓	✓	✓	✓				✓	✓
Ceyflex Rubber Limited	Subsidiary		✓						✓	✓
E.B. Creasy & Company PLC	Subsidiary	✓	✓	✓	✓				✓	✓
J.F. Packaging (Private) Limited	Subsidiary		✓			✓				
KIA Motors (Lanka) Limited	Subsidiary	✓	✓	✓						
Kiffs (Private) Limited	Subsidiary					✓				
Kotagala Plantations PLC	Subsidiary	✓	✓	✓				✓		
Lak Kraft (Private) Limited	Subsidiary		✓			✓				✓
Lanka Special Steels Limited	Subsidiary		✓						✓	✓
Lankem Ceylon PLC	Subsidiary	✓	✓		✓	✓			✓	
Consolidated Tea Plantations Limited	Subsidiary	✓	✓					✓		

Name of the Company	Relationship	Name of the Director								
		Mr. A. Rajaratnam	Mr. S.D.R. Arudpragasam	Mr. A.M. de S. Jayaratne	Mr. R. Seevaratnam	Mr. Anushman Rajaratnam	Ms. A.K. Gunawardhana	Mr. C.P.R. Perera	Mr. P.M.A. Sirimane	Mr. Sanjeev Rajaratnam
Lankem Plantation Services Limited	Subsidiary	✓	✓							
Lankem Tea & Rubber Plantations (Private) Limited	Subsidiary	✓	✓			✓		✓		✓
Marawila Resorts PLC	Subsidiary	✓	✓					✓		✓
Muller & Phipps (Ceylon) PLC	Subsidiary		✓						✓	
Nature's Link Limited	Subsidiary		✓							
Sherwood Holidays Limited	Subsidiary	✓	✓							✓
Sigiriya Village Hotels PLC	Subsidiary	✓	✓					✓		✓
York Arcade Holdings PLC	Subsidiary	✓	✓	✓						✓
York Hotel Management Services Limited	Subsidiary		✓			✓				✓
York Hotels (Kandy) Limited	Subsidiary		✓			✓				✓
Capital Investments Limited	Associate	✓	✓							
Colombo Fort Investments PLC	Associate	✓	✓	✓						✓
Colombo Investment Trust PLC	Associate	✓	✓	✓						✓
Colombo Fort Group Services (Private) Limited	Affiliate		✓			✓			✓	
Consolidated Holdings (Private) Limited	Affiliate	✓	✓							
Corporate Holdings (Private) Limited	Affiliate						✓			
Financial Trust Limited	Affiliate	✓				✓				✓
Property & Investment Holdings (Private) Limited	Affiliate		✓			✓				✓

- Mr. S. Rajaratnam resigned from the Board of Lankem Tea & Rubber Plantations (Private) Limited with effect from 31.12.2017.
- Mr. Anushman Rajaratnam resigned from the Board of York Hotel Management Services Limited with effect from 31.12.2017.
- Mr. A. Rajaratnam resigned from the Boards of C.F. Travels Limited, Colombo Fort Hotels Limited, Sherwood Holidays Limited and Capital Leasing Company Limited with effect from 15.05.2018 and Darley Butler & Company Limited with effect from 31.05.2018.
- Mr. Anushman Rajaratnam was appointed to the Board of Capital Leasing Company Limited with effect from 15.05.2018.
- Mr. P.M.A. Sirimane was appointed to the Boards of Lankem Ceylon PLC, J.F. Packaging (Private) Limited and Agarapatana Plantations Limited and with effect from 01.09.2017, 01.04.2018 and 01.05.2018 respectively.
- Mr. S.D.R. Arudpragasam and Mr. P.M.A. Sirimane were appointed to the Boards of Ceylon Tapes (Private) Limited, Kiffs (Private) Limited and Alliance Five (Private) Limited and with effect from 19.06.2018.
- Mr. S.D.R. Arudpragasam was appointed to the Board of J.F. Packaging (Private) Limited with effect from 24.08.2017.

There were no other related party transactions other than the above and those disclosed in Notes 30 to the Financial Statements.

31. COMPARATIVE INFORMATION

To facilitate comparison and where relevant, balance pertaining to the previous year have been re-classified, as necessary. However, such reclassifications did not have any effect on the net profit or equity of the comparative year.

Notes to the Financial Statements contd.

32. FINANCIAL INSTRUMENTS

Financial Risk Management

Overview

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents qualitative and quantitative information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks.

Risk Management Framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Group's risk management policies are established to identify and analyses the risk faced by the Group, to set appropriate risk limits and controls, and to monitor risk and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

32.1 Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counter party to a financial instrument fails to meet its contractual obligation, and arises principally from the Group's receivables from customers, investment and forward contracts.

Group's credit exposure is closely monitored. Credit given is reviewed worth the predetermine approval procedures and contractual agreement made for every high value transaction.

32.1.1 Exposure to Credit Risk

The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows;

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Trade and other Receivables	9,034,641	7,929,745	2,368	51,412
Amount due from Related Companies	22,988	106,366	223,423	536,086
Cash & Cash Equivalents	2,025,118	1,637,426	128,735	119,370
	11,082,747	9,673,537	354,526	706,868

The ageing of amount due from related companies as at the reporting date was as follows;

	GROUP				COMPANY			
	Gross 31.03.2018 Rs. '000	Impairment 31.03.2018 Rs. '000	Gross 31.03.2017 Rs. '000	Impairment 31.03.2017 Rs. '000	Gross 31.03.2018 Rs. '000	Impairment 31.03.2018 Rs. '000	Gross 31.03.2017 Rs. '000	Impairment 31.03.2017 Rs. '000
Past due 0-365 days	-	-	(22,650)	-	49,143	-	117,377	-
More than one year	24,151	(1,163)	130,179	(1,163)	174,280	-	358,709	-
	24,151	(1,163)	107,529	(11,063)	223,423	-	536,086	-

32.2 Liquidity Risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following are the contractual maturities of financial liabilities, including estimated interest payments and excluding of netting agreements.

As at 31st March	GROUP							
	2018				2017			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	19,597,402	19,597,402	12,542,010	7,055,392	16,490,801	16,490,801	10,187,199	6,303,602
Trade & Other Payables	8,186,194	8,186,194	8,168,276	17,920	7,412,668	7,412,668	7,382,506	30,162
Amounts due to Related Party	665,198	665,198	665,198	-	389,133	389,133	389,133	-
Bank Overdraft	3,295,897	3,295,897	3,295,897	-	3,184,515	3,184,515	3,184,515	-
Total	31,744,693	31,744,693	24,671,381	7,073,312	27,477,117	27,477,117	20,447,806	6,333,764

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

As at 31st March	COMPANY							
	2018				2017			
	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000	Carrying Amount Rs.'000	Contractual Cash Flows Rs.'000	Less than 1 year Rs.'000	More than 1 year Rs.'000
Non- Derivative Financial Liabilities								
Loans and Borrowings	237,591	237,591	71,129	166,462	182,500	182,500	61,500	121,000
Trade & Other Payables	97,695	97,695	97,695	-	90,089	90,089	90,089	-
Amounts due to Related Party	659,862	659,862	659,862	-	725,610	725,610	725,610	-
Bank Overdraft	106,264	106,264	106,264	-	111,147	111,147	111,147	-
Total	1,101,412	1,101,412	934,950	166,462	1,109,346	1,109,346	988,346	121,000

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

32.3 Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates etc. will affect the Group's income or the value of its holdings of financial instruments. The objective of the market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the returns.

32.4 Currency Risk

The Group is exposed to currency risk on purchases and borrowings that are denominated in a currency other than the functional currency which is Sri Lankan Rupees.

Sensitivity Analysis

A strengthening or weakening of Sri Lankan Rupee, as indicated below, against the other currencies at 31st March 2018 would have increased/ (decreased) the equity and profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Group considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

Notes to the Financial Statements contd.

Increase /(Decrease) in Exchange rate

As at 31 March	Effect on Profit before Tax	
	2018 Rs.'000	2017 Rs.'000
Dollar (USA) + 10%	(650,065)	(1,358,453)
Dollar (USA) - 10%	650,065	1,358,453
Euro +10%	(2,372)	(14,681)
Euro -10%	2,372	14,681
Yen (Japan) +10%	(2,466)	(3,312)
Yen (Japan) -10%	2,466	3,312

32.5 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in the market interest rate relates primarily to Group's long term debt obligations and investments with floating interest rates. The Group utilises various financial instruments to manage exposures to interest rate risks arising due to financial instruments. However, the company does not have material long term floating rate borrowings or deposits as at the reporting date which results a material interest rate risk.

The following table demonstrates the Group sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the profit before tax

As at 31 March	Effect on Profit before Tax	
	2018 Rs.'000	2017 Rs.'000
Variable rate instrument (1% decrease)	140,724	79,984
Variable rate instrument (1% Increase)	(140,724)	(79,984)

32.6 Capital Management

The Board's policy is to maintain a strong capital base so as to maintain shareholder, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and level of dividends paid out to ordinary shareholders.

Bank Overdrafts with variable interest rates are used to manage the working capital requirements of the Group. Major projects are financed by funds received from long term borrowings as well as reserves of the Group.

The Group's debt to equity ratio at the end of the reporting period was as follows:

As at 31st March,	GROUP		COMPANY	
	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Total Liabilities	36,316,429	31,013,027	1,290,287	1,135,952
Less: Cash and Cash Equivalents	2,025,118	1,637,426	128,735	119,370
Net Debt	34,291,311	29,375,601	1,161,552	1,016,582
Total Equity	5,126,930	6,886,805	1,423,663	1,512,934
Net Debt to Equity Ratio	669%	427%	82%	67%

There were no changes in the Group's approach to capital management during the year and the Group is not subject to externally imposed capital requirements.

32.7 Fair Values

Fair Values Versus Carrying Amounts

The fair values of financial assets and liabilities, together with the carrying amounts in the Statement of Financial Position, are as follows:

As at 31st March, 2018	Note	Available for Sale	Held-for Trading	Loans & Receivables	Held to Maturity	Other Financial Liabilities	Total Carrying Value	Fair Value
		Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Group								
Investment in Equity Securities	16.1	446,391	-	-	-	-	446,391	446,391
Unit trust	16.1	167,482	-	-	-	-	167,482	167,482
Trade & Other Receivables	19	-	-	9,034,641	-	-	9,034,641	9,034,641
Amounts due from Related Parties	30	-	-	22,988	-	-	22,988	22,988
Other financial assets	16	-	747,641	-	-	-	747,641	747,641
Cash & Cash Equivalents	20	-	-	2,025,118	-	-	2,025,118	2,025,118
		613,873	747,641	11,082,747	-	-	12,444,260	12,444,260
Trade & Other Payables	29	-	-	-	-	7,771,268	7,771,268	7,771,268
Amounts due to Related Parties	30	-	-	-	-	665,198	665,198	665,198
Loans and Borrowings	24	-	-	-	-	19,597,402	19,597,402	19,597,402
Bank Overdraft	20	-	-	-	-	3,295,897	3,295,897	3,295,897
Other liabilities		-	-	-	-	986,088	986,088	986,088
		-	-	-	-	32,315,853	32,315,853	32,315,853
Company								
Investment in Equity Securities	16	1,536	-	-	-	-	1,536	1,536
Loans Due from Related Parties	29	-	-	107,000	-	-	107,000	107,000
Trade & Other Receivables	19	-	-	2,368	-	-	2,368	2,368
Amounts due from Related Parties	29	-	-	116,423	-	-	116,423	116,423
Cash & Cash Equivalents	20	-	-	12,852	-	-	12,852	12,852
Deposits with Banks	20	-	-	115,875	-	-	115,875	115,875
		1,536	-	354,518	-	-	356,054	356,054
Bank Loans	24	-	-	-	-	237,591	237,591	237,591
Bank Overdraft	20	-	-	-	-	106,264	106,264	106,264
Trade and Other Payables	29	-	-	-	-	40,395	40,395	40,395
Amounts due to Related Parties	30	-	-	-	-	659,862	659,862	659,862
		-	-	-	-	1,044,112	1,044,112	1,044,112

Notes to the Financial Statements contd.

33. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES NOT CARRIED AT FAIR VALUE

For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. Further, other borrowed funds with a variable interest rate are also considered to be carried at fair value.

Assets and liabilities (excluding financial assets and liabilities) measured at fair value - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Sensitivity of the input to the fair value	Level 1	Level 2	Level 3
Biological assets						
Gain arising from changes in fair value.	Discounted cash flows The valuation model considers present value of future net cash flows expected to be generated by the plantation from the timber content of managed timber plantation on a tree-per-tree basis. Expected cash flows are discounted using a risk adjusted discount rate of 16.3% comprising a risk premium of 3.8%. Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	Determination of timber content Species planted in separate blocks as at the reporting date have been identified by a qualified forestry officer of the company and the timber content has been estimated based on the age and current cubic content. the estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. Determination of price of timber Trees have been valued as per the current timber prices per cubic meter which is the recent selling price of a cubic meter of the specific species.	The estimated fair value at the time of harvesting each specific species is sensitive to the following variables, - the estimated timber content. - the estimated timber prices per cubic meter. - the estimated selling related costs. - the estimated maturity age. - the risk-adjusted discount rate.	-	-	243 Mn

Assets and liabilities for which fair values are disclosed - Recurring

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Property Plant and Equipment					
- Freehold land and buildings	Market comparable method This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch /Per Square Feet	-	-	8,199 Mn

Asset / Liability	Valuation technique	Significant unobservable inputs	Level 1	Level 2	Level 3
Investment property					
- Freehold land and buildings	Market comparable method / Income Method				
	Market comparable method: This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.	Price per perch / Per Square Foot and Cash flows from Investment property discounted at an appropriate rate	-	-	2,399 Mn
	Income Method: The net income generated by the property is used in conjunction with certain factors is used to calculate its fair value.				

34. CAPITAL AND FINANCIAL COMMITMENTS

34.1 Company

The Company had no material capital or financial commitments as at the date of the Statement of Financial Position.

34.2 Group

The Group had no significant capital or financial commitments as at the reporting date other than those disclosed below:

Agarapatana Plantations Limited

	31.03.2018 Rs. Million	31.03.2017 Rs. Million
a) Field Development	201.1	178.4
b) Machinery & Factory Development	160.6	61.7

35. CONTINGENT LIABILITIES / ASSETS

There are no material contingent liabilities / assets outstanding as at the date of the Statement of Financial Position, other than those disclosed below:

35.1 Company

The Company has issued Corporate Guarantees for the borrowings by the subsidiary companies as indicated below,

Financial Institutions/Companies	Name of the Company	31.03.2018 Rs.'000	31.03.2017 Rs.'000
Commercial Bank of Ceylon PLC	American Lloyd Travels Limited	10,000	10,000
Inter Company Balances	York Arcade Holdings PLC	-	3,307
Pan Asia Banking Corporation PLC	Beruwala Resorts PLC	-	25,000
Pan Asia Banking Corporation PLC	Sigiriya Village Hotels PLC	-	25,000
Commercial Bank of Ceylon PLC	York Hotel Management Services Limited	20,000	-
		30,000	63,307

Guarantees amounting to Rs.53.3 million was cancelled during the year.

Notes to the Financial Statements contd.

35.2 Group

35.2.1 Contingent Liabilities

(i) E.B.Creasy & Company PLC

Contingent liabilities exist in relation to guarantees issued by E.B.Creasy & Company PLC to financial institutions on behalf of its subsidiaries to obtain bank facilities from Financial Institutions are as follows:

	31.03.2018 Rs.'000	31.03.2017 Rs.'000
Darley Butler & Company Limited	130,000	230,000
	130,000	230,000

(ii) Lanka Special Steels Limited

Lanka Special Steels Limited has given a grantee of Rs. 25,100,000 to Sri Lanka Custom and it was outstanding as at 31st March, 2018.

(iii) Lankem Ceylon PLC

Lankem Ceylon PLC has issued Corporate Guarantees for borrowings obtained by the related companies indicated below as at 31st March 2018.

	31.03.2018 Rs.'000	31.03.2017 Rs.'000
Darley Butler & Company Limited	130,000	130,000
Galle Fort Hotel (Private) Limited	-	110,423
Lankem Developments PLC	62,080	62,080
SunAgro Foods Limited	185,000	185,000
SunAgro LifeScience Limited	310,000	310,000
Waverly Power (Private) Limited	-	70,000
Agarapatana Plantations Limited	200,000	200,000
J.F. Packaging (Private) Limited	150,000	-
	1,037,080	1,067,503

(iv) C.W. Mackie PLC

The following contingent liabilities exist as at the reporting date on account of the letters of comfort and guarantees given by the Company:

	2018 Rs. Million	2017 Rs. Million
Ceymac Rubber Company Limited	99	99
Ceytra (Private) Limited	8	8
Kelani Valley Canneries Limited	90	90
	197	197

	2018 Rs.Million	2017 Rs.Million
Outstanding short term loan facility		
Ceymac Rubber Company Limited	69	72
Kelani Valley Canneries Limited	72	65
	141	137

These corporate guarantees have been provided for Hatton National Bank PLC and Commercial Bank of Ceylon PLC on behalf of the subsidiary companies Ceymac Rubber Company Limited, Ceytra (Private) Limited and Kelani Valley Canneries Limited for short term loan facilities, where repayment terms are less than 12 months.

(v) Lankem Tea & Rubber Plantation (Private) Limited

Lankem Tea & Rubber Plantations (Private) Limited has given a corporate guarantee to Peoples Leasing Company Limited on behalf of Agarapatana Plantations Limited, to secure term loan of Rs.4.85 million.

(vi) Lankem Developments PLC

Corporate Guarantee given to Agarapatana Plantations Limited amounting to Rs.62 million.

(vii) KIA Motors (Lanka) Limited

KIA Motors (Lanka) Limited was a bona-fide purchaser of land in extent of 3 Acres, 1 Rood and 4.4 Perches at Malabe in 2012, The property is the subject matter of litigation, as informed to KIA Motors (Lanka) Limited, by a petitioner who had made a Revision Application. KIA Motors (Lanka) Limited has intervened in this matter in the Supreme Court and has been defending its position since 2013/2014. Legal advice indicates that KIA Motors (Lanka) Limited will not forfeit physical possession of the property. However, as at the date of issue of these financial statements, final outcome of the litigation cannot be determined as per the legal counsel to KIA Motors (Lanka) Limited.

KIA Motors (Lanka) Limited has filed two Writ applications against the orders of the Consumer Affairs Authority in the Court of Appeal, in relation to customer claims. The matters are fixed for argument on 18th September 2018.

KIA Motors (Lanka) Limited has been defending a case filed against the Company by a service provider for purported invoices raised for services on designing, planning, and management of the construction of the showroom and services complex. The Company has disclaimed the liability and preferred a counter claim. No provision in relation to this claim has been recognised in these consolidated financial statements, pending a final outcome from the court.

A customer of KIA Motor (Lanka) Limited instituted action in the District Court of Appeal against KIA for alleged breach of a sale agreement. The District Court delivered a judgement in favour KIA Motors against which the plaintiff had appealed in the Civil Appellate High Court.

Carplan Limited has filed an application against the order delivered by the Labour Tribunal in favour of the applicant who had been an employee of the Subsidiary Company. The said appeal was lodged in the High Court on 8th January, 2018.

36. GOING CONCERN

Group

Directors of the below Subsidiary Companies are confident that the financial position of the following subsidiaries of the Group will significantly improve during the year 2018/19 as a result of expected better financial performance. Accordingly, the Directors of the Companies are of the view that the below Subsidiaries are able to continue as a going concern and the Financial Statements have been prepared on the assumption on the basis that the Companies are going concern.

(i) Agarapatana Plantations Limited

The significant reduction in the working capital deficit by Rs.1 Billion during the current year is evidence that the company was able to raise long term funding facilities in addition to the internally generated profitable cash flows, including the fund raising from right issue. The fact that the tea industry strongly believe that the current prices will remain firm in the next year too and based on the following action plans appended below it could be fairly justified that the working capital position will be well improved in the near future.

The Company managed to penetrate the Bought Leaf market to achieve the target bought crop of 1 Million Kgs against 0.7 Million Kgs in the previous year and have consolidated it's Position now. This will be further improved in the coming year by offering advance to the suppliers and also spot payment where necessary the fund for which are already arranged from brokers.

- The first application of Fertilizer was given in February/March 2018, the second application is in progress and the third and the fourth application too will be applied in time during August, September and October to maintain the current yield. A separate Letter of Credit facility of Rs. 100 Million is currently negotiated with Bank of Ceylon for the apply of Fertilizer and Letter of Credit for the second application for Rs.66m has already been established.
- The favorable weather condition experienced during the current year continued to be prevailing in the next season too, as a result the company has already achieved a crop of 944,000 Kgs in April 2018 and also hoping to achieve at least 1 Million Kgs in May 2018 and the directors are confident that the budgeted annual turnover of Rs. 5 Billion could be achieved for the next year 2018/19.

Notes to the Financial Statements contd.

- The Board of directors have decided to extend the moratorium placed on Management fees for the coming financial year too.
- Negotiation are already underway with Asian Development Bank for all the RPCs for funding capital expenditure for replanting and factory development on fairly long term basis at lower interest rates.

37. EVENTS OCCURRING AFTER THE REPORTING DATE

37.1 Company

The Directors of The Colombo Fort Land & Building PLC have recommended the payment of a First & Final Dividend of Rs. 0.15 per ordinary share which will be declared at the Annual General Meeting to be held on 28th September 2018. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 - "Events Occurring After the Reporting Date", this proposed dividend has not been recognised as a liability as at 31st March, 2018.

The Primary Mortgage Bond and Secondary Mortgage Bond executed by the Company over the property at No. 53-1/1, 53-2/1 and 57, Sir Baron Jayatilake Mawatha, Colombo – 1 for Rs.91.8 million and Rs.83.0 million respectively, were cancelled on 25th June 2018.

37.2 Group

(i) C.W. Mackie PLC

The Directors of C. W. Mackie PLC recommended the payment of a First and Final Dividend of Rs.3.50 per ordinary share amounting to Rs.125,959,946/- for the year ended 31 March 2018 which was approved by the shareholders at the Annual General Meeting held on 28th June 2018. The dividend was paid to the shareholders on 9th July 2018. In accordance with the Sri Lanka Accounting Standard 10 (LKAS 10) "Events after the Reporting Period", this dividend has not been recognised as a liability as at 31 March 2018.

(ii) C M Holdings PLC

The Board of Directors of C M Holdings PLC has proposed a First and Final Dividend of Rs. 2.00 per share for the year ended 31st March, 2018. The dividend so proposed is subject to the approval of the shareholders at the Annual General Meeting (AGM) of C M Holdings PLC and has not been recognised as a liability in the Financial Statements as at 31st March, 2018.

C M Holdings PLC has disposed 99.9% equity stake comprising of 1,376,004 ordinary shares of its subsidiary Carplan Limited, to the Company's Subsidiary KIA Motors (Lanka) Limited for a consideration of Rs.54 million on 23rd July 2018

(iii) Beruwala Resorts PLC

The Board of Directors of Beruwala Resorts PLC recommended a First and Final Dividend of Rs. 0.05 per share for the year ended 31st March 2018. The dividend was approved by the shareholders at the Annual General Meeting held on 2nd August 2018 and was paid to the shareholders on 13th August 2018. In accordance with the Sri Lanka Accounting Standard (LKAS) 10 – "Events Occurring After the Reporting Date", this dividend has not been recognised as a liability as at 31st March 2018.

(iv) E B Creasy & Company PLC

The Directors recommended the payment of a First and Final Dividend of Rs. 36.00 per share for the year end at 31st March, 2018 which was approved at the Annual General Meeting held on 7th August 2018. The dividend was paid to the shareholders on 16th August 2018. In accordance with the Sri Lanka Accounting Standard 10 – "Event Occurring after the Reporting Date" this dividend has not been recognised as a liability in the Financial Statements for the year ended 31st March 2018.

(v) Creasy Foods Limited

The name of the company was changed to Candy Delights Limited with effect from 6th April 2018.

38. OPERATING LEASE

The buildings of Beruwala Resorts PLC and Sigiriya Village Hotels PLC are constructed on land obtained on operating leases.

Company	Unexpired Period of the Lease
Beruwala Resorts PLC	30 Years
Sigiriya Village Hotels PLC	30 Years

Beruwala Resorts PLC

Beruwala Resorts PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 01st August 2007. The lease period will expire on 31st July 2037. The total amount of lease installments paid for the year ended 31st March 2018 is Rs. 1,836,000/-

Sigiriya Village Hotels PLC

Sigiriya Village Hotels PLC's buildings have been constructed on a land which was leased out from Sri Lanka Tourism Development Authority for 30 years commencing from 02nd September 2009. The lease period will expire on 01st September 2039.

39. NON CONTROLLING INTERESTS IN SUBSIDIARIES

The following table summarises the information relating to subsidiaries that have material non controlling interest (NCI), before any intra-group eliminations.

	Trading Companies	2018 Leisure and Other	Plantation	Trading Companies	2017 Leisure and Other	Plantation
Revenue	38,346,601	2,389,628	8,542,754	37,931,200	2,316,528	6,604,854
Operating Profit / (Loss)	1,237,185	186,492	1,676,574	965,554	99,776	289,919
Finance Cost	(1,776,446)	(232,416)	(612,777)	(1,190,036)	(198,077)	(704,810)
Income Tax	7,846	(91,585)	(70,064)	(120,311)	(48,356)	14,503
Profit/ Loss After Tax	(531,415)	(137,508)	993,733	(344,793)	(146,657)	(400,388)
Total Comprehensive Income	(592,248)	(209,948)	956,960	(384,979)	(169,543)	(221,172)
Profit/ (Loss) Allocated to NCI	(145,955)	(51,287)	426,228	34,440	(51,831)	19,524
Non Current Assets	8,936,208	3,920,210	9,537,947	8,862,010	4,221,614	9,356,850
Current Assets	20,716,747	1,470,043	3,147,932	18,412,610	1,852,416	1,862,757
Total Assets	29,652,955	5,390,253	12,685,879	27,274,620	7,235,863	11,219,607
Non Current Liabilities	4,683,409	1,090,435	5,805,418	3,607,037	798,487	5,611,424
Current Liabilities	20,904,842	2,133,715	6,617,755	17,919,553	2,819,147	6,021,980
Total Liabilities	25,588,249	3,224,150	12,423,175	21,526,590	3,617,634	11,633,404

Notes to the Financial Statements contd.

Names of significant subsidiaries with material non controlling interest (NCI)

Trading Companies	Principal Place of Business	NCI Effective Holding	
		2018	2017
E. B. Creasy & Company PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	40.10%	40.12%
Lankem Ceylon PLC	Nawam Mawatha, Colombo 2	34.94%	41.02%
Colonial Motors (Ceylon) Limited	297, Union Place, Colombo 02	34.45%	34.58%
C M Holdings PLC	297, Union Place, Colombo 02	34.45%	34.58%
Muller & Phipps (Ceylon) PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
Pettah Pharmacy (Private) Limited	No. 98, Sri Sangaraja Mawatha, Colombo 10	69.28%	69.28%
E. B. Creasy Logistics Limited	No. 98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.12%
Darley Butler & Company Limited	No. 98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.12%
Creasy Foods Limited	No. 98, Sri Sangaraja Mawatha, Colombo 10	40.11%	40.12%
Laxapana Batteries PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	69.11%	69.11%
C. W. Mackie PLC	No. 36, D.R.Wijewardena Mawatha, Colombo 10	62.16%	65.96%
KIA Motors (Lanka) Limited	No. 297, Union Place, Colombo 02	54.12%	42.15%
Lanka Special Steels Limited	No. 53A, Ward Place, Colombo 07	40.11%	40.12%
Ceylon Tapes (Private) Limited	No. 10/2 Raja Mawatha, Kanuwana, Ekala, Ja-ela.	34.94%	40.73%
JF Packaging (Private) limited	No. 306, Minuwangoda road, Kotugoda.	34.94%	57.03%
Leisure and Other			
Sigiriya Village Hotels PLC	Sigiriya	57.51%	59.90%
Marawila Resorts PLC	Thalwilawella, Thoduwwa, Marawila	59.03%	61.24%
Colombo Fort Hotels Limited	8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 01	34.94%	38.19%
Galle Fort Hotel (Private) Limited	Galle	34.36%	38.19%
Beruwalla Resorts PLC	Moragalla, Beruwala	50.49%	52.29%
BOT Hotel Services (Private) Limited	8-2/1, Leyden Bastian Road, York Arcade Building, Colombo 01	45.44%	52.29%
Waverly Power (Private) Limited	Agarapatana - Nuwara Eliya District.	44.88%	45.47%
Plantation			
Kotagala Plantations PLC	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	39.14%	44.57%
Agarapatana Plantations Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	58.91%	60.85%
Lankem Developments PLC	No. 98, Sri Sangaraja Mawatha, Colombo 10	52.57%	48.12%
Lankem Tea & Rubber Plantations (Private) Limited	53-1/1, Sir Baron Jayatilaka Mawatha, Colombo 01	16.82%	19.74%

Segment Information

40. OPERATING SEGMENTS

	Trading of Consumer Products			Trading of Industrial Products			Leisure		Plantations		Others		Total	
	2018 Rs.'000	2017 Rs.'000		2018 Rs.'000	2017 Rs.'000		2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000	2018 Rs.'000	2017 Rs.'000
Revenue	26,796,791	27,066,892		11,549,810	10,864,308		1,555,753	1,414,470	8,542,754	6,604,854	882,402	931,958	49,327,510	46,882,482
Inter Segments	(5,655,198)	(5,190,012)		(89,616)	(174,806)		(3,819)	(1,407)	(8,355)	(207,033)	(277,136)	(292,750)	(6,034,124)	(5,866,008)
Revenue from External Customers	21,141,593	21,876,880		11,460,194	10,689,502		1,551,934	1,413,063	8,534,399	6,397,821	605,266	639,208	43,293,386	41,016,474
Segment Results after Eliminations	664,393	1,115,435		627,851	52,849		353,952	169,698	1,151,568	33,364	(287,158)	(180,106)	2,510,605	1,191,239
Gain from Bargain Purchase	-	-		-	-		-	-	-	-	193	193	193	193
Finance Expenses	(865,421)	(504,158)		(911,025)	(685,878)		(166,632)	(173,366)	(612,777)	(706,072)	(96,692)	(43,196)	(2,652,547)	(2,112,672)
Share of Results of Associate	-	-		-	-		-	-	-	-	6,729	4,794	6,729	4,794
Share of Results of Joint Venture	(20,697)	-		-	-		-	-	-	-	-	-	(20,697)	-
Profit Before Tax	(221,725)	611,277		(283,174)	(633,029)		187,320	(3,670)	538,791	(672,708)	(376,928)	(218,316)	(155,717)	(916,447)
Taxation	33,415	(82,264)		(25,569)	(38,047)		(60,843)	(19,781)	(70,064)	14,503	(29,498)	(36,227)	(152,560)	(161,816)
Profit for the Year	(188,310)	529,013		(308,743)	(671,076)		126,477	(23,451)	468,727	(658,205)	(406,426)	(254,542)	(308,277)	(1,078,263)
Equity Holders of the Parent	(176,981)	382,485		(247,381)	(469,631)		115,536	33,302	188,561	(569,755)	(382,557)	(255,880)	(499,967)	(879,480)
Non Controlling Interest	(11,329)	146,528		(61,362)	(201,445)		10,941	(56,753)	280,166	(88,450)	(23,870)	1,338	191,690	(198,783)
Total	(188,310)	529,013		(308,743)	(671,076)		126,477	(23,451)	468,727	(658,205)	(406,426)	(254,542)	(308,277)	(1,078,263)
Depreciation and amortisation	476,550	412,648		272,291	245,197		145,499	130,715	331,510	424,959	38,848	44,955	1,281,751	1,258,473
Property, Plant & Equipments - Additions	925,986	980,598		489,786	263,476		65,547	106,444	733,445	1,375,157	298,741	138,665	2,522,382	2,864,339
Non-Current Assets														
Property, Plant & Equipment	5,472,757	5,160,408		2,074,171	2,439,091		3,485,210	3,567,433	7,155,837	7,210,676	1,142,602	1,063,298	19,330,577	19,440,906
Leasehold Properties	-	-		-	-		-	-	436,750	471,036	6,670	6,670	443,420	477,706
Investment Properties	283,156	137,516		118,844	15,110		157,144	157,144	-	23,196	86,861	91,569	644,860	424,535
Biological Assets	-	-		-	-		-	-	1,777,139	1,521,779	-	-	1,777,139	1,521,779
Investment in Associates	-	-		-	-		-	-	-	-	451,912	442,787	451,912	442,787
Other Long-Term Investments	416,010	461,021		16,688	42,085		201	212	168,222	109,011	2,506	2,652	603,628	614,981
Retirement Benefit Obligations - Plan Assets	24,135	25,526		22,693	81,855		-	-	-	-	-	-	46,828	107,381
Deferred Tax Assets	242,278	92,307		123,470	44,741		1,506	17,913	-	(119)	17,199	33,443	384,453	188,285
	6,438,336	5,876,778		2,355,867	2,622,882		3,644,061	3,742,702	9,537,948	9,335,579	1,706,604	1,640,419	23,682,815	23,218,359
Goodwill	-	-		-	-		-	-	-	-	-	-	936,721	826,520
Income Tax Recoverable	-	-		-	-		-	-	-	-	-	-	180,096	142,771
Non-Current Liabilities														
Interest-Bearing Borrowings	1,246,944	471,784		1,877,471	1,938,462		532,497	648,161	3,150,369	3,070,701	248,133	174,494	7,055,392	6,303,602
Capital Grants	19,698	17,453		169	214		-	-	551,293	560,328	-	-	571,160	577,995
Deferred Tax Liabilities	411,027	228,888		77,877	37,708		216,391	59,277	207,951	119,223	216,195	68,836	1,129,441	513,932
Retirement Benefit Obligations	710,893	570,809		203,589	212,678		36,342	29,079	1,900,256	1,610,226	20,055	21,190	2,871,135	2,443,982
Rent Received in Advance	17,920	18,276		-	-		-	-	-	-	-	11,886	17,920	30,162
	2,406,482	1,307,210		2,159,106	2,189,062		785,208	736,517	5,809,869	5,360,478	484,383	279,579	11,645,048	9,869,674
Current Liabilities														
Income Tax Payables	-	-		-	-		-	-	-	-	-	-	363,563	328,794

Group Financial Summary

As at 31st March,	SLFRS								2010 Rs.'000	2009 Rs.'000
	2018 Rs.'000	2017 Rs.'000	2016 Rs.'000 Restated	2015 Rs.'000 Restated	2014 Rs.'000 Restated	2013 Rs.'000	2012 Rs.'000	2011 Rs.'000		
TRADING RESULTS										
Group Revenue	43,293,386	41,016,474	36,860,104	35,384,600	35,029,794	29,918,015	31,771,237	27,758,034	14,633,342	12,813,383
Profit/(Loss) before Tax	(155,716)	(916,447)	(518,466)	85,726	53,749	1,596,841	2,757,954	2,564,025	981,738	283,934
Income Tax Expense	(152,561)	(161,816)	(161,751)	(334,213)	(329,384)	(396,877)	(649,892)	(424,969)	(311,598)	(234,434)
Profit/(Loss) for the Period	(308,277)	(1,078,263)	(680,217)	(248,487)	(275,635)	1,199,964	2,108,062	2,139,056	670,139	49,500
Other Comprehensive Income	(227,573)	339,965	224,102	58,039	(142,790)	(229,597)	(1,762,361)	-	-	-
Attributable to :										
Equity Holders of the Parent	(609,384)	(740,430)	(236,610)	208,795	(94,546)	647,598	(129,352)	1,146,897	412,803	65,436
Non - Controlling Interest	73,534	2,132	(219,505)	(399,243)	(323,879)	322,769	475,052	992,159	257,337	(15,936)
	(535,850)	(738,298)	(456,115)	(190,448)	(418,425)	970,367	345,701	2,139,056	670,140	49,500
CAPITAL EMPLOYED										
Stated Capital	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000	327,000
Capital Reserves	20,058	20,058	20,058	20,058	20,058	20,058	20,058	20,058	1,789,242	492,016
Revenue Reserves	4,779,872	6,539,747	7,358,967	7,717,790	7,477,502	7,477,502	7,196,989	7,348,455	999,807	561,541
	5,126,930	6,886,805	7,706,025	8,064,848	7,824,560	7,824,560	7,544,047	7,695,513	3,116,049	1,380,557
Non - Controlling Interest	3,159,291	4,003,925	4,246,250	4,443,556	4,993,804	4,993,804	5,411,705	5,563,904	3,175,588	1,866,273
Total Equity	8,286,221	10,890,730	11,952,275	12,508,404	12,818,364	12,818,364	12,955,753	13,259,417	6,291,637	3,246,830
Total Debt	22,893,299	19,675,316	18,135,808	15,064,936	12,477,962	12,477,962	8,932,057	6,794,671	5,115,969	3,893,082
	31,179,520	30,566,046	30,088,084	27,573,340	25,296,326	25,296,326	21,887,810	20,054,088	11,407,606	7,139,912
ASSETS EMPLOYED										
Property, Plant & Equipment	19,330,577	19,440,906	18,989,573	18,522,474	16,039,000	16,039,000	12,816,158	11,368,935	9,620,957	6,571,111
Other Non-Current Assets	5,699,579	4,761,462	4,485,260	4,384,477	3,569,478	3,569,478	3,929,215	5,464,619	1,730,604	1,051,711
Current Assets	19,512,493	17,493,433	17,012,222	16,728,532	15,832,651	15,832,651	12,560,110	10,257,705	6,481,451	4,348,928
Assets Held for Sale	60,000	207,956								
Liabilities Net of Debt	(24,679,381)	(21,143,353)	(19,478,040)	(17,480,580)	(15,287,631)	(15,287,631)	(10,319,085)	(8,064,766)	(6,425,406)	(4,831,838)
	19,931,268	20,760,404	21,009,015	22,154,903	20,153,498	20,153,498	18,986,398	19,026,493	11,407,606	7,139,912
CASH FLOW										
Net Cash Generated from/(used in) :										
Operating Activities	(484,934)	726,188	(1,904,014)	(1,386,736)	1,643,947	(542,829)	2,522,199	239,990	982,070	488,123
Investing Activities	(2,238,075)	(1,887,804)	(1,400,615)	(3,421,836)	(1,345,360)	(3,089,110)	(2,911,007)	(1,216,237)	(1,430,970)	(968,769)
Financing Activities	2,999,320	1,264,414	2,303,916	2,278,260	217,398	1,810,567	553,817	1,744,333	741,415	378,733
INVESTOR'S INDICATORS										
Earnings/(Loss) per Share (Rs.)	(2.78)	(4.89)	(1.73)	0.32	(0.83)	4.12	7.03	31.86	11.47	1.82
Net Asset/(Liability) per Share (Rs.)	28.48	38.26	42.81	44.80	43.47	43.47	41.91	123.68	86.56	38.35
Price Earnings Ratio (Times)	(6.91)	(3.70)	(11.28)	79.83	(30.73)	7.04	5.97	13.00	5.62	8.93
KEY INDICATORS										
Market Value per Share (Rs.)	19.20	18.10	19.50	25.20	25.50	29.00	33.90	400.40	64.50	16.25
Market Capitalisation (Rs.'000)	3,456,000	3,258,000	3,510,000	4,536,000	4,590,000	5,220,000	6,102,000	14,414,400	2,322,000	585,000
Current Ratio (Times)	0.49	0.51	0.53	0.62	1.04	1.04	1.20	1.25	0.97	0.81
Interest Cover	0.94	0.57	0.67	1.06	1.03	2.40	4.56	4.99	2.81	1.46

Share Information

DISTRIBUTION OF SHAREHOLDING

No. of Shares Held	As At 31st March 2018			As At 31st March 2017		
	No. of Shareholders	Total Holding	Holding %	No. of Shareholders	Total Holding	Holding %
1 - 1,000	1,167	430,184	0.24	1,247	470,771	0.26
1,001 - 10,000	760	3,078,429	1.71	810	3,203,507	1.79
10,001 - 100,000	218	6,590,676	3.66	237	7,347,092	4.08
100,001 - 1,000,000	44	15,693,187	8.72	47	16,152,359	8.97
Over 1,000,000	20	154,207,524	85.67	20	152,826,271	84.90
Total	2,209	180,000,000	100.00	2,361	180,000,000	100.00

ANALYSIS OF ORDINARY SHAREHOLDERS

	As At 31st March 2018			As At 31st March 2017		
	No. of Shareholders	Total Holdings	%	No. of Shareholders	Total Holdings	%
Individuals	2,048	25,156,196	13.98	2,185	26,895,661	14.94
Institutions	161	154,843,804	86.02	176	153,104,339	85.06
	2,209	180,000,000	100.00	2,361	180,000,000	100.00

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2018 was 31.86% (2017 - 32.01%)

PUBLIC SHAREHOLDERS

The number of Public Shareholders as at 31st March 2018 were 2,187. (2017 - 2,341)

FLOAT ADJUSTED MARKET CAPITALISATION

The applicable option under Colombo Stock Exchange Rule 7.13.1 on Minimum Public Holding is Option 5 and the Float Adjusted Market Capitalisation as at 31st March 2018 was Rs.1,101.08 Million.

MARKET VALUE OF SHARES

	2017/2018 Rs.	2016/2017 Rs.
Highest	24.00	25.30
Lowest	17.00	17.50
Year end	19.20	18.10

NET ASSETS PER SHARE

	Rs.
31.03.2018	7.91
31.03.2017	8.41

Share Information contd.

TWENTY MAJOR SHAREHOLDERS

Position	Name	31st March 2018		31st March 2017	
		No. of Ordinary Shares	%	No. of Ordinary Shares	%
1	Colombo Investment Trust PLC	25,162,969	13.98	25,103,109	13.95
2	Property and Investment Holdings (Pvt) Ltd	24,799,690	13.78	24,799,690	13.78
3	Colombo Fort Investments PLC	21,718,586	12.07	21,701,905	12.06
4	Capital Investments Ltd	19,484,375	10.82	19,484,375	10.82
5	Corporate Holdings (Pvt) Ltd A/C No.02	9,099,080	5.06	9,099,080	5.06
6	Financial Trust Ltd	7,232,717	4.02	7,047,100	3.92
7	Sampath Bank PLC/ Dr. T. Senthilveri	6,873,822	3.82	4,945,158	2.75
8	Seylan Bank PLC/Dr. Thirugnanasambandar Senthilveri	6,777,410	3.77	6,144,320	3.41
9	Sampath Bank PLC/Mr. Arunasalam Sithampalam	5,994,530	3.33	6,831,189	3.80
10	Seylan Bank PLC/Arunasalam Sithampalam	5,000,000	2.78	5,000,000	2.78
11	Union Investments (Pvt) Ltd	4,089,680	2.27	4,089,680	2.27
12	Commercial Bank of Ceylon PLC/Capital Investments Ltd	3,600,000	2.00	3,600,000	2.00
13	Commercial Bank of Ceylon PLC/Property & Investment Holdings (Pvt) Ltd	3,600,000	2.00	3,600,000	2.00
14	Corporate Holdings (Pvt) Ltd A/C No.01	1,953,265	1.09	1,953,265	1.09
15	Mr. Radhakrishnan Maheswaran	1,800,000	1.00	1,800,000	1.00
16	Ms. Andal Radhakrishnan	1,800,000	1.00	1,800,000	1.00
17	Ms. Meenambigai Priyadarshini Radhakrishnan	1,800,000	1.00	1,800,000	1.00
18	Jacey Trust Services (Pvt) Ltd	1,252,500	0.70	-	-
19	Associated Electrical Corporation Ltd	1,157,900	0.64	1,157,900	0.64
20	Mr. Arunasalam Sithampalam	1,011,000	0.56	1,011,000	0.56
	Total	154,207,524	85.69	150,967,771	83.89

Notice of Meeting

Notice is hereby given that the One Hundred and Nineteenth Annual General Meeting of The Colombo Fort Land & Building PLC will be held at the Grand Oriental Hotel, No. 2, York Street, Colombo 1, on 28th September, 2018 at 11.00 a.m. and the business to be brought before the meeting will be:

- To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March, 2018 with the Report of the Auditors thereon.
- To declare a First and Final Dividend of Rs. 0.15 per share for the year ended 31st March, 2018, as recommended by the Directors.
- To re-elect Mr. P.M.A. Sirimane, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To re-elect Mr. S. Rajaratnam, who retires by rotation in accordance with Articles 85 and 86 of the Articles of Association, as a Director.
- To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 02).
- To reappoint Mr. A. Rajaratnam, as a Director. As Mr. A. Rajaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 03).
- To reappoint Mr. R. Seevaratnam, as a Director. As Mr. R. Seevaratnam is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 04).
- To reappoint Mr. C.P.R. Perera, as a Director. As Mr. C.P.R. Perera is over 70 years of age, Special Notice has been received from a shareholder of the intention to pass a Resolution, which is set out below in relation to his reappointment. (See Note No. 05).
- To authorise the Directors to determine contributions to Charities.
- To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.

By Order of the Board,
Corporate Managers & Secretaries (Private) Limited
Managers & Secretaries

Colombo
23rd August, 2018

Notice of Meeting contd.

Note:

1. A member is entitled to appoint a Proxy to attend and vote in his/her stead and a Proxy need not be a member of the Company. A Form of Proxy is enclosed with this Report. The instrument appointing a Proxy must be completed and deposited at the Registered Office of the Company, not less than forty- eight hours before the time fixed for the meeting.
2. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A.M. de S. Jayaratne, as an Ordinary Resolution:

“Resolved –

That Mr. A.M. de S. Jayaratne who is seventy eight years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A.M. de S. Jayaratne.”

3. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. A. Rajaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. A. Rajaratnam who is seventy seven years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. A. Rajaratnam.”

4. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr. R. Seevaratnam, as an Ordinary Resolution:

“Resolved –

That Mr. R. Seevaratnam who as at the date of the Annual General Meeting would have attained the age of seventy five years be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr. R. Seevaratnam.”

5. The Company has received Special Notice from a shareholder of the Company giving notice of the intention to move the following Resolution regarding the reappointment of Mr.C.P.R. Perera as an Ordinary Resolution:

“Resolved –

That Mr. C.P.R. Perera who is seventy four years of age be and is hereby reappointed a Director of the Company and it is further specially declared that the age limit of 70 years referred to in Section 210 of the Companies Act No.07 of 2007 shall not apply to the said Director, Mr.C.P.R. Perera.”

Notes

Notes

Form of Proxy

I/We of

 being a member/members of THE COLOMBO FORT LAND & BUILDING PLC hereby appoint
 of
 whom failing

- | | |
|---|---------------------------|
| 1. Alagarajah Rajaratnam | of Colombo or failing him |
| 2. Sri Dhaman Rajendram Arudpragasam | of Colombo or failing him |
| 3. Ajit Mahendra de Silva Jayaratne | of Colombo or failing him |
| 4. Ranjeevan Seevaratnam | of Colombo or failing him |
| 5. Anushman Rajaratnam | of Colombo or failing him |
| 6. Ms. Anandhiy Krisnajina Gunawardhana | of Colombo or failing her |
| 7. Chrisantha Priyange Richard Perera | of Colombo or failing him |
| 8. Parakrama Maithri Asoka Sirimane | of Colombo or failing him |
| 9. Sanjeev Rajaratnam | of Colombo |

as my/our proxy to represent me/us, to speak and to vote on my/our behalf at the One Hundred and Nineteenth Annual General Meeting of the Company to be held on 28th September 2018 and at any adjournment thereof and at every poll which may be taken in consequence of the aforesaid meeting.

	For	Against
• To receive and consider the Annual Report of the Board of Directors and the Statement of Accounts for the year ended 31st March 2018 with the Report of the Auditors thereon.	☐	☐
• To declare a First and Final Dividend of Rs. 0.15 per share for the year ended 31st March, as 2018 recommended by the Board.	☐	☐
• To re-elect Mr. P.M.A. Sirimane, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To re-elect Mr. S. Rajaratnam, who retires by rotation in terms of Articles 85 and 86 of the Articles of Association, as a Director.	☐	☐
• To reappoint Mr. A.M. de S. Jayaratne, as a Director. As Mr. A.M. de S. Jayaratne is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. A. Rajaratnam as a Director. As Mr. A. Rajaratnam is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. R. Seevaratnam as a Director. As Mr. R. Seevaratnam is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To reappoint Mr. C.P.R. Perera as a Director. As Mr. C.P.R. Perera is over 70 years, Special Notice has been received from a shareholder of the Intention to pass a Resolution, which is set out in the Notice of Meeting.	☐	☐
• To authorise the Directors to determine contributions to Charities.	☐	☐
• To reappoint Messrs. KPMG, Chartered Accountants as Auditors and to authorise the Directors to determine their remuneration.	☐	☐

As witness my/our hand(s) this day of, 2018.

.....
 Signature of Shareholder

Note:

1. A Proxy need not be a member of the Company.
2. Instructions as to completion appear on the reverse hereof.

INSTRUCTIONS AS TO COMPLETION OF FORM OF PROXY

1. To be valid, this Form of Proxy must be deposited at the Registered Office of the Company No. 8-5/2, Leyden Bastian Road, York Arcade Building, Colombo 1, not less than 48 hours before the time appointed for the holding of the meeting.
2. In perfecting the Form of Proxy, please ensure that all details are legible.
3. Please indicate clearly how your Proxy is to vote on the resolution. If no indication is given the Proxy at his discretion may vote as he thinks fit.
4. In the case of Corporate Members, the Form of Proxy must be under seal or under the hand of an Authorised Officer or Attorney.
5. Where the Form of Proxy is signed under a Power of Attorney (POA) which has not been registered with the Company, the original POA together with a photocopy of the same, or a copy certified by a Notary Public must be lodged with the Company along with the Form of Proxy.

Corporate Information

Board of Directors

A. Rajaratnam - Chairman

FCA

(Alternate - Anushman Rajaratnam)

S.D.R. Arudpragasam - Deputy Chairman

FCMA (U.K.)

Anushman Rajaratnam - Group Managing Director

B.Sc.(Hons.), CPA, MBA

A.M. de S. Jayaratne

B.Sc. (Econ.), FCA (Eng. & Wales), FCA (ICASL)

R. Seevaratnam

B.Sc. (Lond.), FCA (Eng. & Wales), FCA (ICASL)

Ms. A.K. Gunawardhana

LL.B (Hons.) (Colombo)

LL.M (Distinction) (Georgetown)

Attorney-at-Law

C.P.R. Perera

P.M.A. Sirimane - Group Finance Director

FCA, MBA

S. Rajaratnam

B.Sc., CA

Name of the Company

The Colombo Fort Land & Building PLC

Legal Form

A Quoted Company with limited liability, incorporated under the provisions of the Joint Stock Companies Ordinance 1861 & 1888 on 30th April, 1895 and re-registered under the Companies Act No. 07 of 2007 on 3rd July, 2008.

Company No.

PQ172

Registered Office

No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 01.

Stock Exchange Listing

The ordinary shares of the Company are listed on the Colombo Stock Exchange of Sri Lanka.

Bankers

Commercial Bank of Ceylon PLC
Standard Chartered Bank
Hatton National Bank PLC
Indian Bank
Sampath Bank PLC

Auditors

Messrs. KPMG, Chartered Accountants

Legal Advisers

Julius & Creasy
Attorneys-at-Law

Tax Advisors

Messrs. KPMG, Chartered Accountants

Managers & Secretaries

Corporate Managers & Secretaries (Private) Limited
No. 8-5/2, Leyden Bastian Road,
York Arcade Building, Colombo 1.
Tel: 011 2344485 - 9

Concept & Designed by



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